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PRIVATE BANKING

Weekly Investment Meeting



POWERED BY SYZ RESEARCH
2 NOVEMBER 2026

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Market Dashboard

→ Equities

		Last	1W	3M	12M	MTD	YTD
Global	MSCI World	4'875	-0.7%	2.3%	14.1%	-0.5%	11.5%
	MSCI EM	1'578	-2.6%	-5.2%	16.8%	-7.4%	14.4%
USA	S&P500	7'624	-0.5%	3.2%	14.4%	-0.3%	12.4%
	Nasdaq 100	28'958	-0.8%	1.9%	16.1%	-4.8%	15.2%
	Russell 2000	2'776	2.0%	-5.3%	13.3%	-0.7%	13.1%
Europe	Eurostoxx 50	6'068	-2.2%	-2.0%	10.2%	-3.1%	7.5%
	SMI	14'462	0.5%	1.9%	18.7%	4.6%	12.4%
	FTSE 100	10'630	-1.7%	1.3%	15.1%	0.9%	10.5%
Asia	Topix	3'966	-3.5%	-1.3%	24.6%	-3.5%	18.8%
	Hang Seng	23'093	-4.5%	-7.6%	-8.2%	-6.0%	-7.3%
	CSI 300	4'105	-1.5%	-12.6%	-8.7%	-5.6%	-9.5%
	Nifty 50	22'600	-3.4%	-5.0%	-11.5%	-0.1%	-12.4%
Volat.	VIX	19.5	-2.7%	4.0%	12.4%	19.0%	30.1%
	V2X (Europe)	21.9	27.3%	7.6%	27.9%	21.0%	48.9%
MSCI World sectors	IT		-0.5%	3.9%	21.8%	-5.4%	22.4%
	Communication Services		-5.5%	1.5%	1.3%	-6.6%	-3.2%
	Consumer Staples		0.8%	7.6%	12.7%	3.7%	13.7%
	Consumer Discretionary		0.0%	3.8%	-3.9%	2.4%	-4.6%
	HC		2.1%	9.4%	18.9%	6.5%	12.6%
	Real Estate		0.5%	-12.3%	-4.6%	-3.4%	-8.8%
	Utilities		0.5%	-5.4%	3.9%	6.0%	5.2%
	Materials		-3.2%	0.7%	16.2%	-1.6%	9.6%
	Industrials		-2.6%	-6.4%	6.8%	-2.6%	6.0%
	Financials		-0.3%	-1.2%	15.2%	0.9%	7.4%
	Energy		1.7%	14.4%	56.7%	11.7%	53.4%

→ Bonds, FX & Commodities

	USD	YTW	Duration	1W	3M	MTD	YTD
USD	USD HY Corp	8.4%	3.1	-0.1%	-1.6%	-0.2%	-0.1%
	USD IG Corp	5.9%	6.4	0.3%	-0.7%	1.7%	-1.5%
	US Gov	4.9%	5.6	0.6%	-0.2%	1.8%	-1.0%
	USD EM Sov	7.0%	6.4	-0.1%	-1.7%	1.0%	-1.1%
	USD EM Corp	7.2%	4.5	-0.2%	-1.1%	0.5%	-0.1%
	HY EM Corp	8.5%	5.0	-0.3%	-1.8%	0.3%	1.5%
Europe	CHF Corporate	1.2%	4.6	0.2%	0.3%	0.4%	0.0%
	EUR IG Corp	4.3%	4.5	-0.4%	-1.0%	0.4%	-0.8%
	EUR HY Corp	7.4%	3.3	-1.1%	-3.1%	-1.7%	-1.5%
	Eurozone Sov	3.9%	6.9	-0.3%	-1.9%	0.6%	-2.7%

		Last	1W	3M	MTD	YTD
FX	EUR/USD	1.120	-0.1%	-1.5%	-1.1%	-4.6%
	EUR/CHF	0.924	-0.3%	-0.8%	-2.4%	-0.7%
	USD/CHF	0.825	-0.2%	0.7%	-1.3%	4.1%
	GBP/USD	1.337	0.5%	0.6%	0.8%	-0.7%
	USD/JPY	156.87	-1.0%	-4.2%	-0.3%	0.1%
	USD/CNH	6.7	-0.2%	-1.4%	-0.6%	-4.4%
	USD/BRL	4.98	-1.7%	-2.1%	-3.4%	-9.1%
	Bitcoin	81'328.7	-3.9%	25.9%	-2.7%	-7.2%
Commo	WTI Crude	103.3	4.8%	30.2%	16.8%	81.4%
	Brent Crude	116.7	6.5%	36.5%	19.1%	93.8%
	Gold	3'996	-3.5%	-2.0%	-3.9%	-7.5%
	Silver	54	-5.6%	-7.7%	-10.8%	-24.8%

As of close: 23/10/2026

Source: Bloomberg

Please see important information at the end of the document

Six key takeaways

1 AI trade unwinding

Retail keeps buying dips; no capitulation into the US mid-terms

2 Tech credit under pressure

Record demand for CDS protection on chip names (Broadcom, Nvidia)

3 Hyperscalers FCF-negative

First time since 2008 as AI capex displaces buybacks

4 US macro running hot

Q3 GDP 3.4%; claims at generational lows; inflation broadening

5 Fed on hold, PCE-anchored

Strategy-only meetings from 2027 caught markets off guard

6 Rotation, not liquidation

Strong breadth beneath a shallow index pullback

Source: Sagar Singh Setia, Marquee Finance, 31 Oct 2026 (rewritten summary)

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Topics of the day

- **Weekly markets, macro & central banks review**
  - **Special topic: AI earnings season: demand proven, funding questioned**
- **Tactical Asset Allocation: current positioning**
  - **November 2026 TAA meeting decisions**
- **The week ahead**
- **Appendix:**
  - Cross-asset technicals by Florian Marini, Head of Research
  - Earnings pulse week 3 by Florian Marini, Head of Research
  - Special topic: UK budget by Reto Cueni, Chief Economist

Please see important information at the end of the document

#geopolitics

Geopolitics

The week in review: Iran & Hormuz, Gulf & Red Sea, Bahrain, Ukraine & calendar

Week of 26–30 October 2026, updated 31 October |

SYZ Research

#geopolitics

IRAN & THE STRAIT OF HORMUZ

Iran: strike options briefed as a talks track reopens

1st limpet

Louise 1 (29 Oct): first successful limpet-mine hit

3,000+

vessels escorted through Hormuz since summer

$117.6

Dec Brent at expiry (30 Oct); +13.6% in October

What happened this week

- **Strike options on the desk.** CENTCOM's Cooper briefed Trump in person on 29 Oct; the WSJ says Gulf states were told to prepare for a 'short, intense' campaign after 3 Nov. A carrier group and a Patriot battery are heading in; no decision yet.
- **A talks track reopens.** Vance wrote to Iran's security chief Rezaei proposing direct talks, nuclear included, possibly in Qatar or Turkey. Tehran called Qatar's draft 'unacceptable', yet Qatari mediators were back in Tehran on 30 Oct.
- **New tactics at sea.** After the limpet attack, the IRGC claimed three to four more tankers hit on 'unauthorised' routes. CENTCOM says 95% of traffic transits safely.
- **Regional outreach.** **Saudi, Turkish and Pakistani security chiefs met Rezaei and Araghchi in Tehran on 26 Oct, seeking de-escalation as Houthi attacks on the kingdom mount.**

Market read-through Brent (Jan) settled at $113.4 after a fourth monthly gain. Washington runs talks and strike options in parallel into 3 Nov; until Tehran answers, the escalation premium stays sticky, with Gulf energy assets in range.

Sources: Axios, WSJ, Times of Israel, Al Jazeera, CTP-ISW, Euronews, CBS News, CNBC, Reuters, EnergyNow. As of 31 Oct 2026.

#geopolitics

GULF & RED SEA SHIPPING | HERMINIUS ASSESSMENT

Gulf & Red Sea: recovery without resolution

Crude exports are recovering. Wider shipping remains constrained.

40–50
vessels per day
vs 130 before the war

50–60%
oil-vessel transits
of pre-war levels

2,133
US-corridor passages
reported by 2 October

2–5%
estimated strike rate
regional sources; uncertain

Energy & shipping

Crude. Pipeline diversions bring total exports close to pre-war levels; spare route capacity is limited.

LNG & refined products. Flows remain well below pre-war volumes.

Red Sea. Saudi-focused Houthi pressure persists; a near-term double chokepoint looks unlikely.

Three paths ahead

01 **Persistent confrontation**
Intermittent attacks and blockade enforcement.

02 **Renewed full-scale conflict**
Energy infrastructure and US bases at risk.

03 **Fragile narrow agreement**
Reopening for sanctions relief; Oman remains a constraint.

Key takeaway Partial recovery depends on military protection and vulnerable alternative routes. No durable resolution is in sight.

Source: Herminius, 5 October 2026, pp. 1–4. Report estimates and scenarios; not independently verified. Private summary of a restricted-circulation report; no scenario probabilities provided.

#geopolitics

US-IRAN

Oil drops below $100 as Iran held a third straight day of talks with Qatari mediators to end the war with the US



Oil prices fall amid reports that the U.S. and Iran are both seeking diplomacy

Rubio says Trump wants to end Iran war ‘peacefully’ even as both sides prepare for strikes

#geopolitics

UKRAINE, EUROPE, TRADE & CALENDAR

Also on the radar, and what to watch next week

Ukraine: the refinery war resumes

- 29–30 Oct: Russian strikes black out most of Dnipro; the toll from the 29 Oct hit near its railway station rises to 15.
- 30 Oct: Kyiv ends an informal pause under US pressure; Russia's Novak confirms hits on three refineries and a gas-chemical complex.
- 31 Oct: strikes on heat plants, substations and gas hubs cut power to ~280,000 households, per the Kyiv Post.

Elsewhere

- **Israel: hung Knesset. Netanyahu's bloc won 53 seats, Eisenkot's 48, Arab parties 19; weeks of coalition talks or a new vote.**
- NATO: the Pentagon told allies to tone down public criticism of Russia (Reuters).

Watch list, 2–6 November

Early week	OPEC+ (1 Nov); US midterms (3 Nov); Iran's reply to the Qatar and Vance talks offers.
Yemen	Confirmation of damage at Ras Tanura, Abqaiq and Rabigh; Saudi strikes in Yemen.
Gulf	Any post-midterm strike decision; limpet attacks in Hormuz; a GCC pledge for Bahrain.
All week	Israel coalition talks; Ukraine's refinery campaign; Brent against $117–120.

Sources: Kyiv Independent, Kyiv Post, bne IntelliNews, CNBC, CNN, Al Jazeera, Reuters, Federal Reserve. As of 31 Oct 2026.

#geopolitics

UKRAINE

President Zelenskyy announces that he is willing to make territorial concessions - The wild card for a year-end rally?

This was likely the most important news of the week. Of course, nothing has yet been signed, or even negotiated. Nevertheless, **the possibility of a peace deal between Russia and Ukraine looks about as good today as it has at any point in the past four years**. And if Russia and Ukraine are inching towards a deal, then it would make sense for this deal to be delivered **before the winter** (since both sides are now suffering real issues with power generation and distribution, refineries, etc…) and, politically speaking, **before Christmas**. Surely a peace deal would be the greatest Christmas gift for Russia, for Ukraine, and frankly for the whole of Europe?

Zelenskyy: We expect trilateral meeting with US and Russia to take place by 10 November

"Our assessment is as follows. The agenda includes a ceasefire in the energy sector and at sea, prisoner exchanges and many humanitarian issues. It is not just about territory. We are ready to discuss territorial issues, but only at the level of leaders," said President Zelenskyy

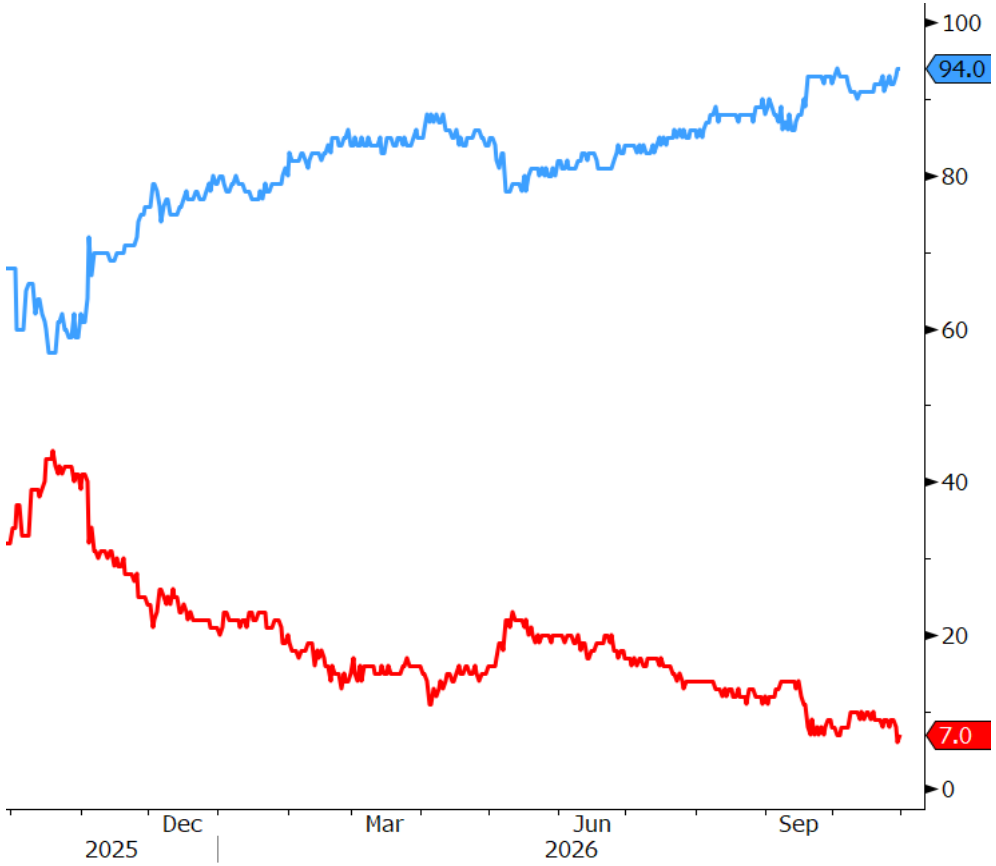
https://www.pravda.com.ua/

US POLITICS

Trump in a difficult situation ahead of the midterms

Prediction markets indicate a likely House loss for Republicans and rising Senate risk

Party control House after 2026 Midterm election



PLYMC29E Index (US Polymarket Democratic Party control House after 2026 Midterm election) Midterm House 2026 Daily 28SEP2025-30OCT2026
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Party control Senate after 2026 Midterm election



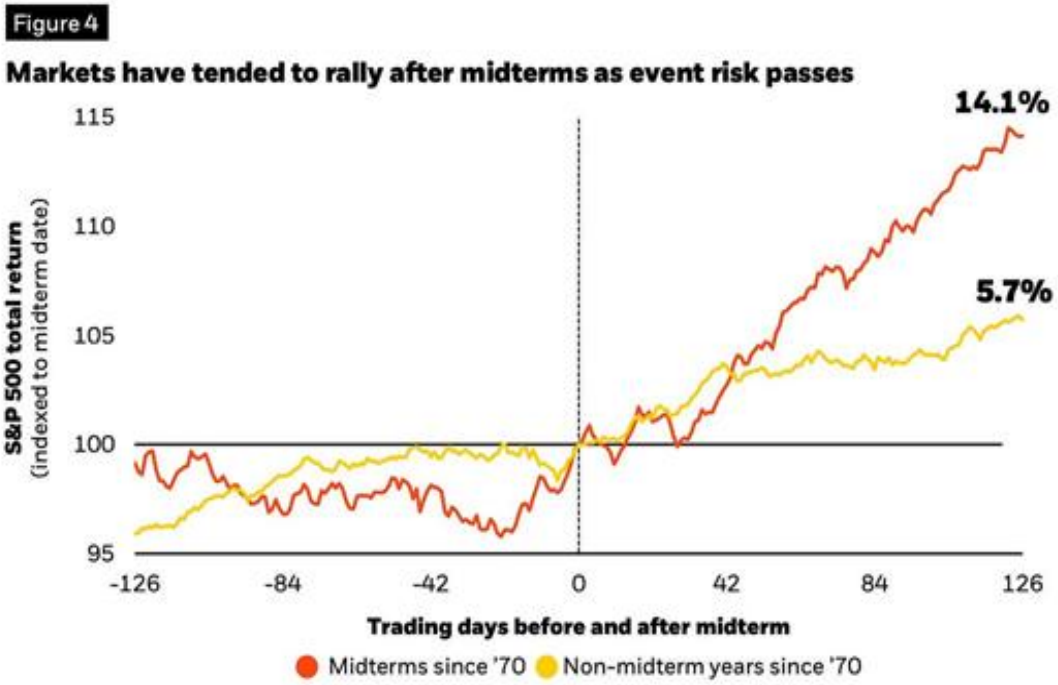
PLYMC29S Index (US Polymarket Democratic Party control Senate after 2026 Midterm election) Midterm Senate 2026 Daily 28SEP2025-30OCT2026
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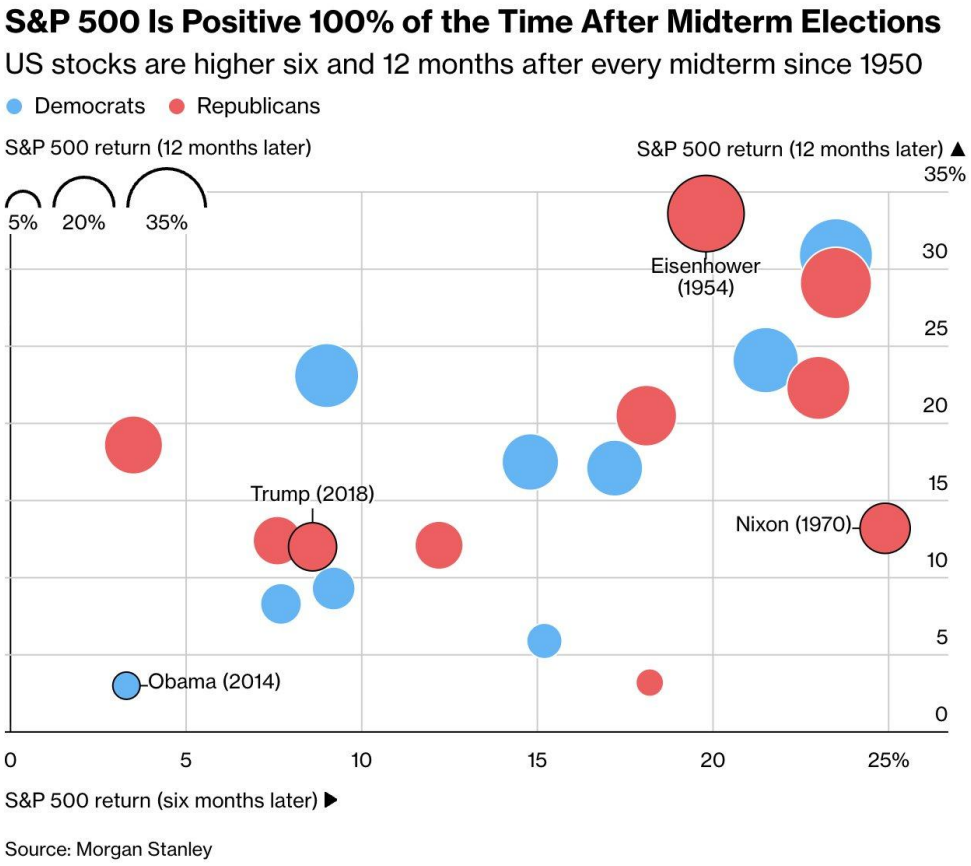
#geopolitics

US POLITICS

Will the midterms be a “clearing” event for the stock market?

Midterms going to be a source of volatility or a clearing event? Blackrock data leads me to believe clearing event...





Source: Blackrock, Morgan Stanley

US POLITICS

One risk to watch post mid-term



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Weekly Market Performance

Weekly, one-month and year-to-date returns across key indices

-1.01%

S&P 500

hyperscaler misses weigh

+0.27%

U.S. Agg

fourth straight weekly gain

+0.73%

Oil

holds above $100 a barrel

-9.10%

Silver

worst major asset of the week

Week ending 30 October 2026

Based on LPL Research Weekly Market Performance, 30 October 2026

EXECUTIVE SUMMARY

AI misses hit tech, bonds rally a fourth week

Equities

The S&P 500 fell 1.01% and the Nasdaq 2.54% after misses from Alphabet and Amazon and a weak Intel outlook. Selling was narrow: the Russell 2000 rose 0.64%.

Rates

The Agg rose 0.27%, a fourth straight weekly gain, as Thursday's tech selloff sparked a flight to safety. The Fed held rates at 3.75–4.00%.

Commodities

Oil rose 0.73% and stayed above $100 on U.S.-Iran tensions and tight supply. Gold fell 2.97%, its worst October in 18 years; silver lost 9.10%.

The macro swing factor

Bonds are ballast again: AI-led equity selling pushed yields lower, putting the 10-year on track for its largest monthly decline in nearly three years. But the Fed's 10-2 hold, with two dissents for a hike, looks like a pause, not a stop, and oil above $100 keeps inflation risk alive.

+81.16%

Oil YTD

best major asset

+55.82%

Energy sector YTD

top S&P 500 sector

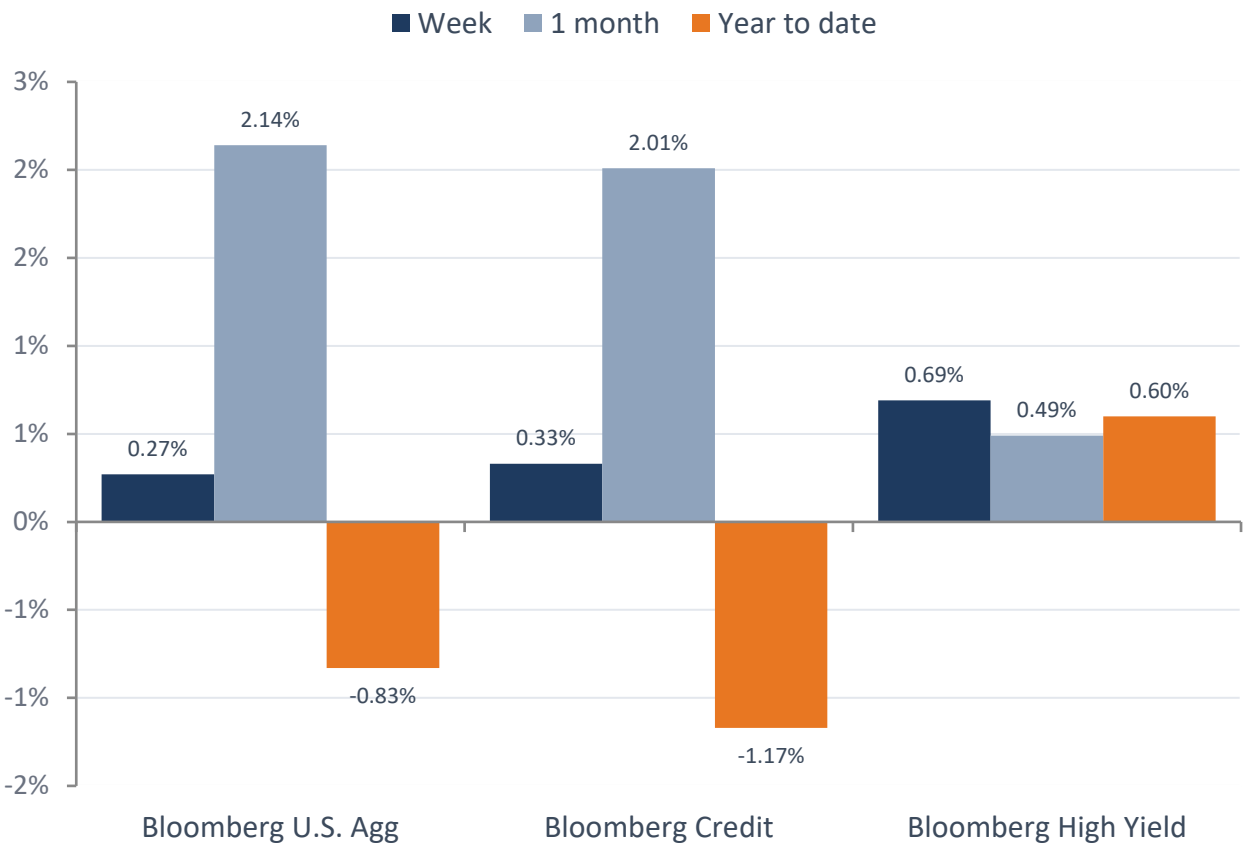
-31.64%

Silver YTD

worst major asset

Source: LPL Research, Bloomberg, data as of 30 October 2026. Indices are unmanaged and cannot be invested in directly. Past performance is no guarantee of future results.

Core bonds rally for a fourth straight week



Flight to safety

The Agg rose 0.27%, its fourth straight weekly gain, and credit 0.33%. Thursday's tech selloff pulled yields lower; the 10-year is on track for its largest monthly drop in nearly three years.

Supply absorbed cleanly

Treasury sold $183bn of 2-, 5- and 7-year notes without stress. Domestic buyers are filling the gap left by softer foreign demand.

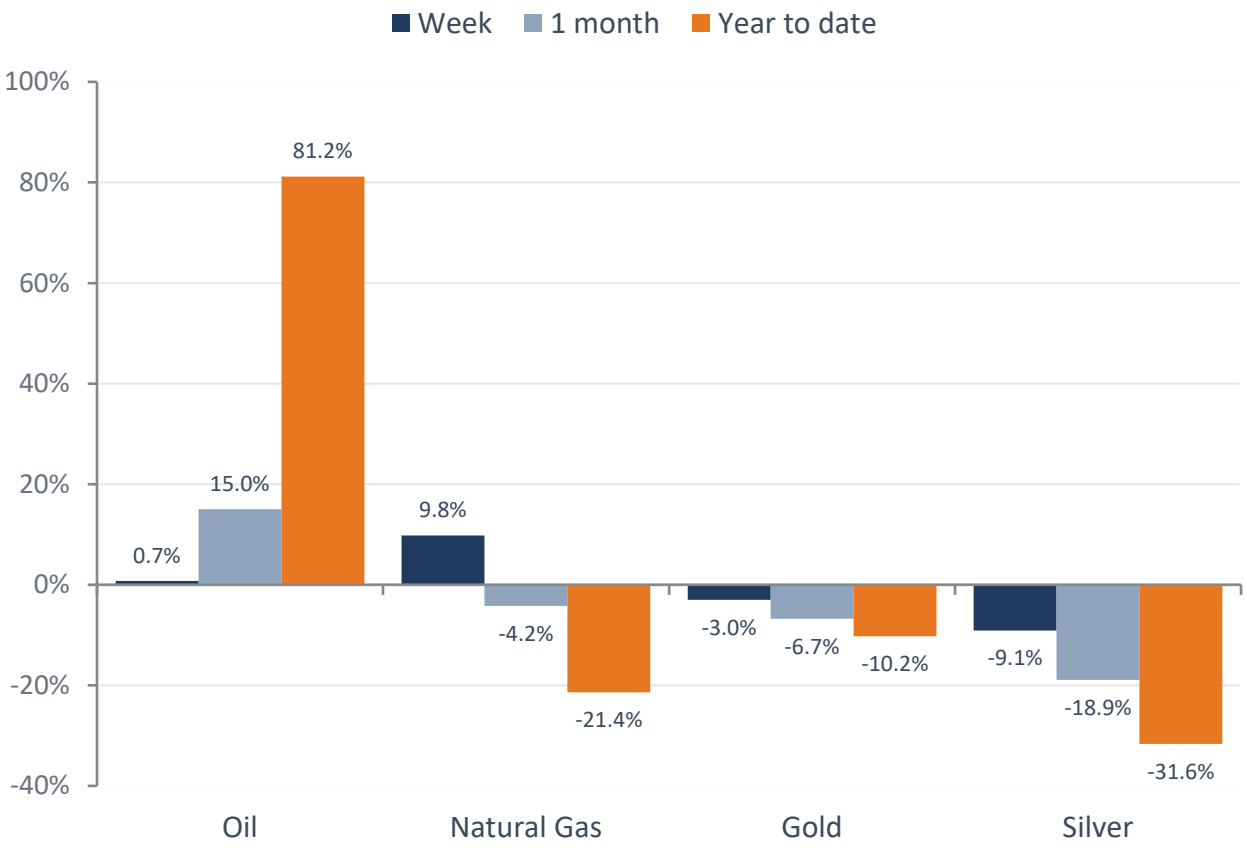
High yield leads, income attractive

High yield rose 0.69% and is now up 0.60% YTD. With yields still attractive, LPL says investors don't need a big drop in rates for compelling returns.

Source: LPL Research, Bloomberg, data as of 30 October 2026. Indices are unmanaged and cannot be invested in directly. Past performance is no guarantee of future results.

COMMODITIES

Oil holds above $100; precious metals slide



Oil stays above $100

Oil rose 0.73% on reported post-midterm U.S. strike plans, Tehran's hard line and two vessel attacks. Low inventories and tight refined-product supply also supported prices.

Natural gas rebounds 10%

Natural gas rose 9.77%, recovering part of the prior week's 15% drop. It is still down 21.38% YTD and 4.23% over one month.

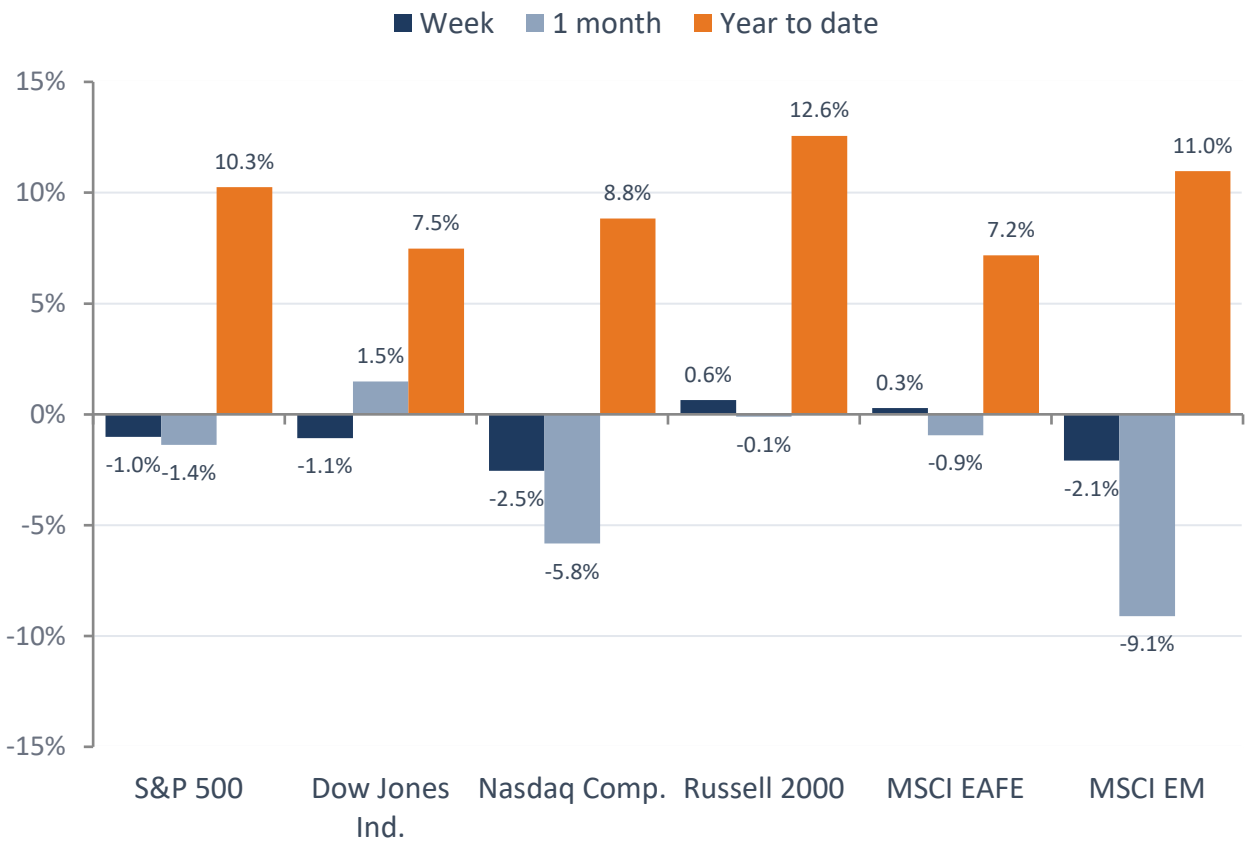
Precious metals retreat

Gold fell 2.97% after breaking below ~$4,000/oz, its worst October in 18 years; silver lost 9.10% and is oversold. The U.S. dollar steadied.

Source: LPL Research, Bloomberg, data as of 30 October 2026. Indices are unmanaged and cannot be invested in directly. Past performance is no guarantee of future results.

STOCK INDEX PERFORMANCE

Key equity indices: week, one month, YTD



Hyperscaler misses hit tech

The S&P 500 fell 1.01% and the Nasdaq 2.54% as Alphabet and Amazon missed and Intel guided lower, reviving AI spending-versus-monetization worries.

Narrow selling, broad rotation

The Russell 2000 rose 0.64%. 80% of S&P 500 names advanced on Thursday as investors rotated into defensives, cyclicals and small caps.

Europe gains, Asia slips

MSCI EAFE rose 0.28% on solid European earnings. MSCI EM fell 2.09% as tech-heavy Asia had its worst month since March; EM is down 9.10% over one month.

Source: LPL Research, Bloomberg, data as of 30 October 2026. Indices are unmanaged and cannot be invested in directly. Past performance is no guarantee of future results.

THE NUMBERS

Index returns at a glance

Index	Week	1 month	Year to date
S&P 500	-1.01%	-1.37%	+10.25%
Dow Jones Ind.	-1.07%	+1.48%	+7.48%
Nasdaq Comp.	-2.54%	-5.83%	+8.84%
Russell 2000	+0.64%	-0.11%	+12.56%
MSCI EAFE	+0.28%	-0.94%	+7.17%
MSCI EM	-2.09%	-9.10%	+10.98%

Reading the middle column

The one-month column is a rolling 30-day return, not a calendar month-to-date figure. Five of the six indices are lower over one month; the Dow (+1.48%) is the only gainer and MSCI EM (-9.10%) the weakest. Two of six gained on the week, and all six remain up between 7.17% and 12.56% for the year.

BEST WEEK

+0.64%

Russell 2000

BEST ONE MONTH

+1.48%

Dow Jones Ind.

BEST YTD

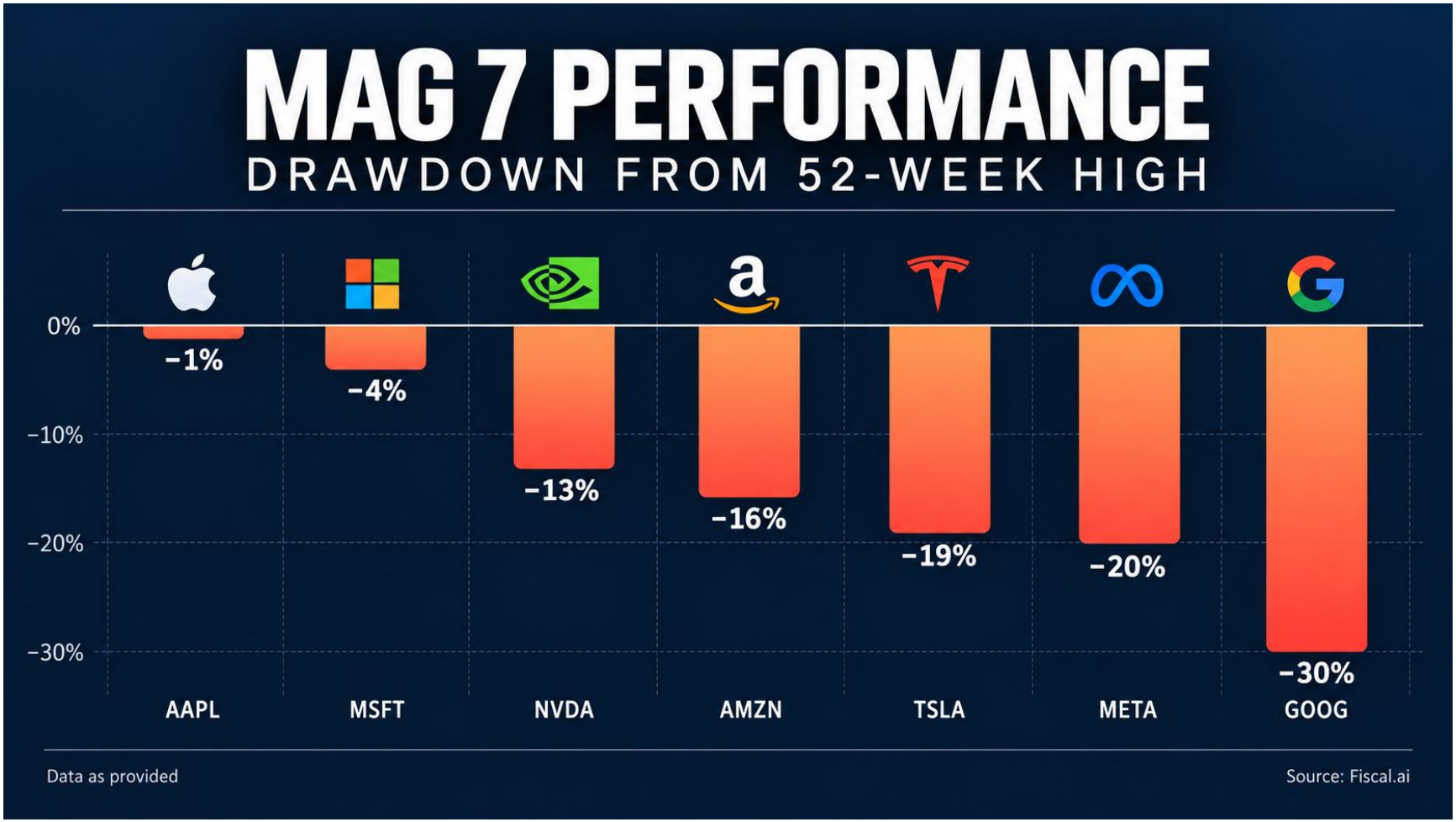
+12.56%

Russell 2000

Source: LPL Research, Bloomberg, data as of 30 October 2026. Indices are unmanaged and cannot be invested in directly. Past performance is no guarantee of future results.

STOCK PERFORMANCE

Alphabet & Meta are now officially in a bear market with the S&P 500 “only” down 2% from ATHs



STOCK PERFORMANCE

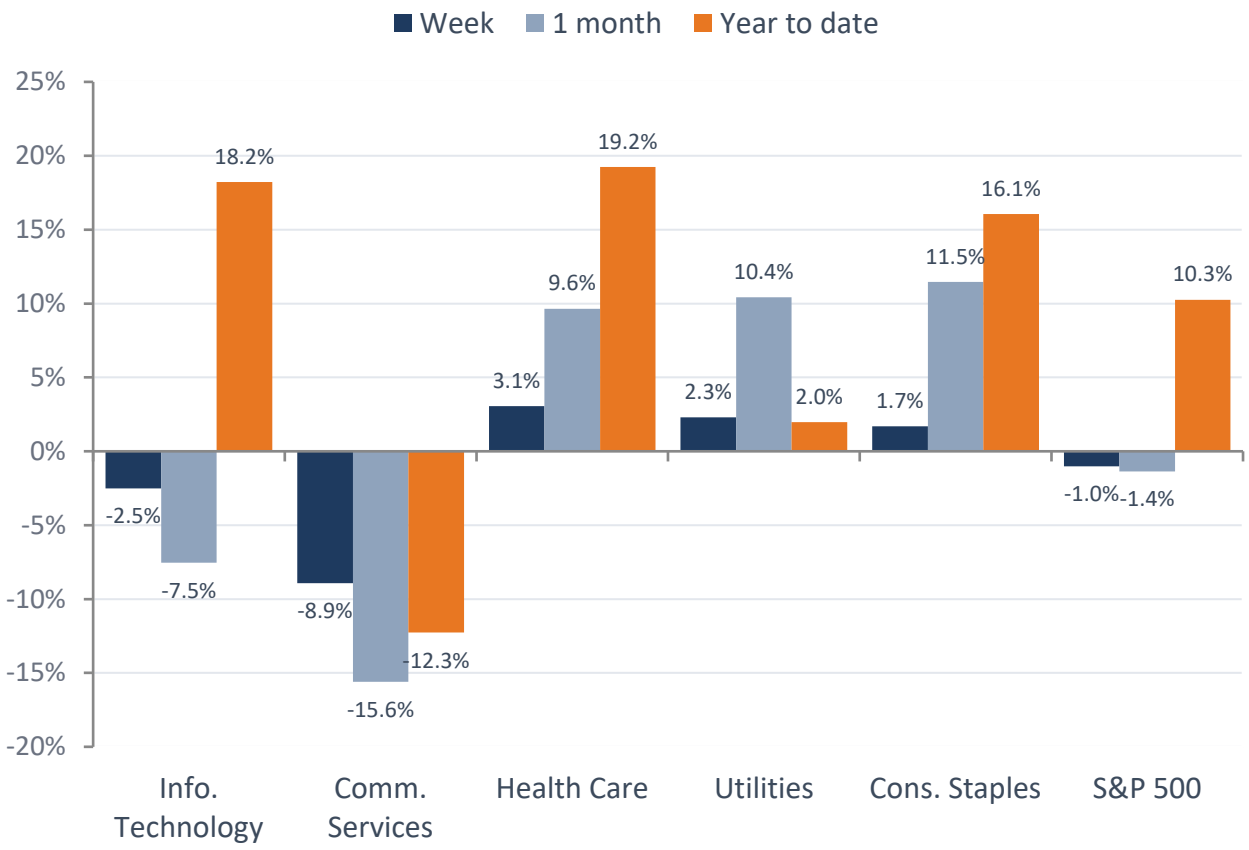
S&P 500 weekly heat map: The market is splitting in two

$1.5 trillion was wiped out from US stocks on Friday. Yet 25 stocks just hit new all-time highs. But not a single AI or chip stock is on this list. **Money is running out of AI and into healthcare and other safe stocks.**



STOCK PERFORMANCE

Leadership is rotating from tech to defensives



Out of AI-linked sectors

Info tech fell 2.52% and comm. services 8.93% this week; over one month they are down 7.53% and 15.59% respectively.

Into defensives

Health care (+3.05%), utilities (+2.30%) and staples (+1.70%) led the week and are up between 9.64% and 11.46% over one month.

The index masks the shift

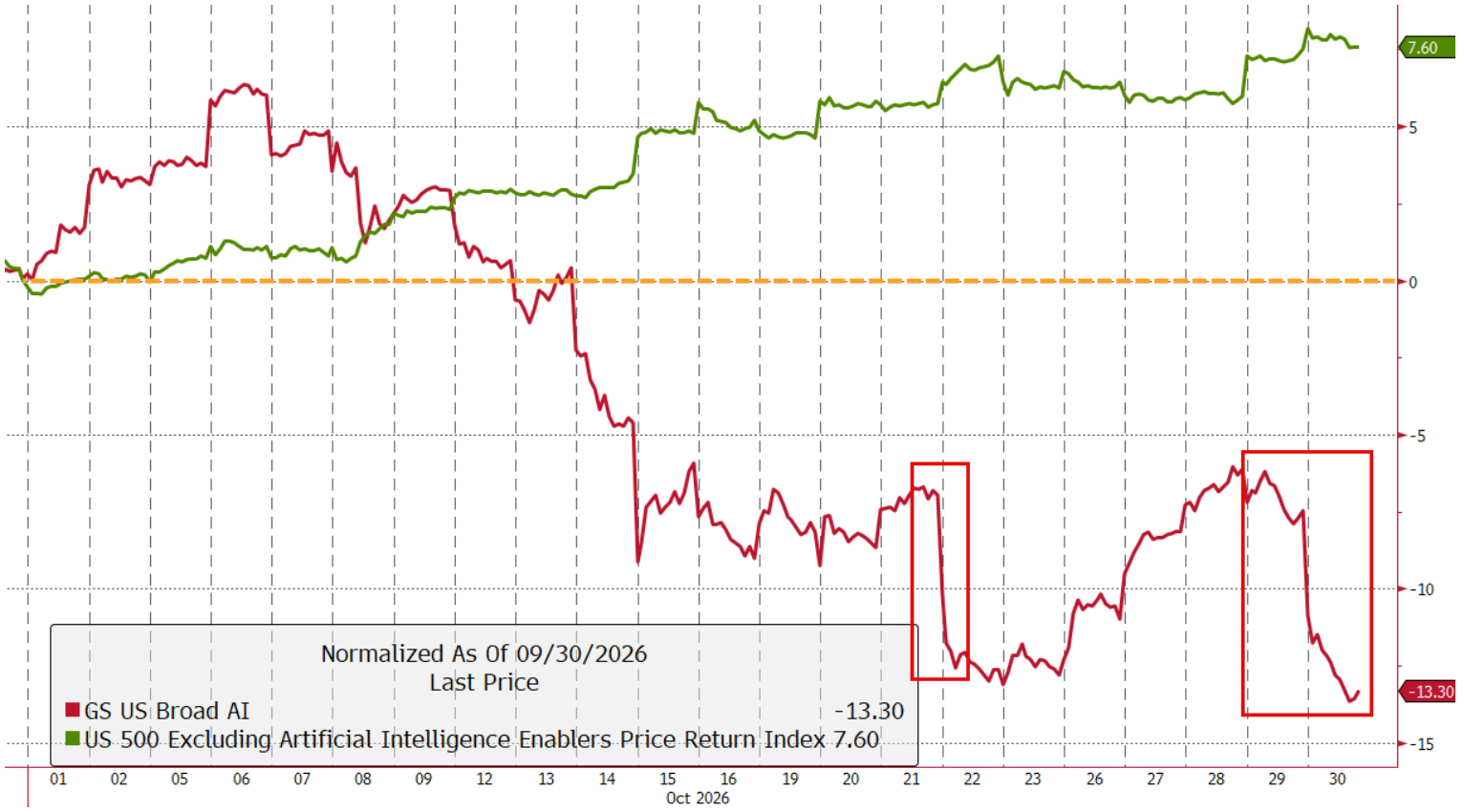
The S&P 500 is down only 1.37% over one month. As Edward Jones notes, leadership is changing underneath rather than the market selling off broadly.

Source: Edward Jones (23 October 2026), LPL Research, Bloomberg, data as of 30 October 2026. Indices are unmanaged and cannot be invested in directly. Past performance is no guarantee of future results.

STOCK PERFORMANCE

October was the month of the anti-AI trade

- The Broad AI basket fell over 13% in October - by far it's greatest drop ever - as SPX Ex-AI gained 7.5%...



S&P 500 ex-AI enablers index

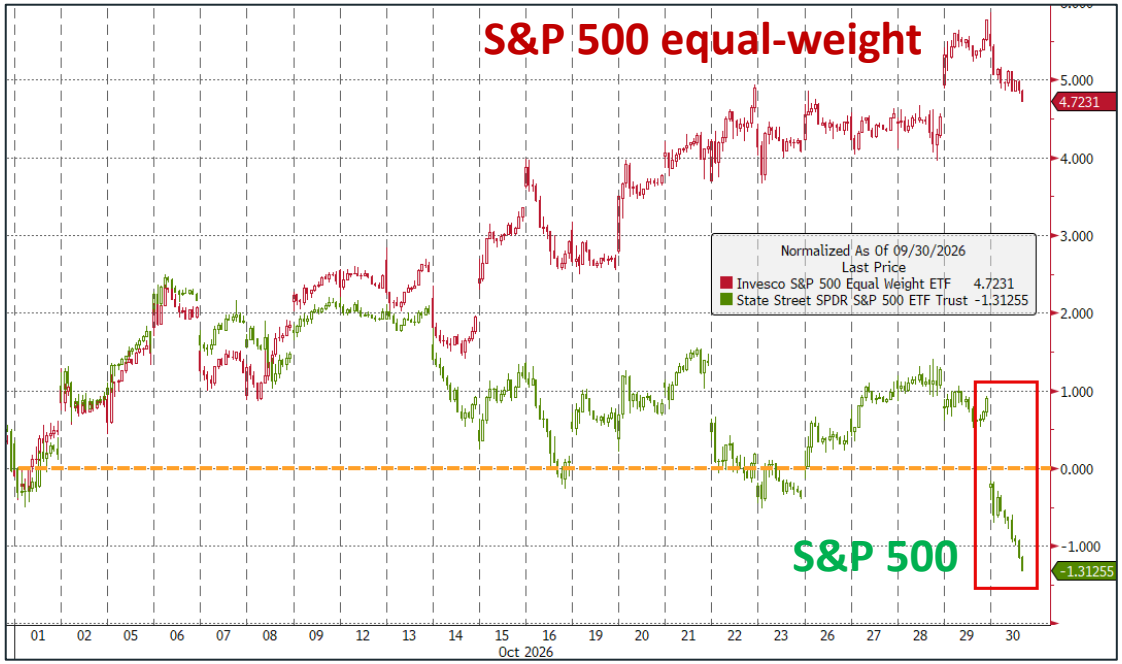
GS Broad AI index

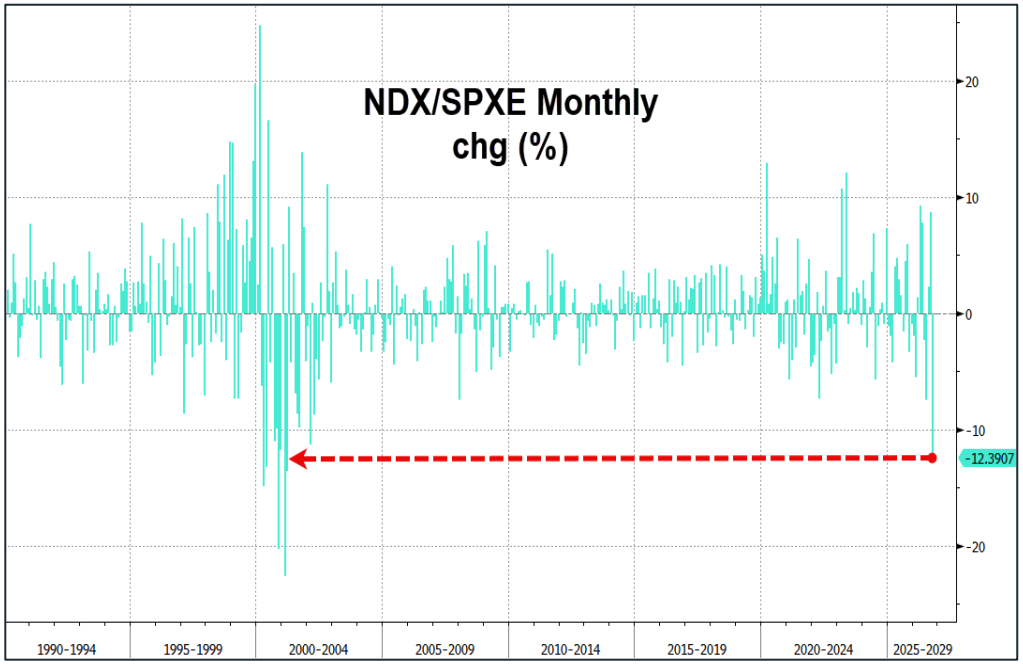
Source: Sagar Singh Setia, Marquee Finance, 31 Oct 2026 (rewritten summary)

STOCK PERFORMANCE

October was one of the most brutal rotation ever

- Over the month, **the S&P 500 equal-weight outperformed the S&P 500 by roughly 6%...**
- In October, **the Nasdaq 100 recorded f its biggest monthly underperformance against the equal-weight S&P (SPXE) since 2001...**





Source: Sagar Singh Setia, Marquee Finance, 31 Oct 2026 (rewritten summary)

STOCK PERFORMANCE

Rotation beneath the surface

406

stocks up on a down day

S&P 500 −0.3% while members rose 1.2% on average — widest such gap since 1996

~50%

above their 200-day EMA

with the index only 3.1% off its high — a sharp recovery from a month ago

16

sessions in a row

more 52-week highs than lows, despite fears AI disrupts incumbent business models

Sentiment is not yet at washout levels.

Source: Sagar Singh Setia, Marquee Finance, 31 Oct 2026 (rewritten summary)

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special-topic # markets

AI earnings season: demand proven, funding questioned

Readthroughs from the hyperscalers, memory makers, Intel, Oracle and Anthropic's S-1 for the AI capex cycle and our 2027 equity outlook

Thematic note | 30 October 2026

special-topic # markets

AI EARNINGS SEASON

Five things we learned this week

1

Demand is not the problem

Azure +48%, Google Cloud +103%, AWS +39%. Backlog >USD 1.9tn; 2027 HBM sold out.

2

Free cash flow is the problem

~USD 200bn of capex in one quarter; combined FCF ~–USD 26bn vs ~+USD 60bn a year ago.

3

New scoring rule

Markets reward monetisation and funding clarity, punish cash burn without acceleration.

4

2027 capex goes up

Alphabet “significant” increase, Amazon “meaningfully more”, Meta “aggressive”.

5

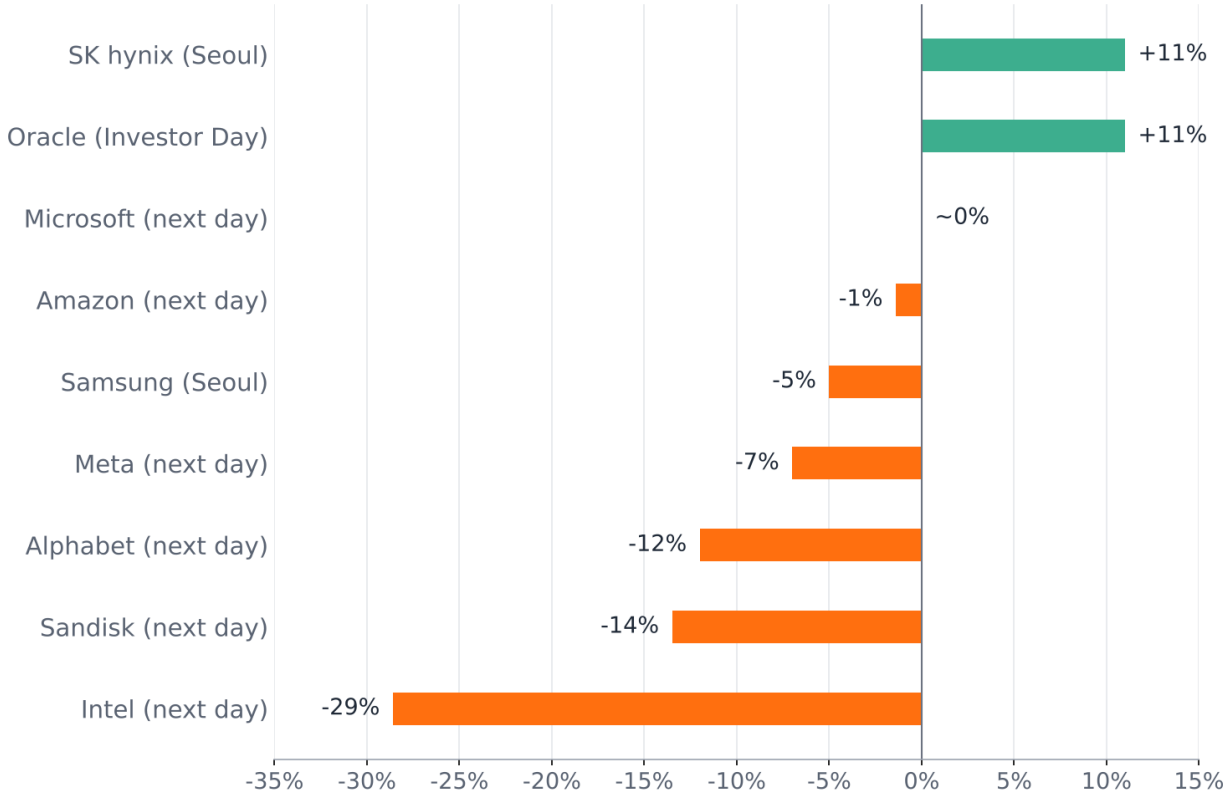
Own AI differently

Tilt to capex receivers and self-funding monetisers; expect more dispersion.

special-topic # markets

AI EARNINGS SEASON

Markets reward monetisation and punish cash burn



Rewarded
Visible revenue acceleration (Microsoft), funding clarity (Oracle) and capital returns (SK hynix).

Punished
Free cash flow falling faster than revenue accelerates (Alphabet, Amazon, Meta) and weak guidance after big rallies (Intel).

Memory: record profits, muted reactions as the peak-margin debate starts.

AH = after-hours 29 Oct, indicative. Next day = first full session. Sources: CNBC, Yahoo Finance, Benzinga, Quartz, Motley Fool

special-topic # markets

HYPERSCALERS

Cloud accelerated; cash flow moved the stocks

Company	What they reported	Reaction	Why
Microsoft (28 Oct)	Rev USD 92.3bn (+19%); Azure +48% (guide 44–45%), Q2 guide 49–50%; capex USD 45.2bn below plan; FCF USD 18.6bn; RPO USD 677bn	+3–4% AH; flat next day	Beat and raise on Azure; capex shortfall supported FCF
Alphabet (28 Oct)	Rev USD 127.6bn (+25%); EPS USD 2.12 vs ~3.02 (SpaceX mark-down); Cloud +103%, 36% margin; Search +12%; FCF –USD 9.1bn	–10% AH; ~–12% next day	Search slowdown, EPS miss, deeper cash burn; 2027 capex "significantly" higher
Meta (21 Oct)	Rev USD 64.6bn (+26%); Q4 guide USD 73–76bn; capex USD 34.9bn; FCF –USD 2.1bn; zero buybacks; non-voting Class C shares	+2–3% AH; –7.0% next day	Capex above operating cash flow; no 2027 number; equity-raising tool
Amazon (29 Oct)	Rev USD 201.9bn (+12%, slight miss); AWS +39% to USD 46.0bn; Q3 capex USD 75.9bn; TTM FCF –USD 42.4bn	–4.3% in session; –7 to –8% AH	AWS beat overwhelmed by cash burn and soft retail; 2027 capex "meaningfully more"

Sources: company releases and earnings calls; CNBC, Yahoo Finance, Investing.com. Consensus varies by provider

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SUPPLY CHAIN AND ORACLE

Suppliers collect the cash the hyperscalers spend

Company	What they reported	Reaction
Oracle (Investor Day)	FY30 revenue USD 225bn+; FCF positive H2 FY28; capex peaks FY27–28; extra funding capped at USD 20bn	+10.7%
SK hynix	Rev KRW 104.6tn; OP KRW 83.3tn (80% margin), well above estimates; shortage seen through 2030; ~KRW 100tn returns	+10.9%
Samsung	OP KRW 107.4tn, first ever >100tn; net profit below estimates; HBM4 sales tripled; 2027 HBM sold out	~–5%
Sandisk	Rev USD 11.0bn (~5x y/y); ~85% gross margin; Q2 guide above consensus; 8-for-1 split	–5.3%; AH volatile
Intel	Rev USD 16.5bn (+21%); data centre +78%; Q4 guide USD 15–16bn vs ~17bn on PC weakness	–16 to –22% AH

80%

SK hynix operating margin in Q3

2027

HBM supply already sold out at Samsung

Sources: company releases; CNBC, Quartz, Benzinga, Investing.com, Motley Fool

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ANTHROPIC S-1

The demand side: frontier-lab economics are improving fast

16.3

USD bn H1 2026 revenue (FY25: 4.6)

48%

compute expense / revenue in Q2 (144% in Q4 25)

~266

USD bn expected compute commitments, plus ~55bn non-cancellable



Positive

Q2 operating profit (~8% margin); the USD 80.7bn H1 net loss is largely fair-value accounting on financing instruments. Improving unit economics suggest AI demand can become self-financing.

Watch

Commitments include ≥USD 114.5bn with Google, 110bn with Amazon, 44.9bn with Microsoft. Lab revenue is not contracted for the life of these bills, so lab funding is part of the hyperscaler credit story. AI IPOs add equity supply in 2027.

Source: Anthropic S-1 (26 Oct 2026) and press coverage. Note: this deck was drafted with the assistance of Claude, an Anthropic model

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WHAT CEOS AND CFOS TOLD US

Management is doubling down, not slowing down

Microsoft

Satya Nadella / Amy Hood

Returns compound across the stack. Q2 capex above USD 50bn; FCF-positive in FY27, other funding when attractive.

Alphabet

Anat Ashkenazi, CFO

2026 capex unchanged at USD 195–205bn; 2027 to increase significantly. Renting third-party compute to bridge supply.

Amazon

Andy Jassy, CEO

AWS growth above 40% in 2027 and 2028; capacity largely sold out; 2027 capex meaningfully higher.

Meta

Susan Li, CFO

No 2027 guidance until January; will keep investing aggressively and sustain strong revenue growth.

Oracle

Management

Capex peaks in FY27–28 and steps down in FY29; final funding need this cycle is USD 20bn.

Memory

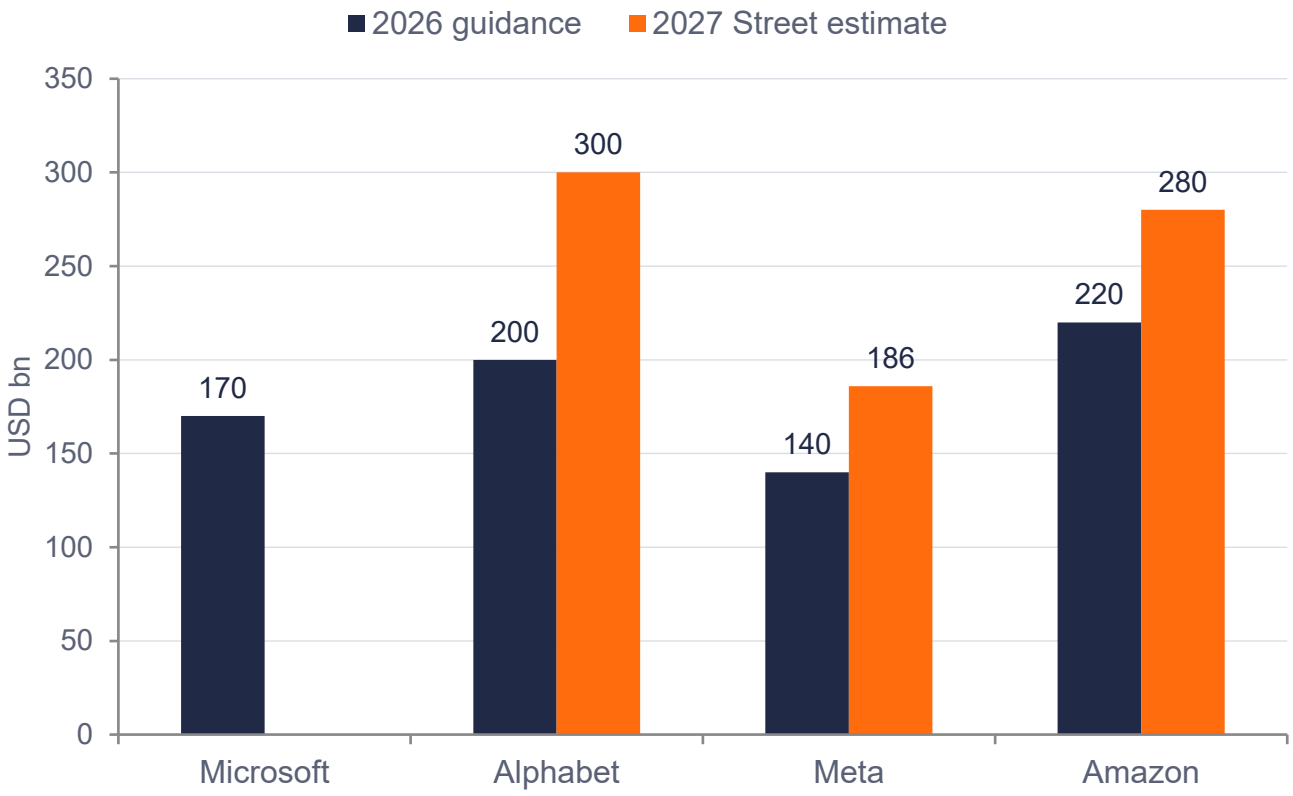
SK hynix / Samsung

Demand exceeds supply through 2030 (SK hynix) and into 2028 (Samsung); 2027 largely locked by contracts.

Paraphrased from earnings calls and releases. Sources: Motley Fool, Benzinga, Investing.com transcripts

READTHROUGH 1: CAPEX

Capex: ~USD 730bn in 2026, and more in 2027



~730

USD bn of 2026 capex guided by the four hyperscalers, close to double 2025

1.6

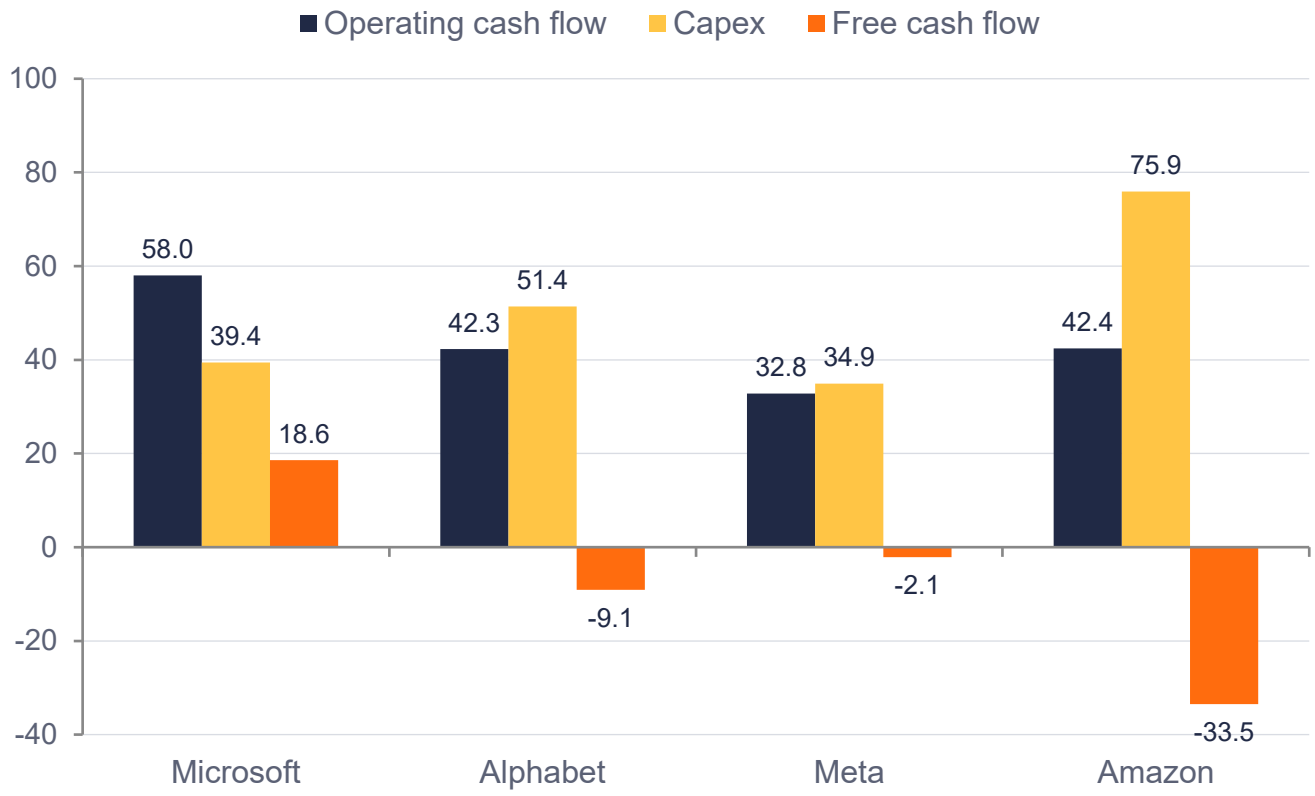
USD tn of 2027 hyperscaler capex expected by Morgan Stanley

2026 = guidance midpoint (Microsoft calendar year). 2027 = pre-results Street estimates; Microsoft not guided. Sources: company guidance, CNBC, Admiral Markets

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FREE CASH FLOW

Capex now exceeds cash flow at three of four



–26

USD bn combined Q3 free cash flow, vs ~+60bn a year ago

–144

USD bn group FCF projected for 2027 by Bank of America

Q3 2026, USD bn. Microsoft = fiscal Q1 FY27; capex in cash. Alphabet/Amazon OCF and Amazon quarterly FCF derived by Syz. Sources: company filings

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FINANCING

The AI build-out is now externally financed

Debt

~USD 223bn hyperscaler IG issuance by early September; UBS sees 270–290bn for 2026. Goldman: ~35% of 2027 capex debt-funded.

Equity

Alphabet USD 80bn programme incl. Berkshire; Meta non-voting Class C; Oracle ATM; Intel USD 23bn. Buybacks cut.

Partner capital

Finance leases (Microsoft USD 7.4bn in Q3), rented third-party compute, vendor financing and customer prepayments.

What it means

- Heavy, persistent supply of long-dated paper with the US 10-year near 5% and the Fed on pause after its September hike
- A higher equity risk premium for business models once valued as capital-light
- Fragility at the weak end: neocloud demand outruns financing (Huang). A funding accident would start there, not at the hyperscalers

Sources: UBS, Goldman Sachs, company filings; Jensen Huang at GTC Berlin, 22 Oct 2026

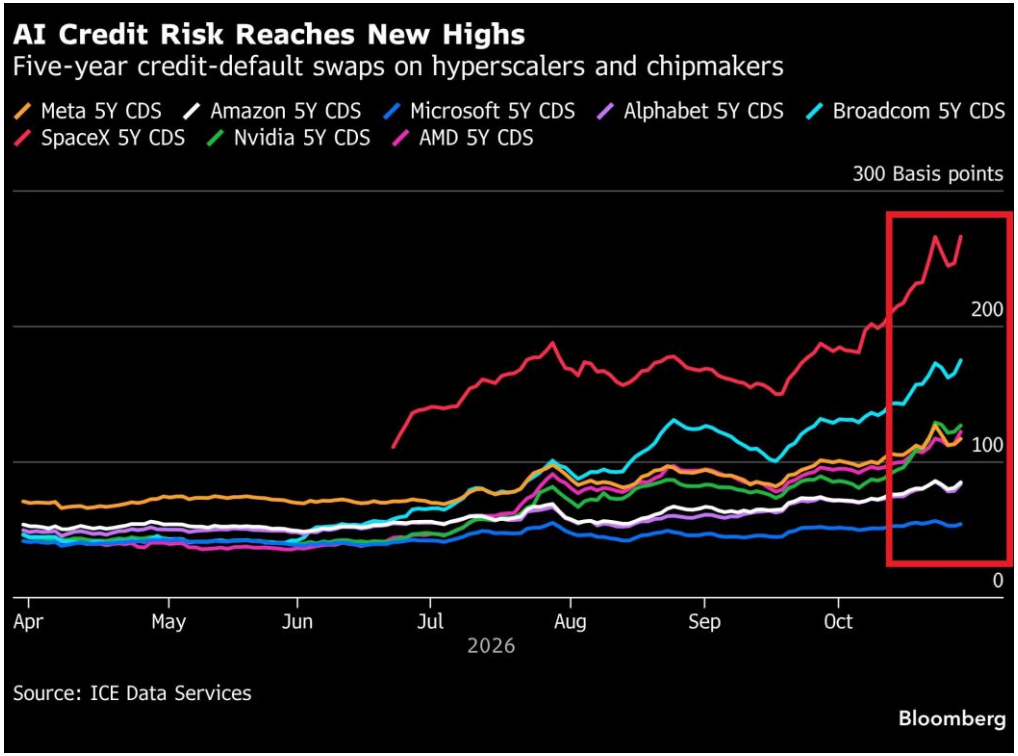
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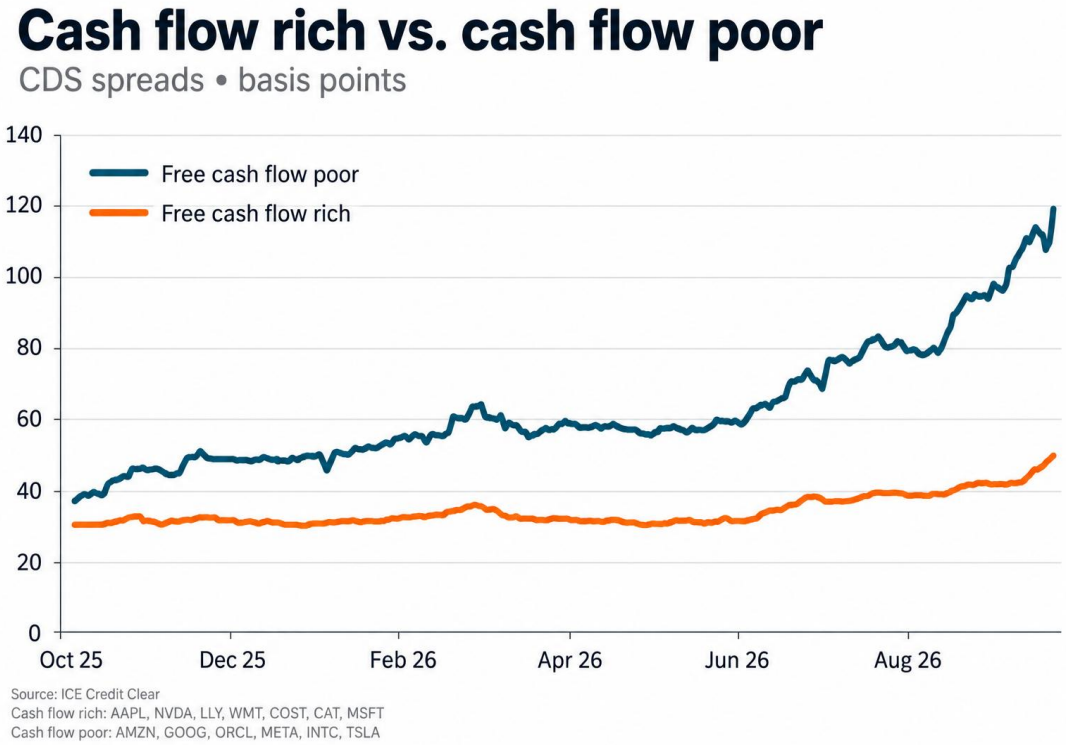
AI CREDIT RISK

Credit market is becoming more selective

CDS spreads on free-cash-flow-poor companies have spiked…while **cash-rich balance sheets remain relatively insulated**.

The message? **Liquidity is becoming the market's most valuable asset.**

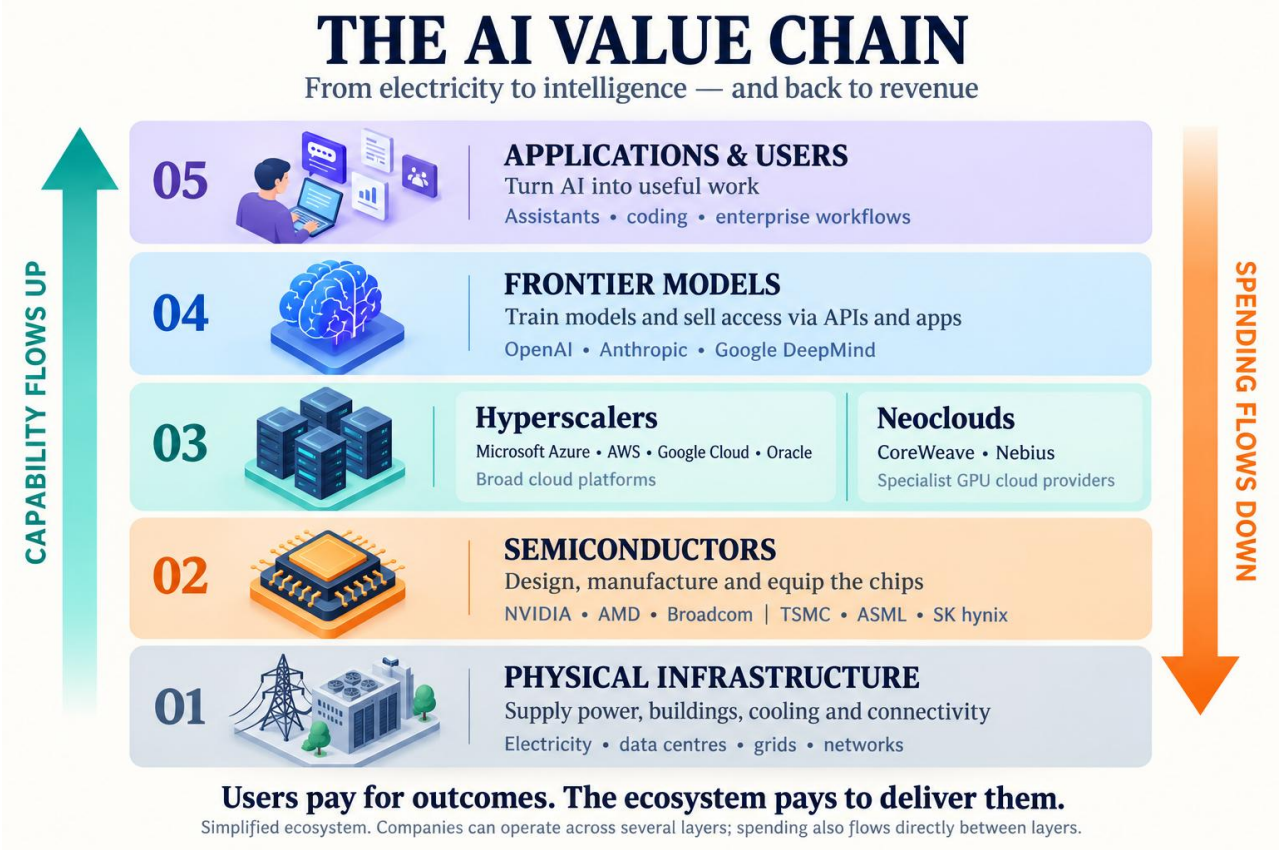


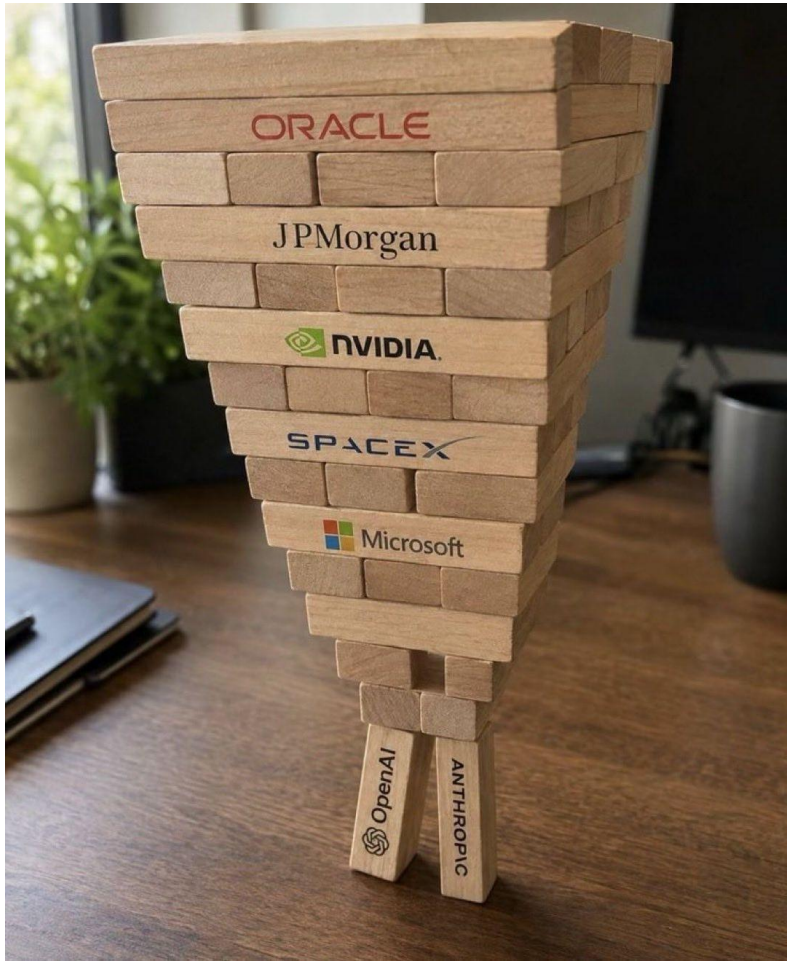


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THE AI VALUE CHAIN

Weakness of any component would put the whole AI value chain at risk



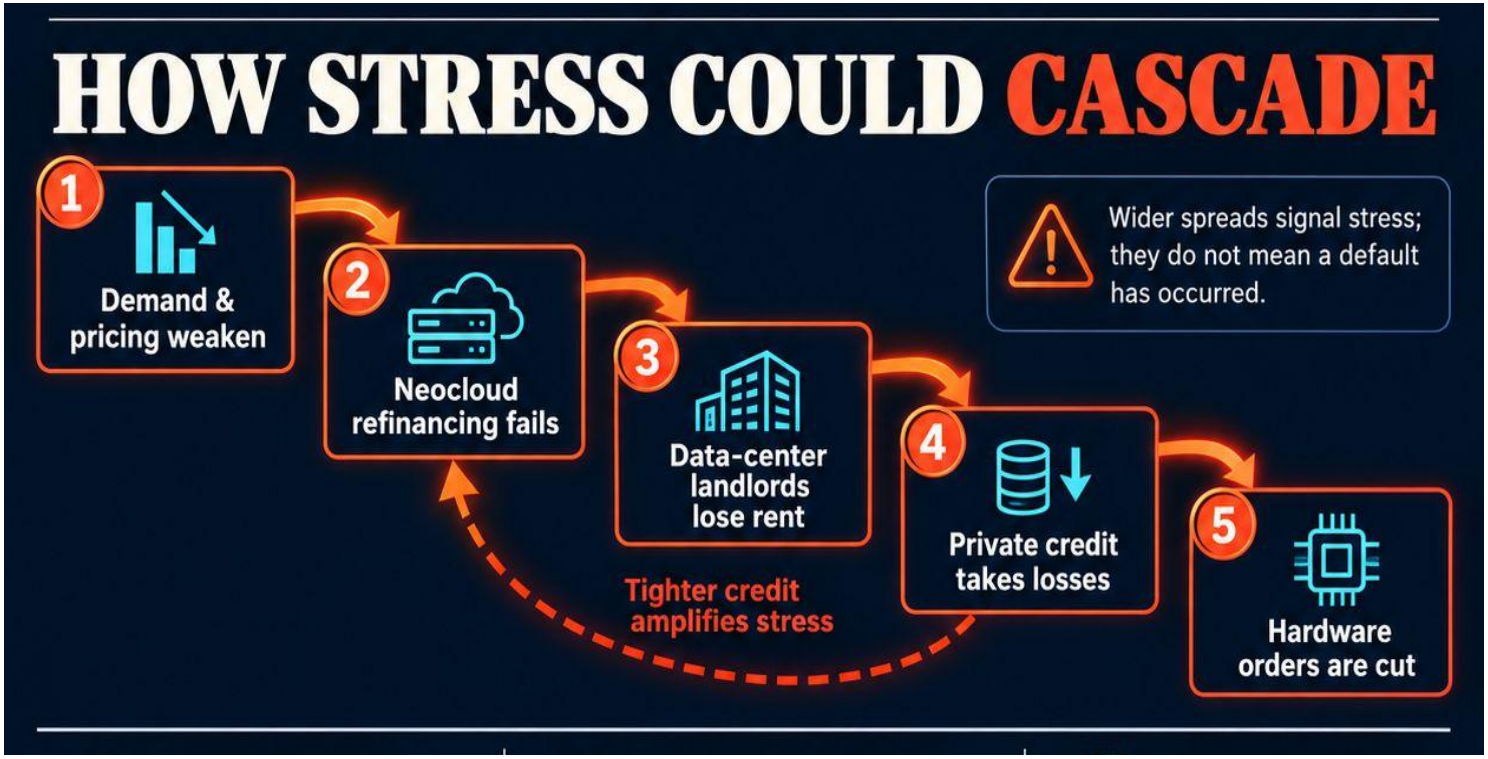


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FINANCING

What the market fears…

The biggest risk is a chain reaction: **funding dries up just as GPU rental prices fall.** Here's how it could unfold. 👇



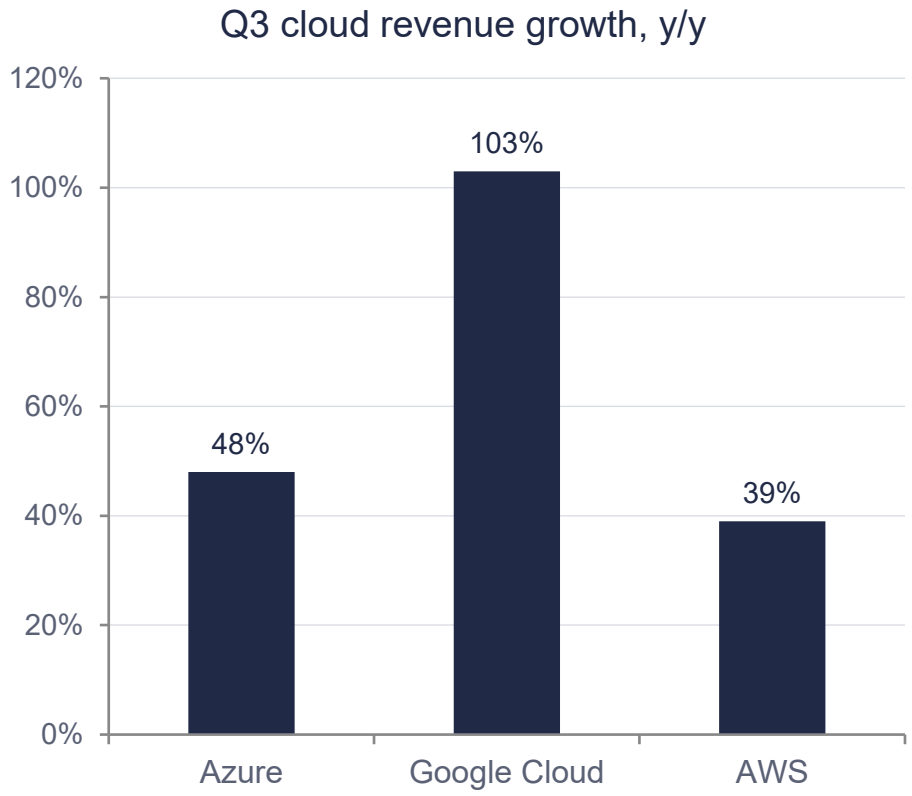
Then comes the feedback loop: Default → forced GPU sales → lower collateral values → tighter lending → more forced sales.

That's how one company's financing problem could spread across the sector. AI demand can't keep growing while the businesses financing its infrastructure struggle.

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READTHROUGH 2: MONETISATION

Monetisation is real, and accelerating



Contracted backlog, USD bn

677	Microsoft commercial RPO (+73%)
664	Oracle RPO
561	Google Cloud backlog

Strongest evidence yet that AI infrastructure earns real revenue. Weaker links are consumer-facing: Search slowed at Alphabet, while Meta and Amazon spend ahead of disclosed AI revenue.

Oracle RPO as of 31 Aug 2026. Sources: company filings

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THE UPSIDE RISK

If they want to go negative FCF for a few quarters, let them…

Hyperscalers are FCF negative because **they are trying to fill $2.48 TRILLION of signed revenue backlog**

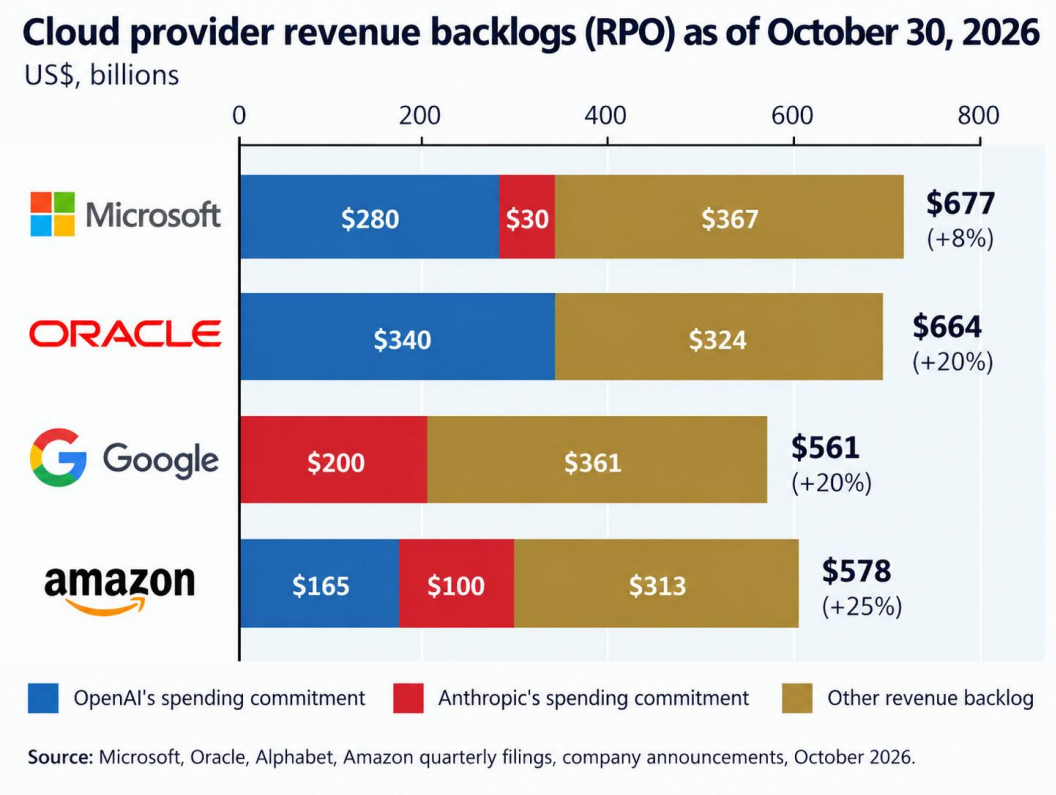
Google expects just over 55% of its $561B backlog to hit revenue in the next 24 months...

Oracle expects around half of its backlog to convert over the next 36 months

And Microsoft says roughly 30% of its backlog gets recognized in the next 12 months.

Lastly, Andy Jassy said Amazon is installing an AI accelerator about every 14 seconds and customers are "gobbling it up" almost as fast as it goes in.

AWS just grew 39%, its fastest in nearly 5 years. Google Cloud revenue grew 103% to $30.7B. Azure grew 48%



Hyperscalers need to go negative FCF for a few quarters to fund this backlog and set their businesses up for even more growth in the future...

Negative FCF is a real problem when you're spending money and hoping the customers show up. Here **the customers already signed, and the only thing missing is the capacity to serve them**

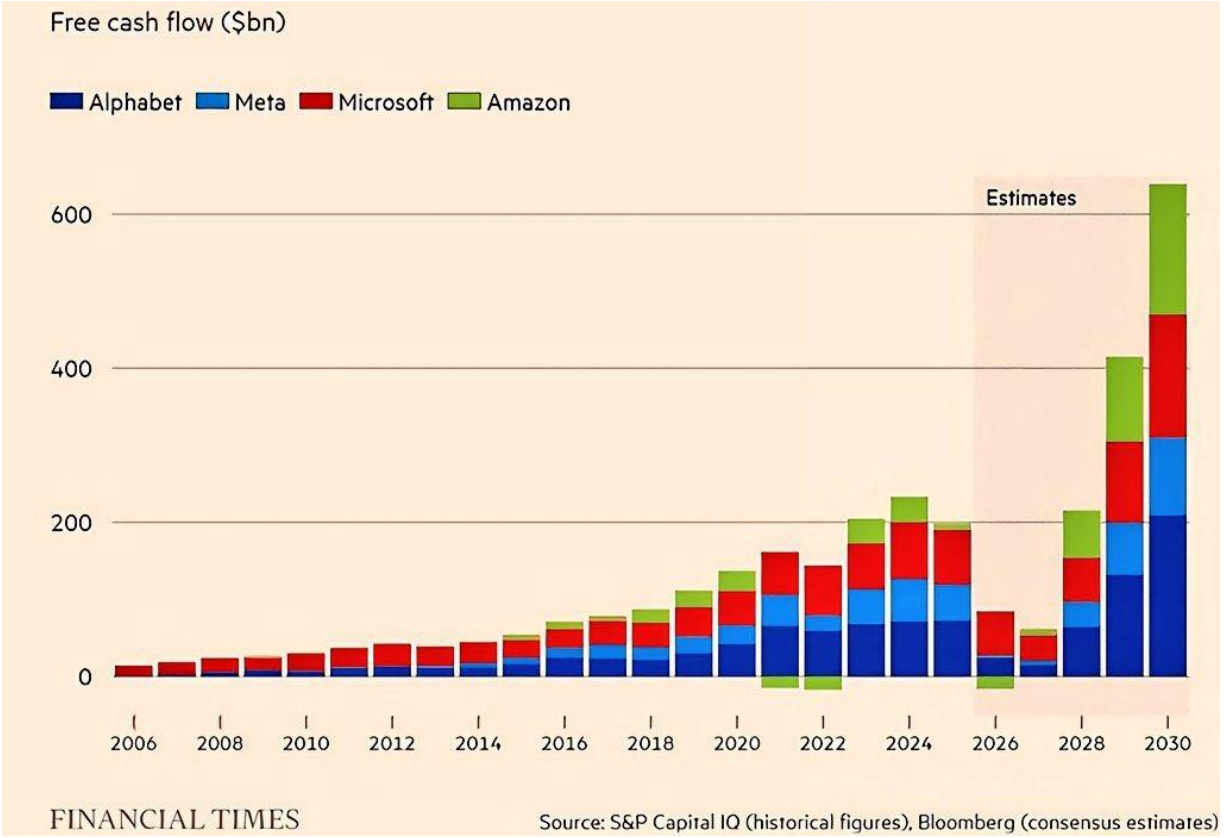
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THE UPSIDE RISK

MAG 7 free cash flow is forecast to SURGE above $600 BILLION by 2030, per Bloomberg.

- **That's over SIX TIMES the roughly $90 BILLION in 2024**, with **growth accelerating from 2027**. **The bet is that massive AI spending starts delivering stronger cash returns.**

- **If those forecasts hold, today's valuations could look cheap in hindsight.** If they miss, valuations could face further pressure.



AI OUTLOOK 2027

Stay invested in AI, but own it differently

Theme	Stance	Rationale
Hyperscalers	**Selective**	Prefer self-funding monetisers with accelerating cloud and capex discipline; patience with heavy cash burners until FCF troughs are visible
Semis and memory	**Positive**	2027 volumes and prices largely locked; margins near record; favour LTAs and shareholder returns
Power, grid, networking	**Positive**	Bottleneck beneficiaries, less exposed to the memory price cycle
Software	Cautious	AI disruption risk now priced; separate platforms from seat-based incumbents
AI-linked credit	**Up in quality**	Hyperscaler IG fine but supply-heavy; avoid weaker neocloud and data centre credit
Global equities	**Neutral to modestly positive**	Strong earnings, ~19x forward P/E; higher rates and funding risk argue for diversification beyond US mega-caps

Indicative views for discussion; not a recommendation to buy or sell any security

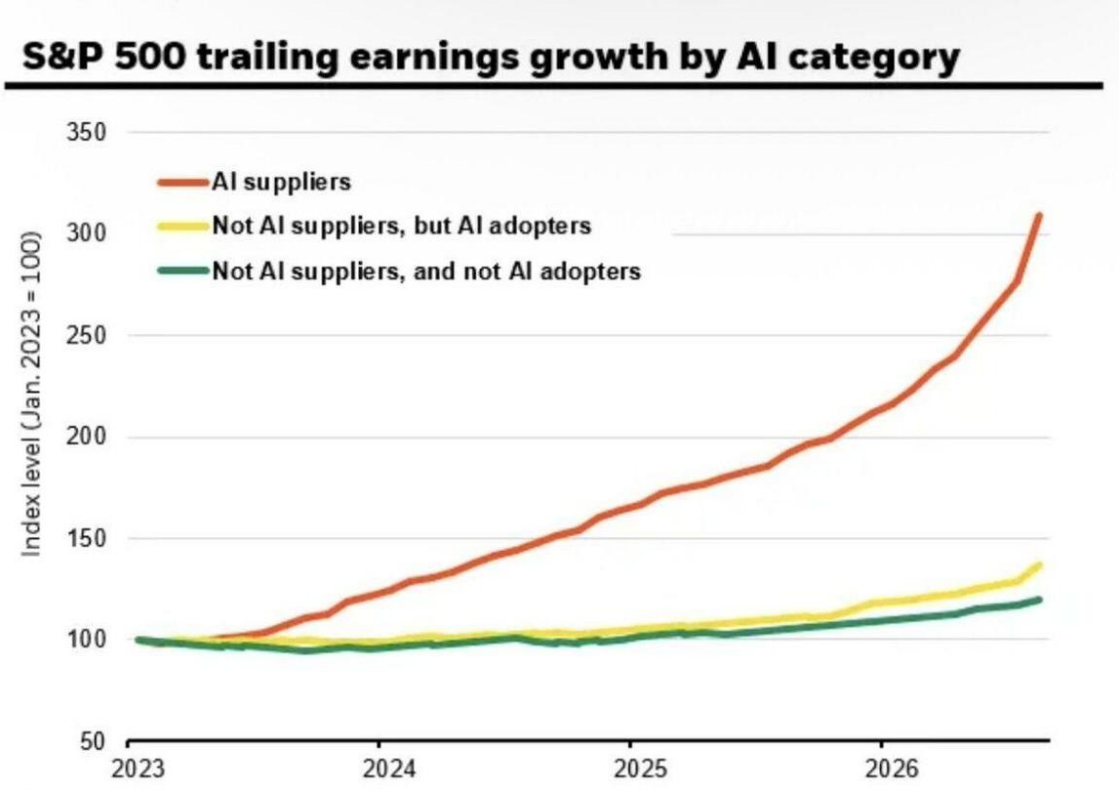
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AI DEMAND

What the market would like to see…

Blackrock's Wei Li: **"Picks and shovels" can only take us so far... we need to strike "gold"** at some point. Ultimately customers hold the bag, they need to buy enough models and compute to justify the unprecedented spend to produce these, and their productivity breakthrough and new revenues are the “gold” of our AI revolution (see yellow line as a proxy).

If the end customers don’t think they could strike gold, they would rethink how much they buy and that is the engine of the whole AI trade. That’s what we are looking out for this earnings season".



Conclusion:
Less “spend at any cost”, more “earn on every dollar”

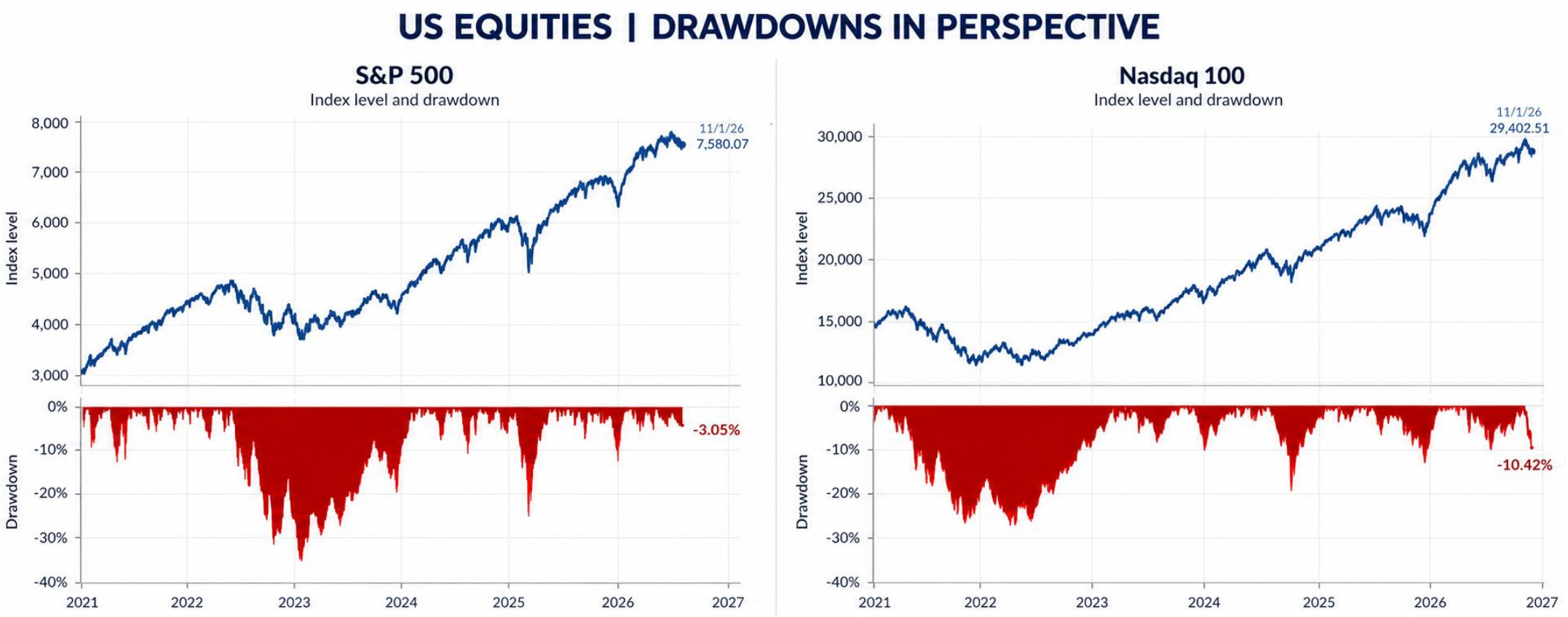
The AI cycle is NOT breaking. It is entering a more capital-intensive and more selective phase.

Revenue growth and backlogs support the investment case, while the shift from self-funded to externally funded capex makes credit markets, rather than earnings alone, the arbiter of how far and how fast the build-out can go; this is why AI capex funding is one of the four signals that would change our equity stance.

- Upside risk: FCF stabilising in H1 2027, lower yields
- Downside risk: failed AI IPO or bond deal, power constraints, early memory roll-over

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US equities: The drawdown put into perspective



Source: supplied Bloomberg / Bianco Research charts. Visual reconstruction; curves approximate.

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Source: Bianco Research, Bloomberg

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US equities: It remains a bull market until proven otherwise

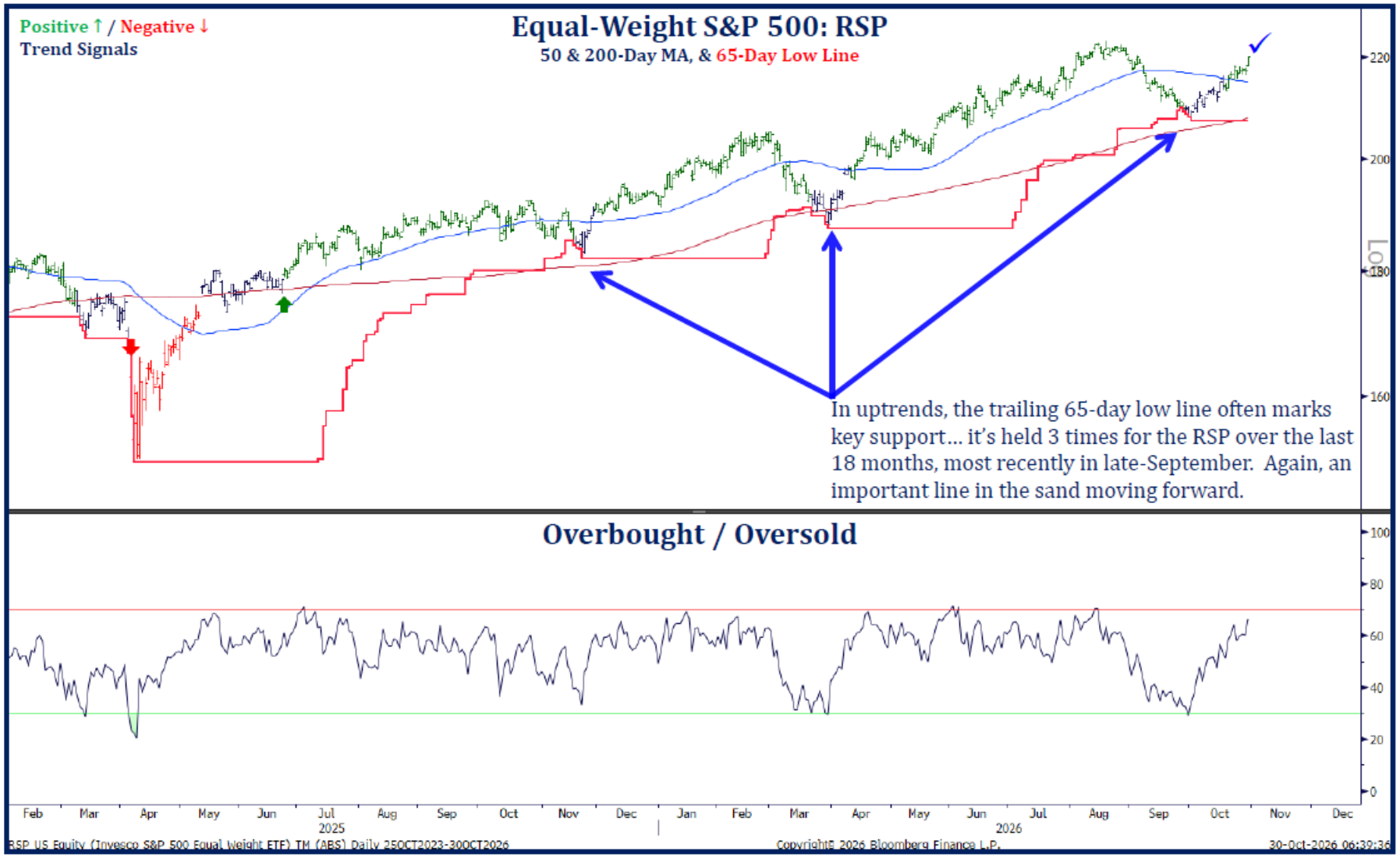


Source: Bloomberg

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US equities: As Nasdaq get hit, S&P equal weight is again approaching the highs



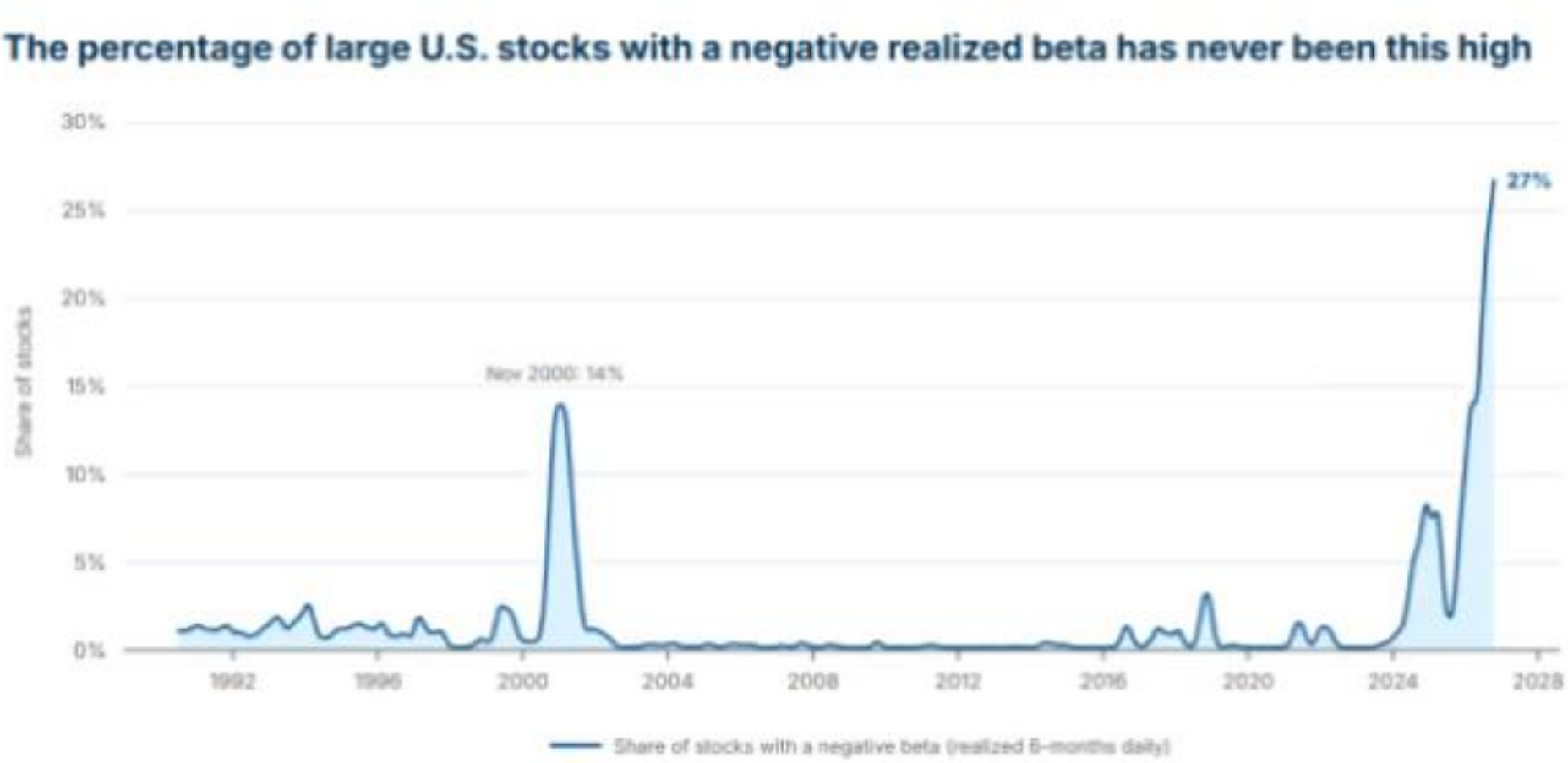
Source: Strategas

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US equities: There is indeed room to diversify portfolios...



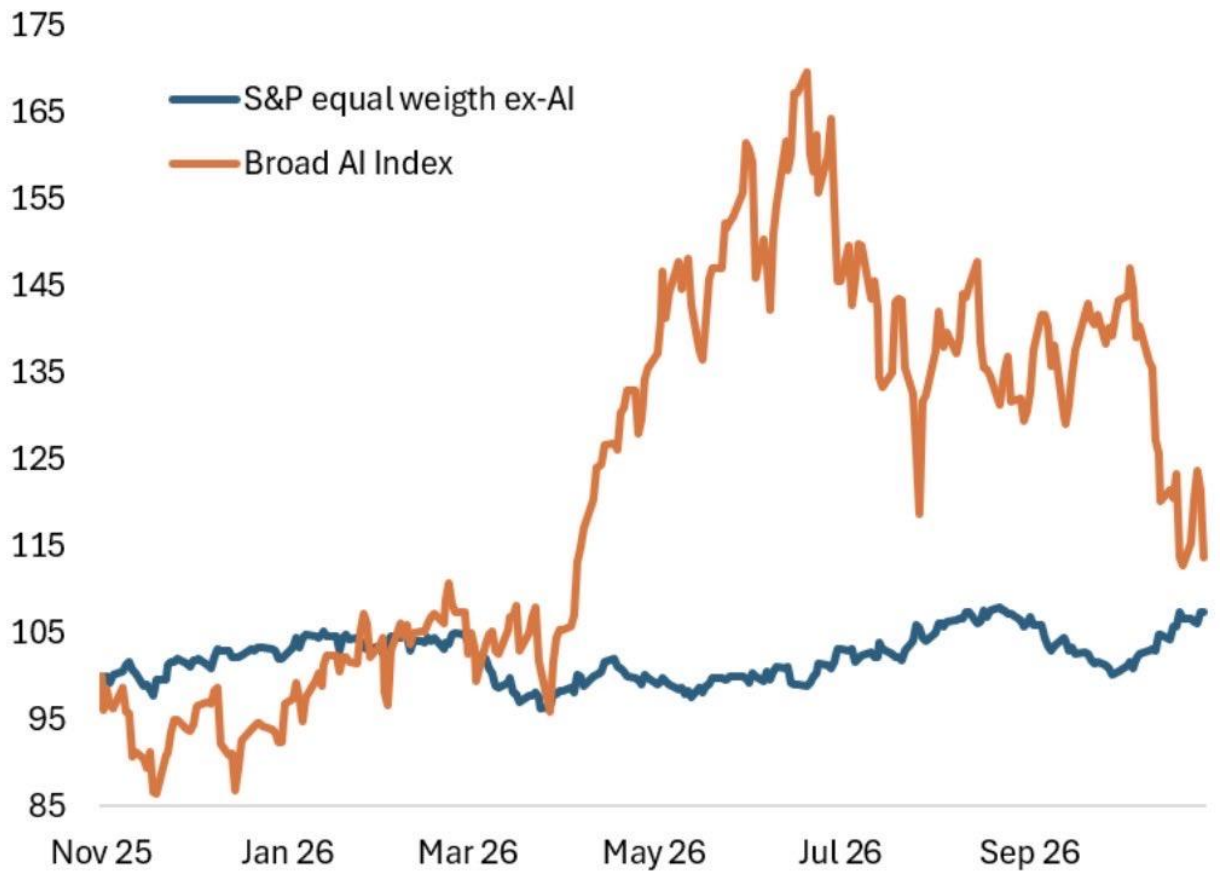
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Source: NISA Investment Advisors

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US equities: The AI trade mean-reversion is almost over

Figure 3: Ex-AI and AI Indices (normalized scale)



Source: Morgan Stanley

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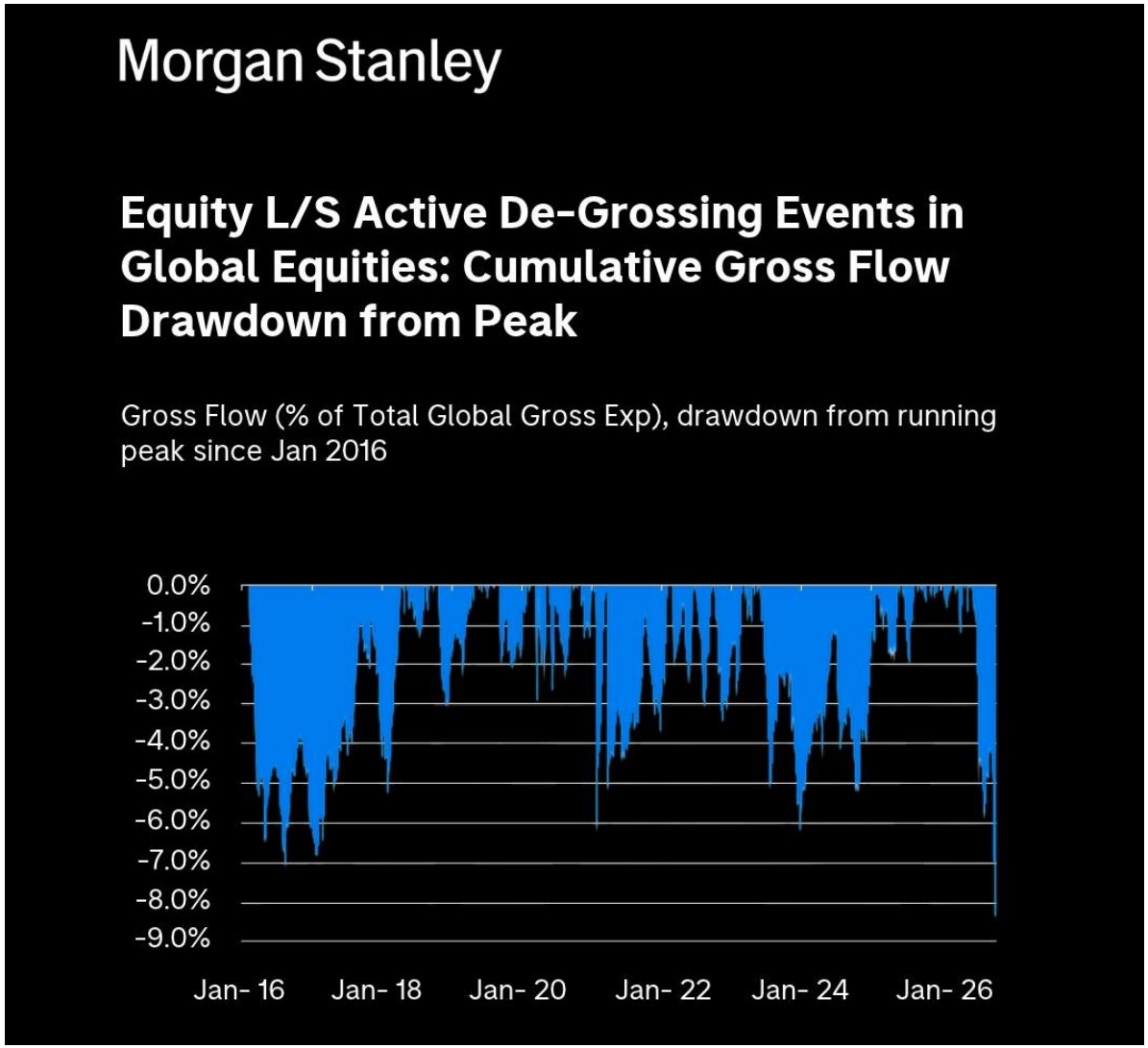
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US equities: Hedge funds among the culprits of the Tech sell-off

- **The unwind in Hedge Fund equity exposures this year has been the biggest since at least 2017.**

- Active de-grossing (reduction in long + short positions) by global hedge funds has now hit over 8% of total gross exposure since June, according to the Morgan Stanley Prime Brokerage Content team.

- This has taken gross leverage for US long/short funds down to the 10th percentile versus the last year.



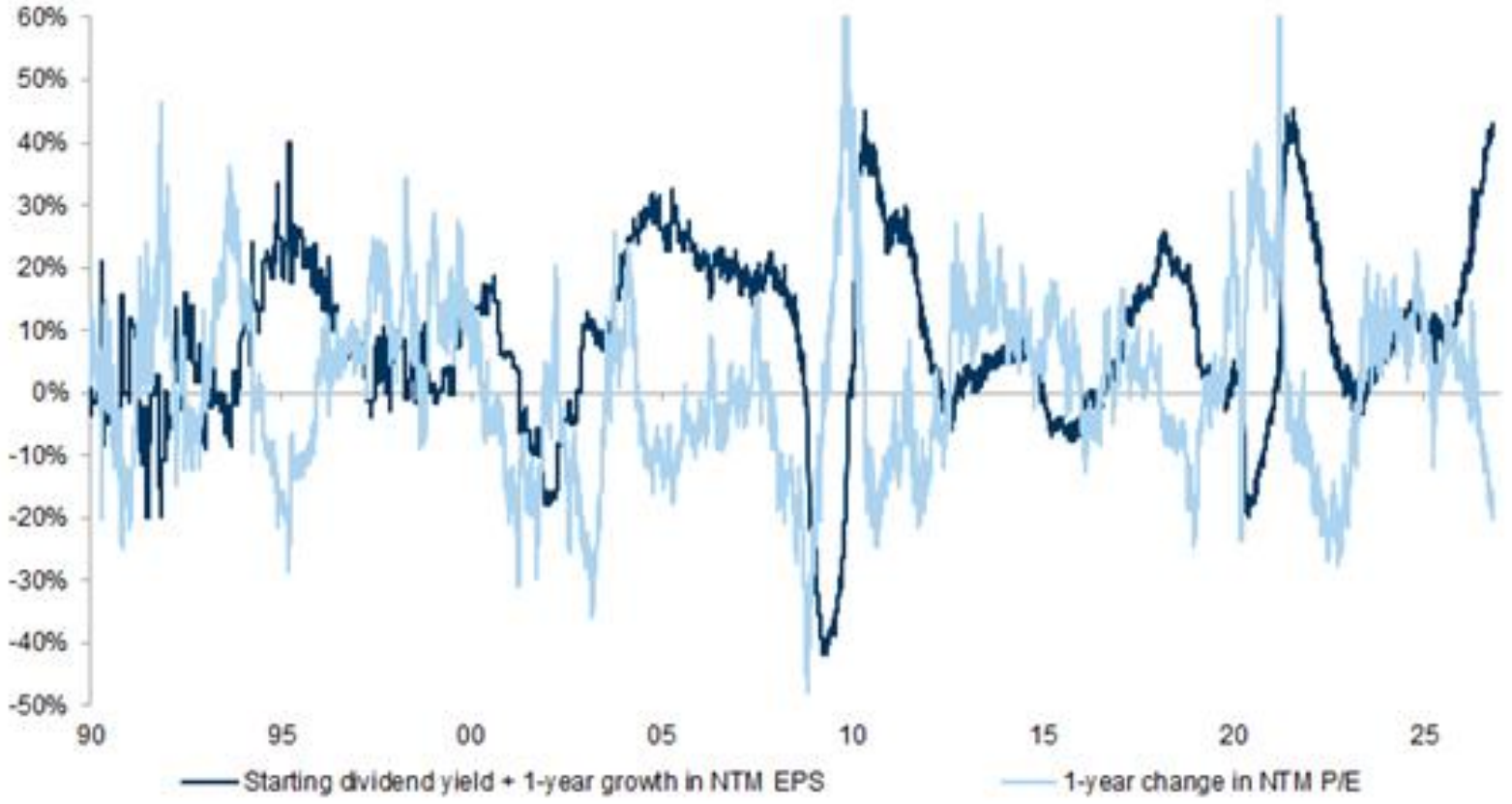
Source: Morgan Stanley

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US equities: A shallow correction so far but a brutal de-rating

Exhibit 8: Global equities have de-rated materially with 12m forward P/E ratios down c.20%



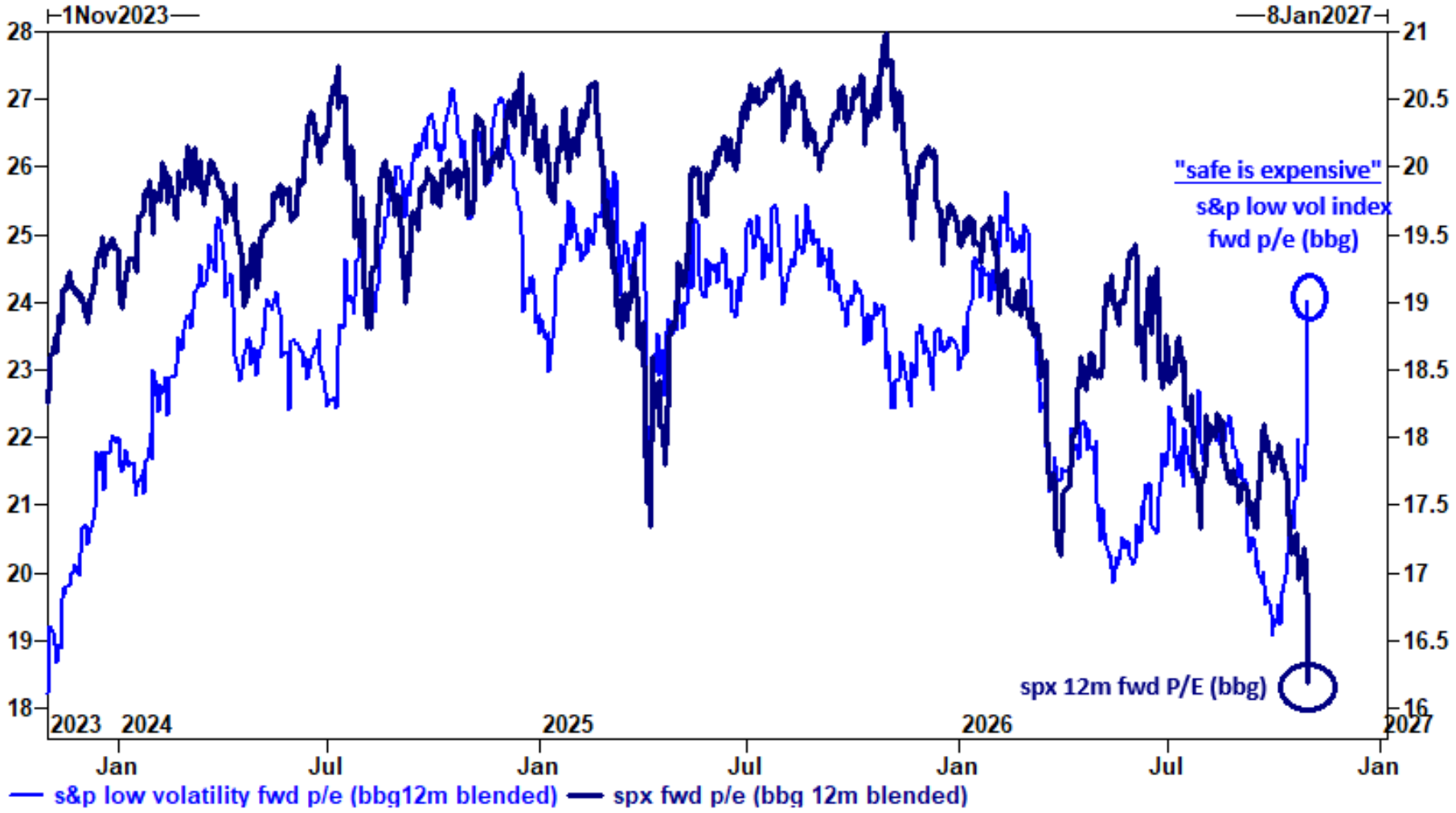
Source: Datastream, Goldman Sachs Global Investment Research

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Source: Datastream, Goldman Sachs

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US equities: “Safe” stocks are becoming expensive while the broad index P/E is de-rating as “AI trade” gets cheaper

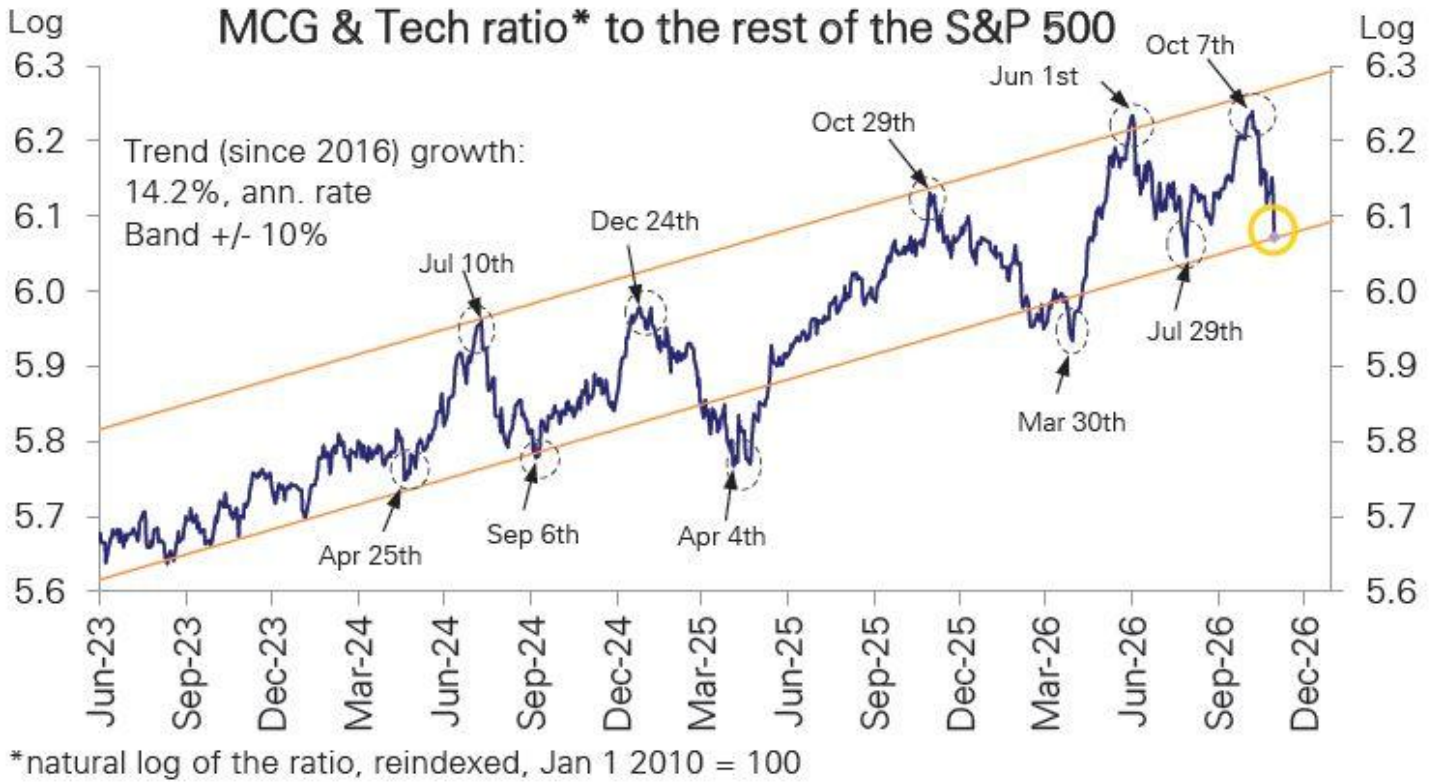


Source: Datastream, Goldman Sachs

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US equities: The latest Mega-Caps Growth & Tech selloff has pushed relative performance to the bottom of its long-term trend channel

Figure 1: Tech relative performance has gone from the top to the bottom of its long-run trend channel in just three weeks



Source : Bloomberg Finance LP, Deutsche Bank Asset Allocation

Source: DB

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US equities: Some of the key levels to watch for Tech & beyond

- **The macro & liquidity components which have weighed on the Tech trade:**
  - **42 global central bank hikes** in the past 6 months
  - **US dollar** and **Treasury yields** up for the past 4 months

- **Tech's slide is a stall, not "mortal". But some lines need to hold:**
  - **$70 on the Mag7**
  - **$520 on the SMH**

- **What could trigger a prolonged bear market:**
  - Jobs losses and / or a credit event

- **<u>What could trigger a rebound</u>:**
  - An earlier than expected end of Fed rate hikes
  - Collapse in oil prices in H1



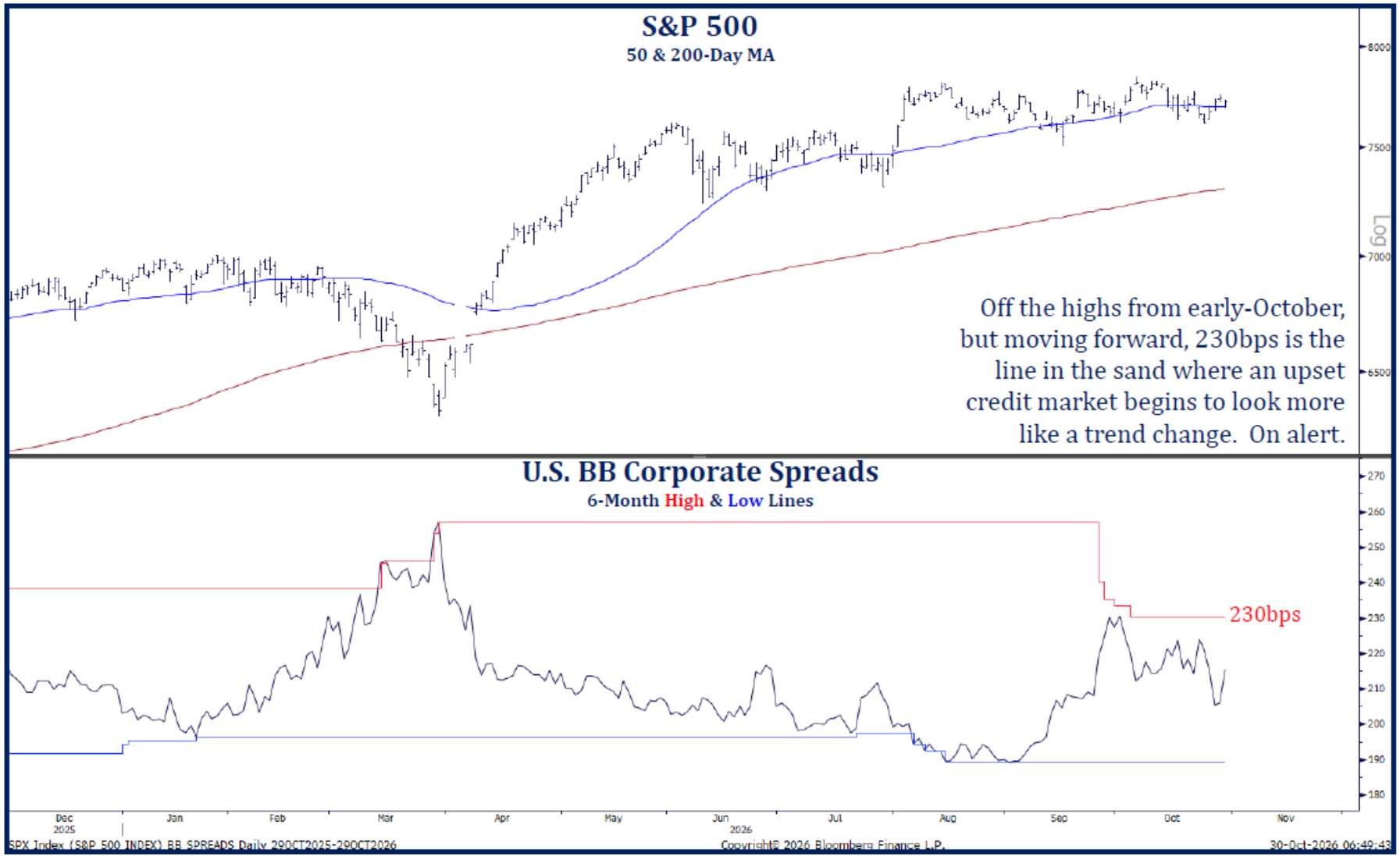


Source: BofA

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US equities: Important for the S&P 500 that credit doesn't deteriorate further

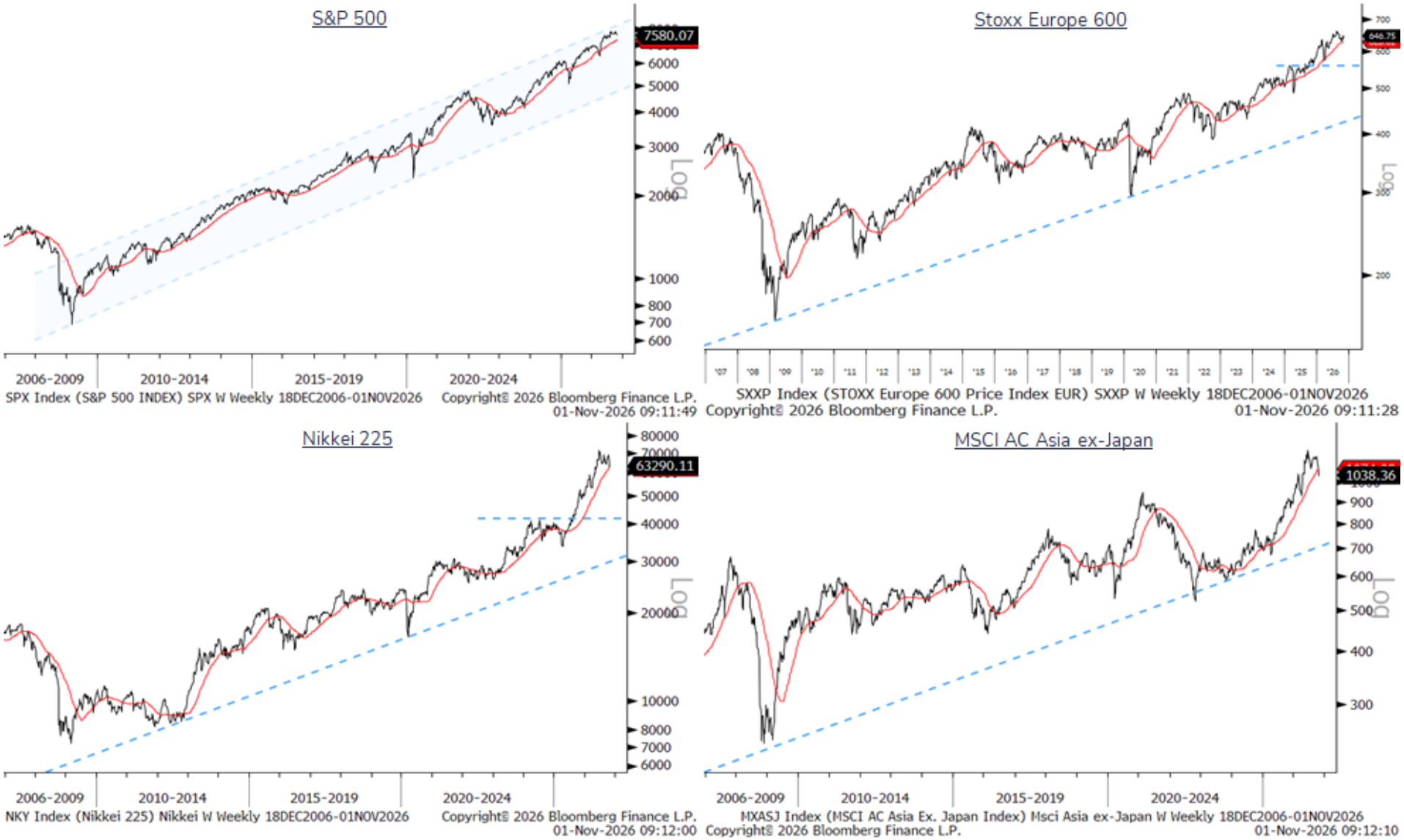


Source: Strategas

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Global equities: It remains a bull market until proven otherwise

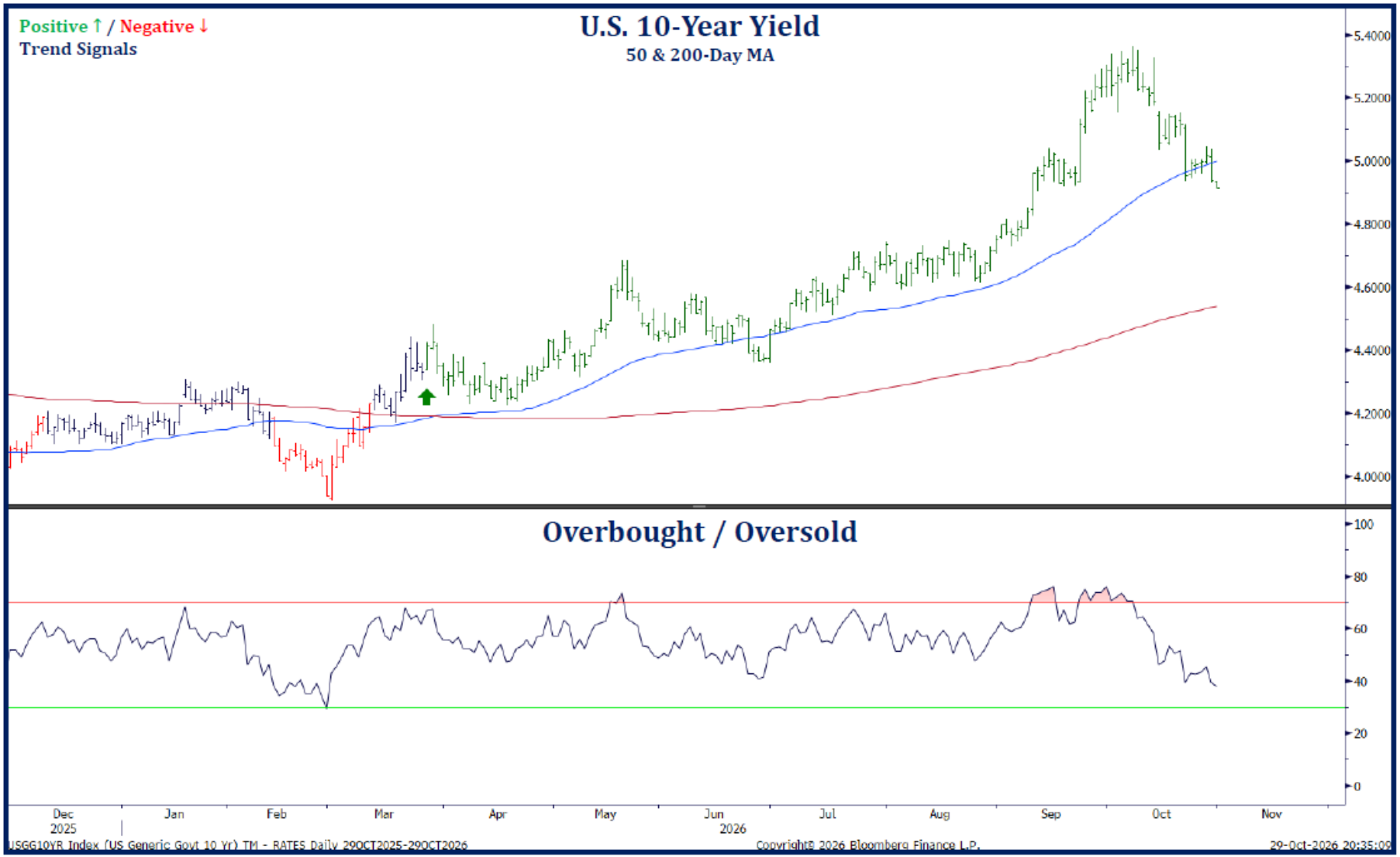


Source: Bloomberg

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Fixed Income: 10-year yield dropped the 50-day MA for the 1st time since June

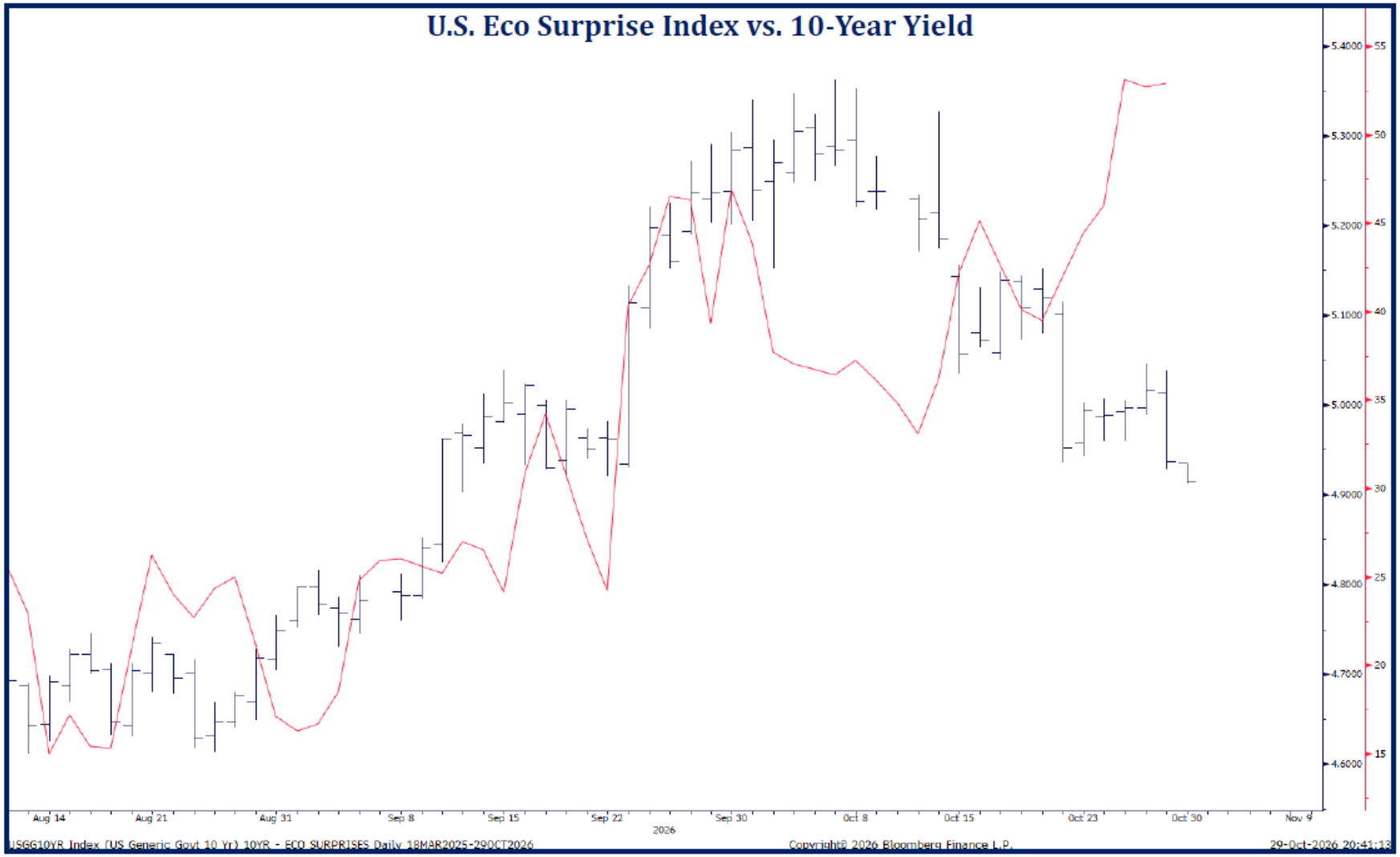


Source: Strategas

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Fixed Income: The drop in US 10-year yield does NOT seem to be linked to macro data

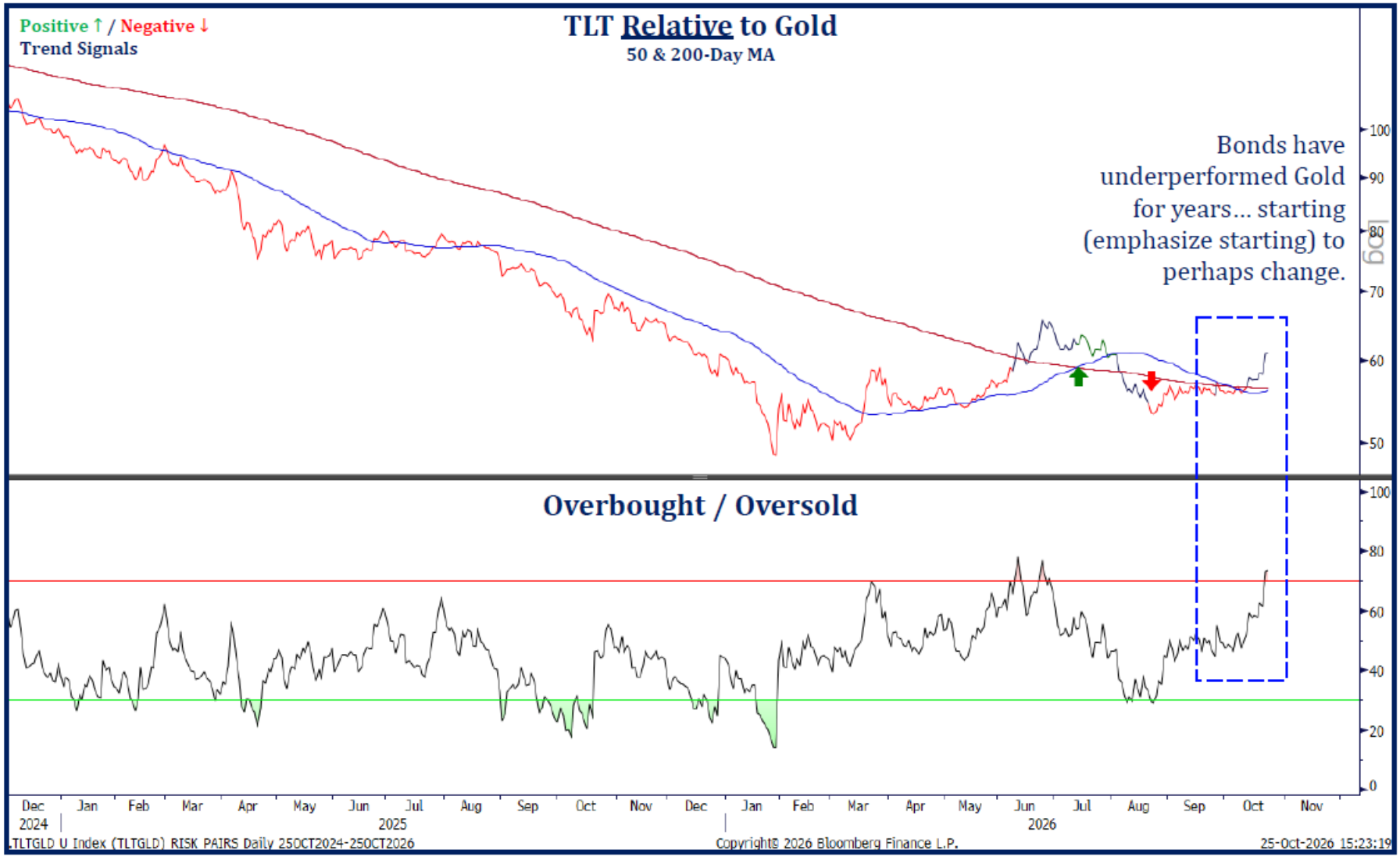


Source: Strategas

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Fixed Income: Is the $TLT (iShares 20y+ Treasury bond ETF) a better portfolio hedge than $GLD Gold ETF ?



Source: Strategas

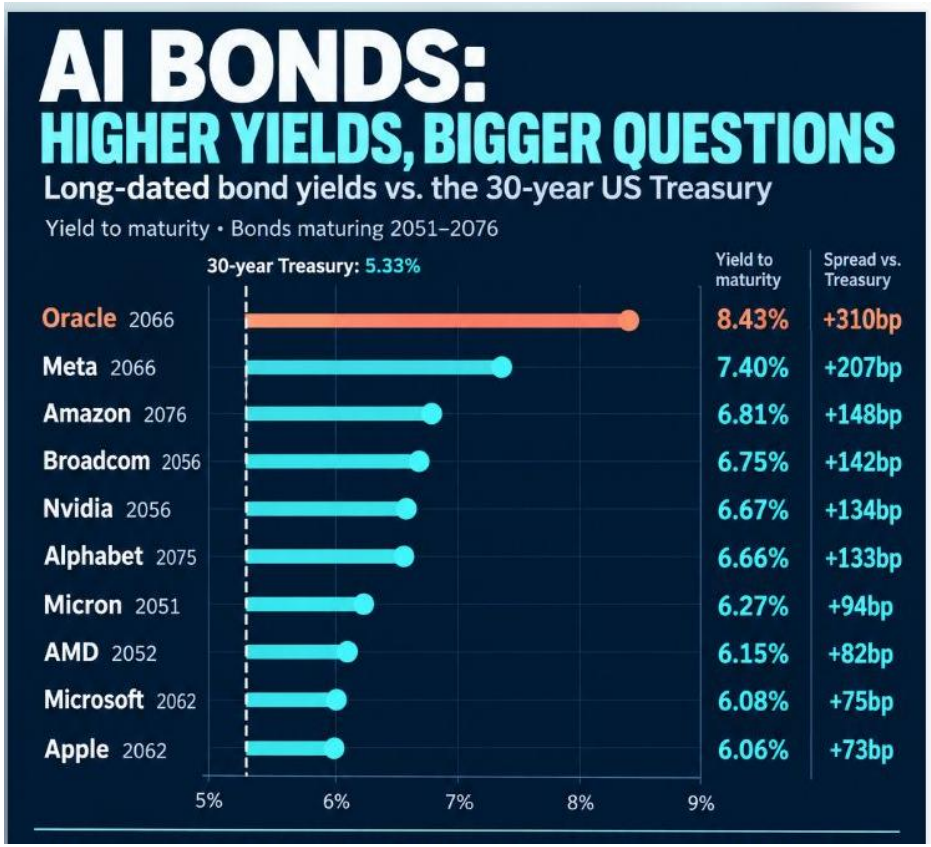
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Fixed Income: AI Credit now offers juicy yield to maturity

- **BofA's Michael Hartnett thinks it may be time to start buying the (credit) "diamonds in the rough."** His view: AI's funding squeeze is hurting tech stocks. Could it be creating an opportunity in tech bonds?

- .Bond markets are imposing discipline on the AI spending boom 👇 **Hartnett's argument: that pressure may now be creating opportunities for lenders.**





Source: BofA

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Commodities: Forced liquidation on Gold ?

- **Gold is where the debasement crowd got hurt. Spot is down over 6% in October (second down month in a row), down over 3% on Friday alone to its lowest since October 2025 on what looks like forced liquidation - crashing back below $4,000, after a high close of $4,194 on Oct 10…**



Source: Bloomberg

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Commodities: Gold short-term chart turned bearish



Source: Bloomberg

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Commodities: Silver short-term chart turned bearish

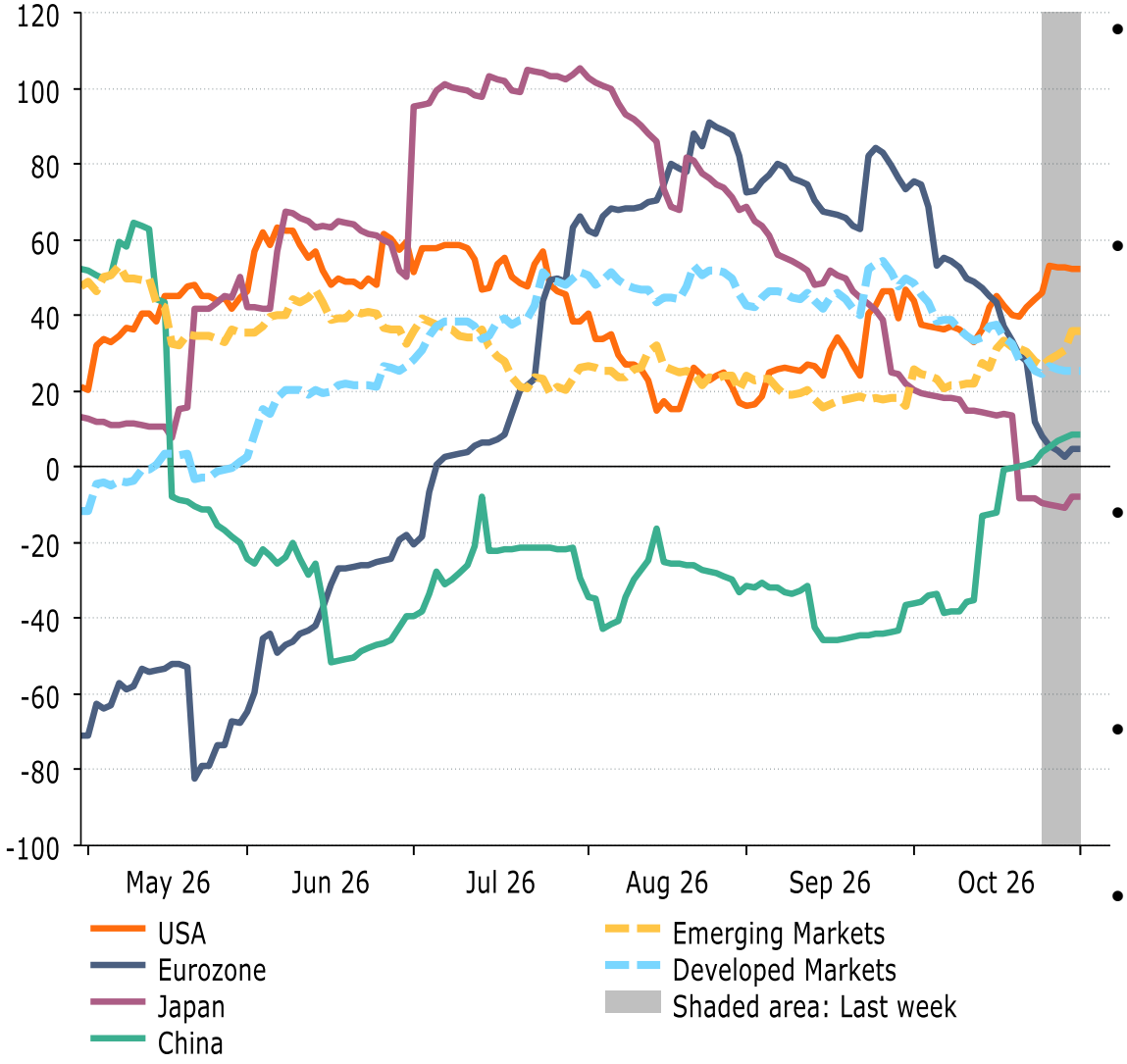


Source: Bloomberg

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Economic surprises: Macro data surprises grinded upwards for EM but sideways for DM, bringing EM to the top, both on solid levels



- **US surprises again higher** as GDP and CBs consumer confidence data were above, goods order in line, housing data mixed and spending data slightly below expectations
- **Eurozone surprises dropped close to zero line** as EU business and consumer sentiment and unemployment came in lower than expected only German business sentiment (IFO) was a positive surprise
- **Japan surprises stable in slightly negative territory** with disappointing retail sales but positive industrial production figures while consumer confidence was inline expectat.
- **China's surprises grinded into positive surprise territory** as indus. profits surprised positively & PMIs slightly negative
- **Overall, economic surprises for EMs improved last week to more solid levels while DMs mostly went sideways now below EM surprises, still on solid levels**

Source: LSEG Datastream / Syz Group

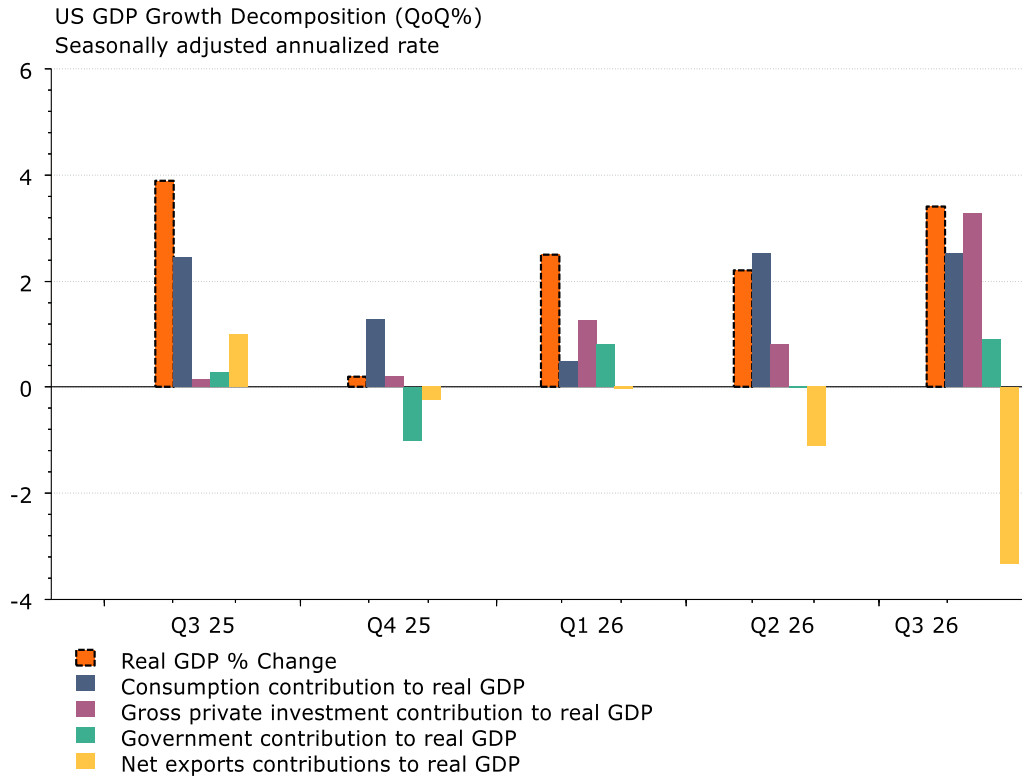
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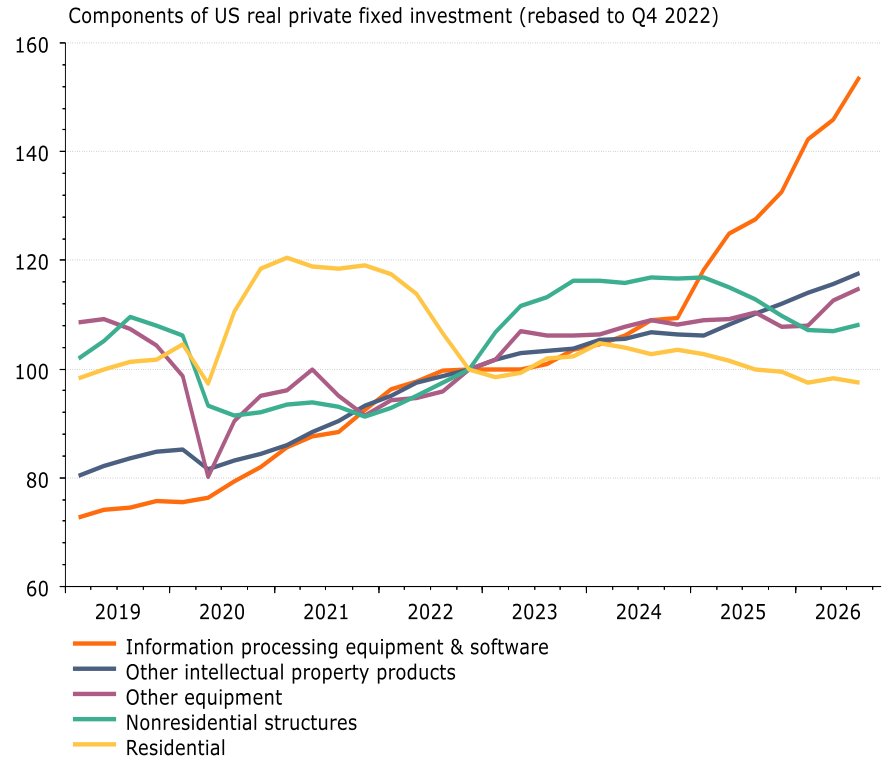
macro

US growth: GDP was a tad better than the already strong estimates – consumption was steady but shows first signals of weakness

- **Real GDP grew 3.4% annualized in Q3, somewhat above consensus expectations of 3.2%, composition was strong. Consumer spending rose 3.8% annualized, above expectations. Real private fixed investments in IT rose again strongly while declining in the residential sector.**
- However, **we expect expenditure growth to slow compared with the recent rapid pace**, as the boost from the fiscal stimulus measures at the start of the year subsides almost fully and **expenditure aligns with the pace of real income growth**.



Source: LSEG Datastream / Syz Group



Source: LSEG Datastream / Syz Group

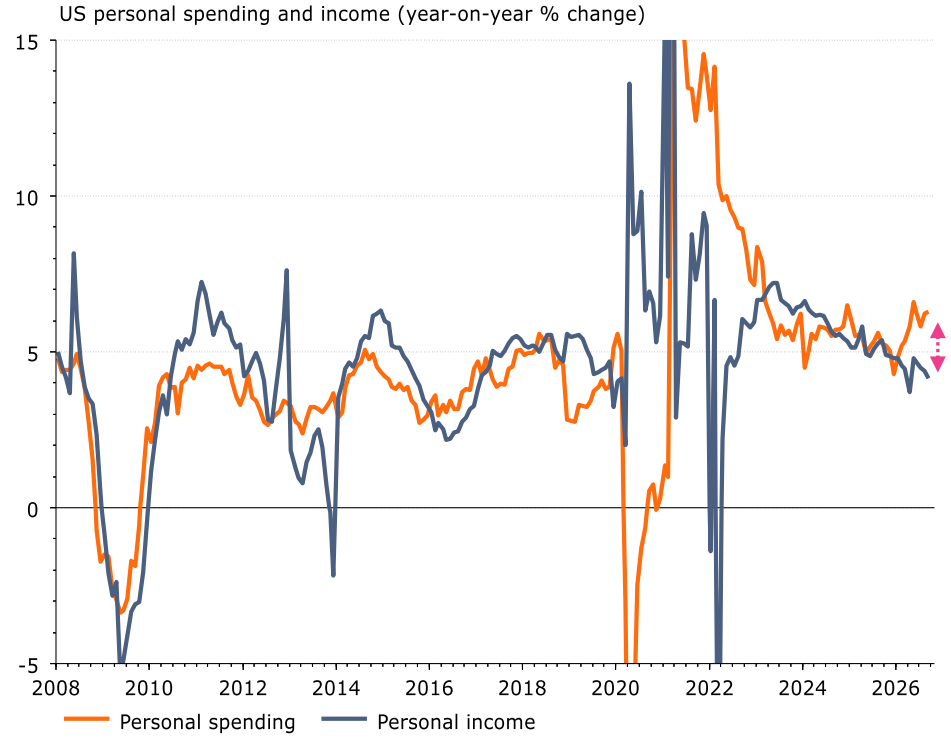
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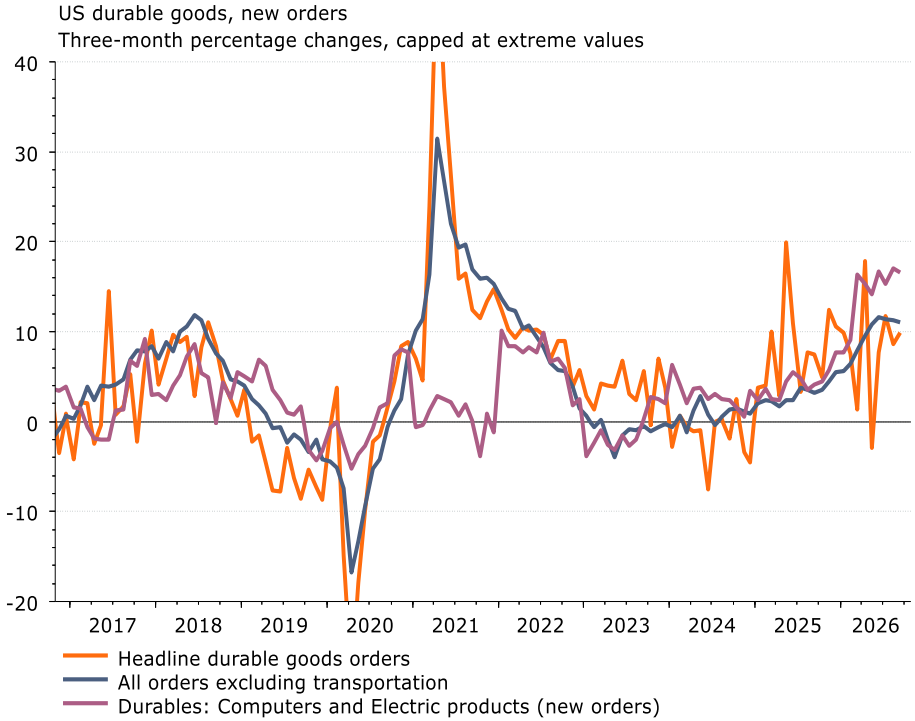
macro

US growth: Personal income and spending slightly weaker than expected and flat in real terms, but durable goods orders still strong

- **Personal income rose 0.2% in September, slightly below consensus expectations**. Year-over-year disposable personal income growth reached 4.6%. Personal spending rose 0.5%, **but real personal spending was flat.**
- **New orders for durable goods rose by 1.8% in September, roughly in line with consensus expectations** and largely reflecting an increase in commercial aircraft orders. **Durable goods ex-transportation and core capital goods orders** increased roughly in line with expectations, driven by increases in new orders for computers and related products and machinery.



Source: LSEG Datastream / Syz Group



Source: LSEG Datastream / Syz Group

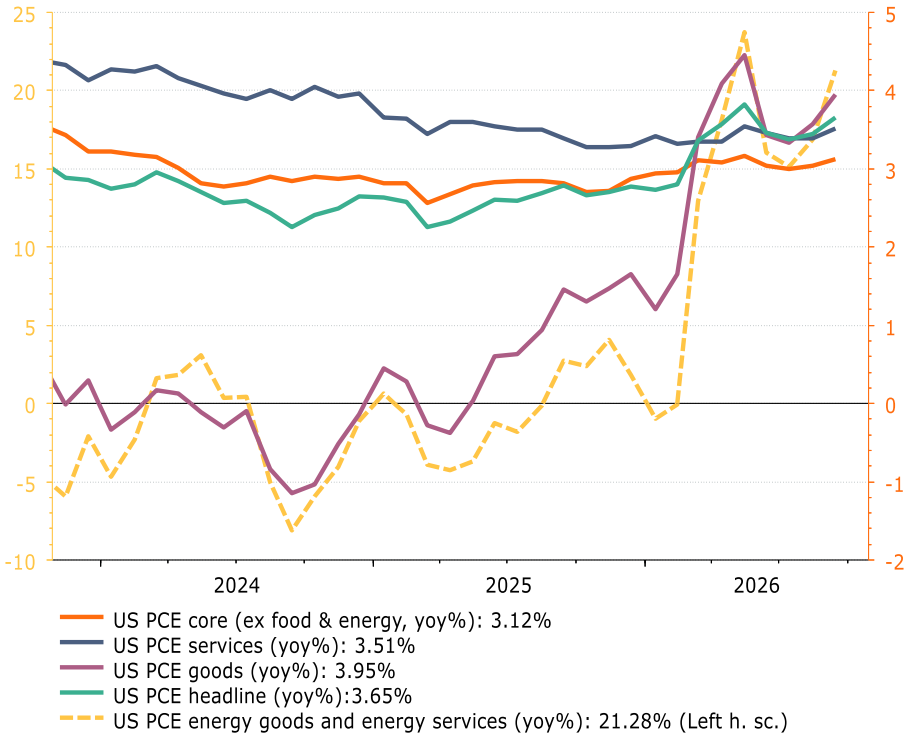
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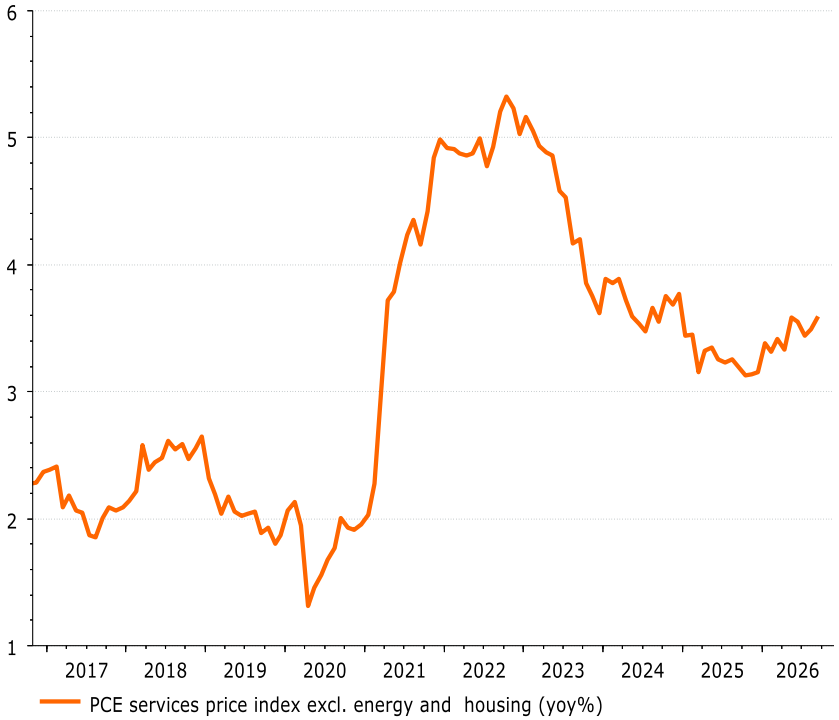
macro

US inflation: Latest PCE data were inline expectations but pointing higher – also “supercore” measures now in an upward trend

- **PCE price index rose by 0.3% (MoM) in September for core inflation and 0.5% for headline, inline expectations. The headline YoY numbers came in at 3.6% and core PCE of 3.1%.**
- September’s price increases were driven mainly by surging energy costs, but rising services and housing prices suggest that inflationary pressures may be spreading more broadly across the economy: **Overall, the release points to a still contained near-term core momentum, but overall inflation pressures are building and second round effects become more likely if demand stays so solid and energy prices high.**



Source: LSEG Datastream / Syz Group



Source: LSEG Datastream / Syz Group

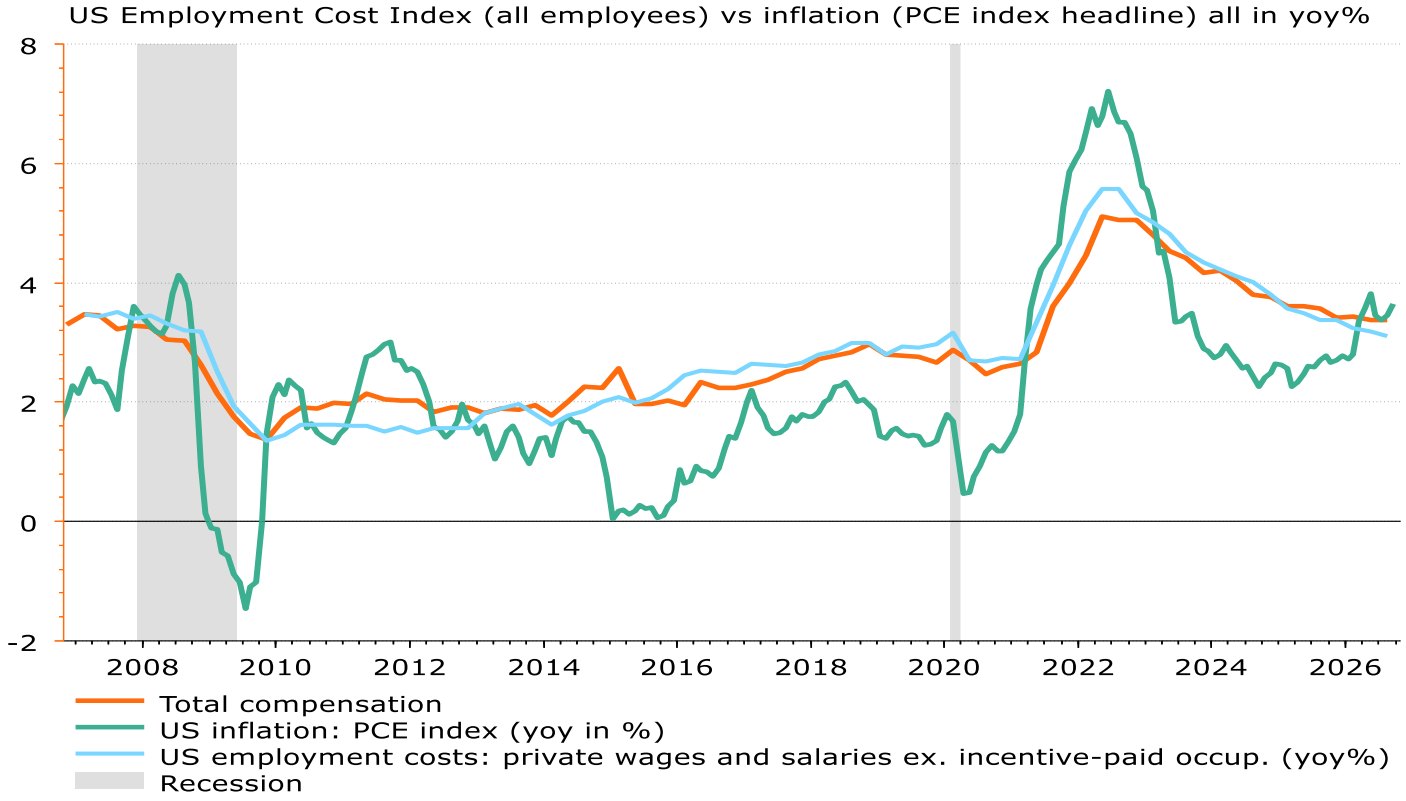
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macro

US inflation and the labor market: Latest employment cost index shows good nominal growth but real purchasing power is withering

- **The employment cost index (ECI) rose 0.8% (not annualized) in Q3, in line with expectations. The year-on-year comparison accelerated to +3.6%.** A measure of underlying wage growth, private wages and salaries excluding incentive-paid occupations, increased by 0.7% in Q3 or 3.1% yoy – **as in Q2, there was no positive real wage growth for US workers in the third quarter**
- By industry, compensation growth was strongest in the utilities (+1.6%), transportation (+1.1%), and healthcare (+1.0%) sectors and weakest in education (+0.4%) and leisure & hospitality (+0.6%)



Source: LSEG Datastream / Syz Group

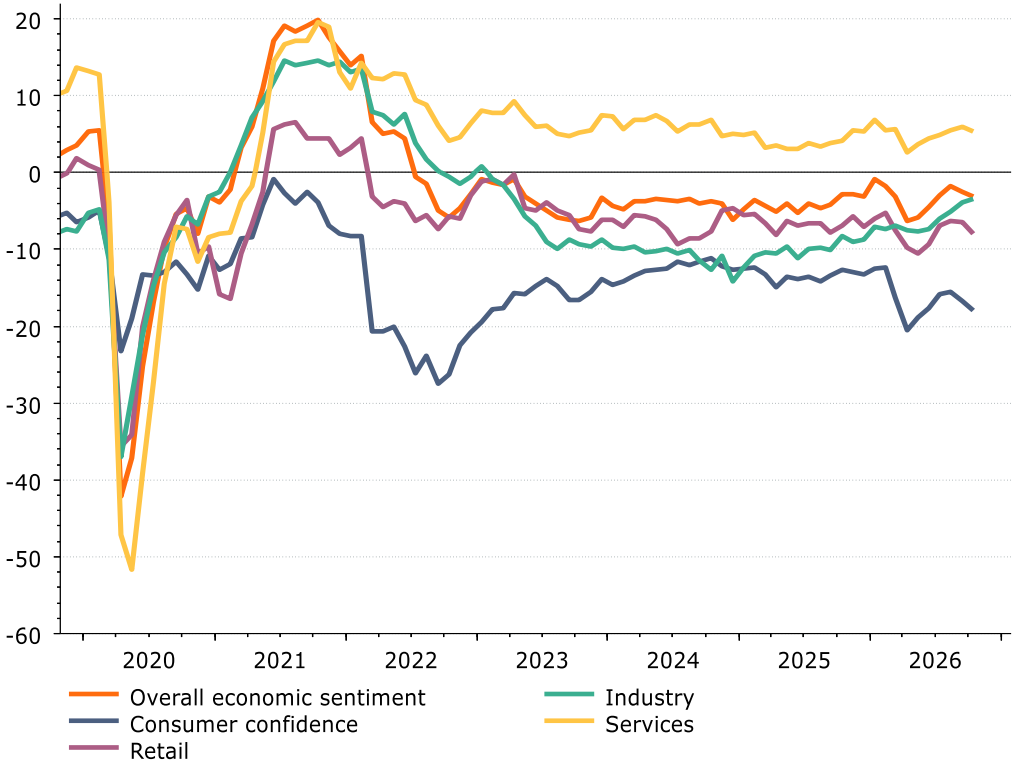
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Eurozone: Economic sentiment weakened lately as current headwinds are growing, but Germanys business confidence improved further

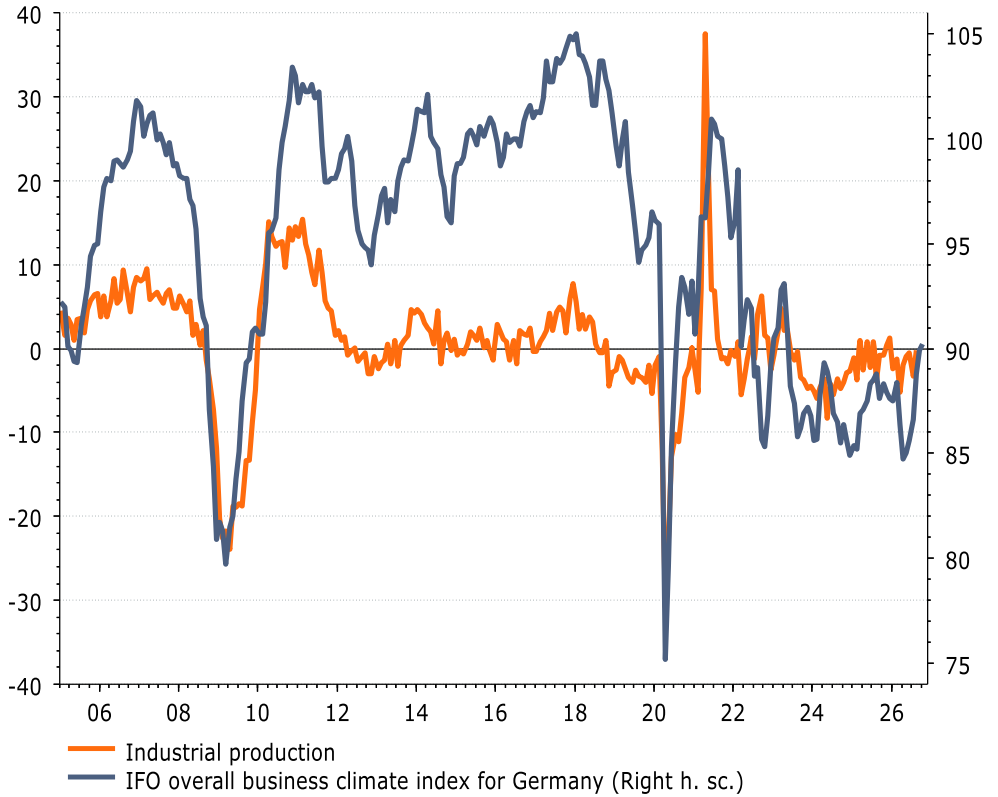
- **Eurozone's Economic Sentiment Indicator fell for a second consecutive month** to 96.9 in October, missing market expectations of 97.5. **Consumer confidence deteriorated to -17.9, its lowest level since May. Sentiment among all sectors declined but for manufacturing.**
- **Germany's Ifo Business Climate Index rose to 90.2 in October, its highest level since May 2023,** slightly above market expectations of 90.

Economic sentiment data per sector (EU Commission survey, index)



Source: LSEG Datastream / Syz Group

Germany IFO vs industrial production
Twelve-month percentage change
Index, 2005 = 100



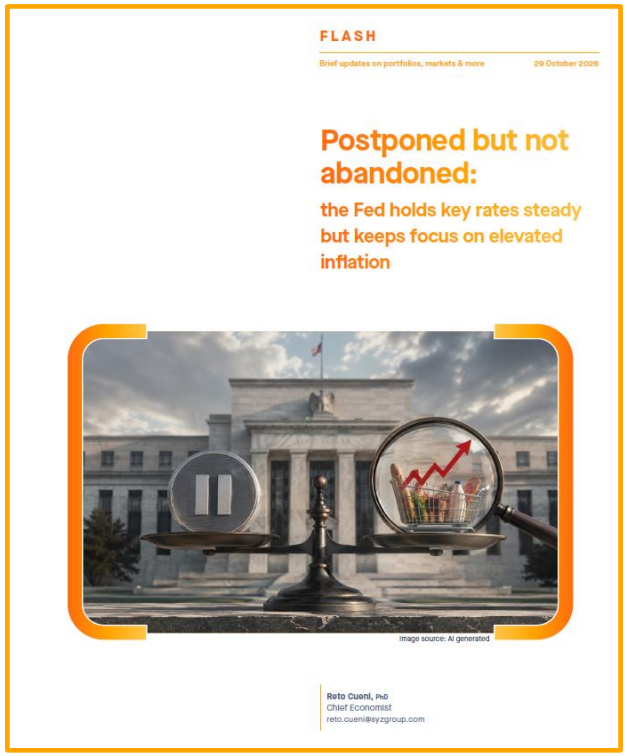
Source: LSEG Datastream / Syz Group

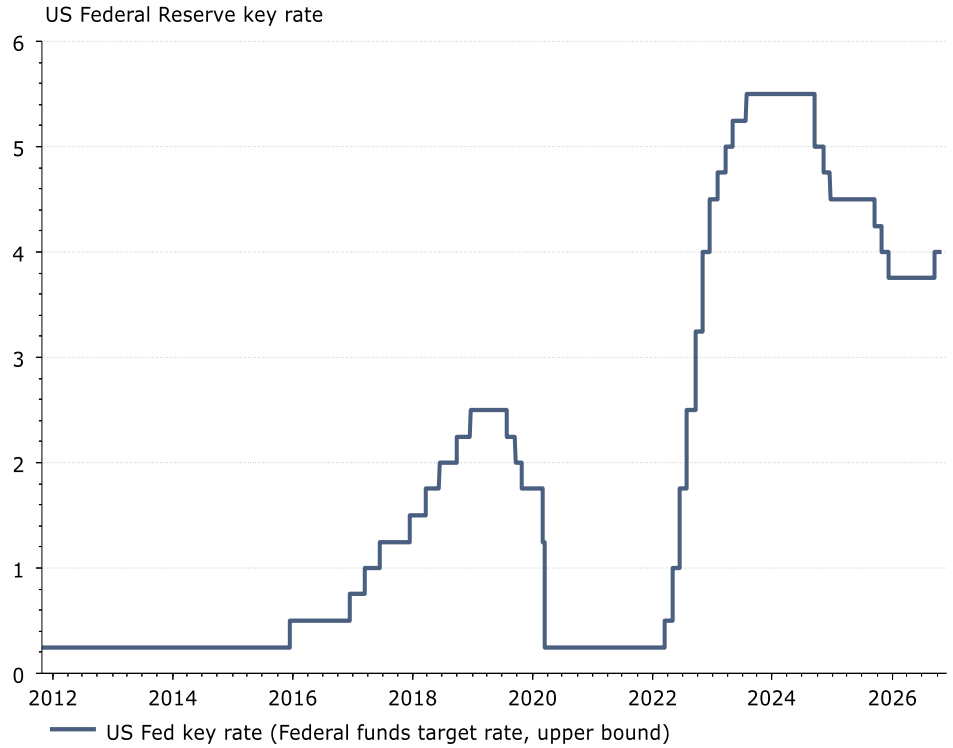
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Fed October meeting: hike postponed, not abandoned

- **FOMC held key rate at 3.75–4.00%; Cook and Hammack dissented in favour of a hike**
- **Chair Warsh: inflation remains persistently elevated and Fed will keep inflation focus; labor markets looks solid and growth stronger than expected in Q3.** First estimate of US GDP for Q3 with 3.4% QoQ (SAAR) confirms the US economy's strength.
- **Muted market reaction:** dollar softened slightly, somewhat lower 2-year yield and some steeping initially vs the 10 year gov. bonds, US equities closed higher





Source: LSEG Datastream / Syz Group

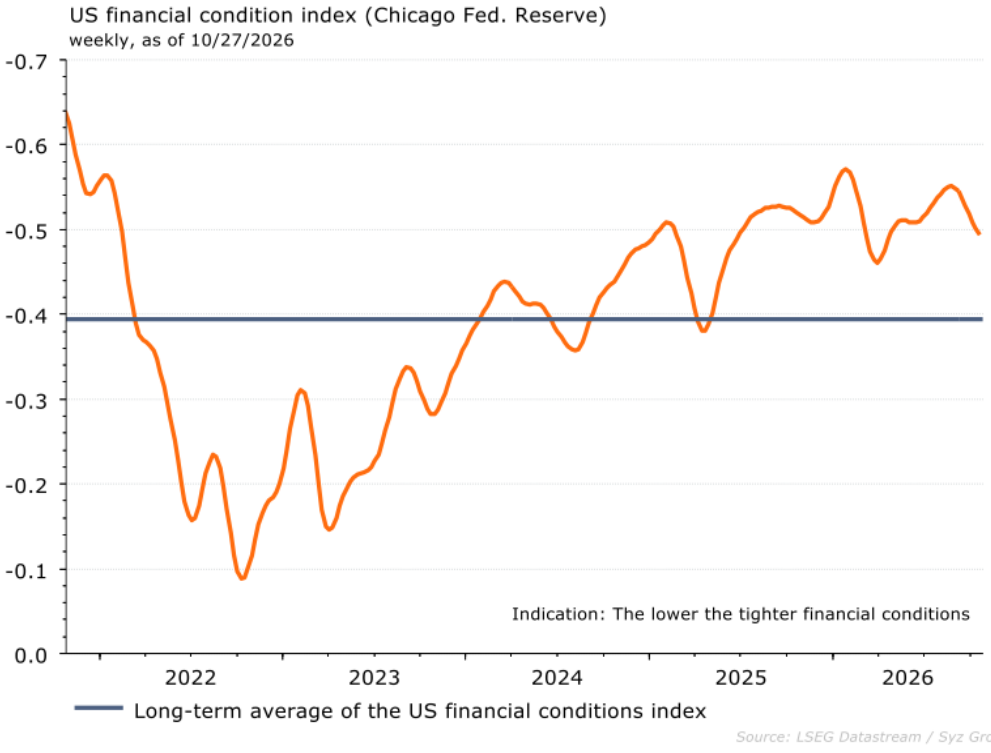
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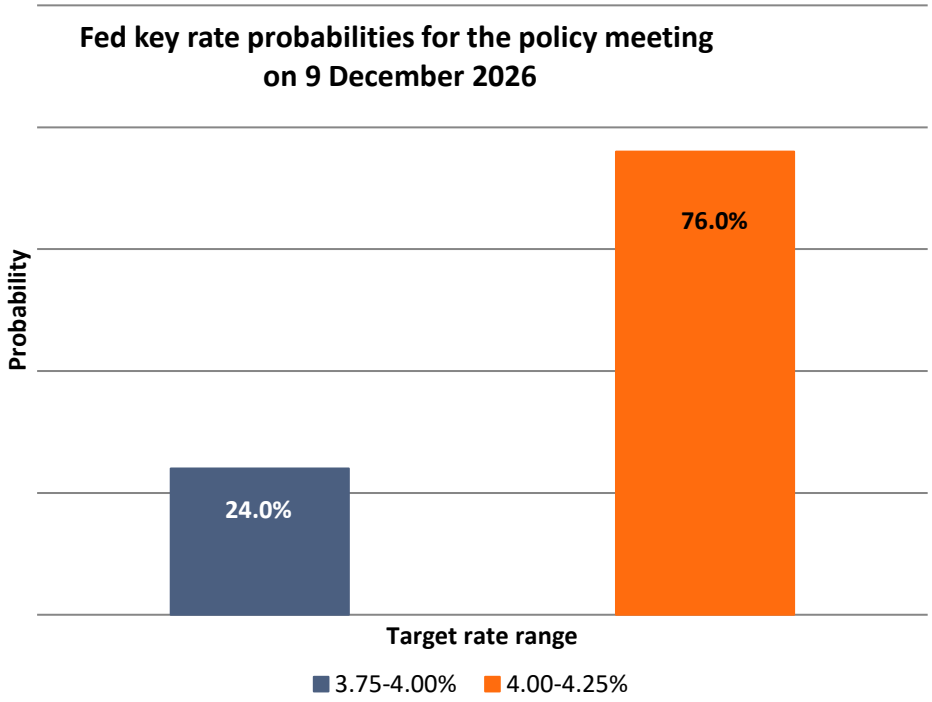
central-banks

Fed outlook: Latest PCE, labor market and growth data point to a coming hike in December in our view

- **No forward guidance**: **Fed** under Warsh stays data-dependent, **focused on price stability** as labor market seems to be solid
- In the press conference, **Warsh said that tighter, but not "tight", financial conditions should gradually cool activity**, and this seems to become visible in some data points
- **We expect a December hike, in line with markets pricing a hike with close to 80% probability. We foresee one more hike in H1 2027, while markets price almost 1.5 hikes.**



Source: LSEG Datastream / Syz Group

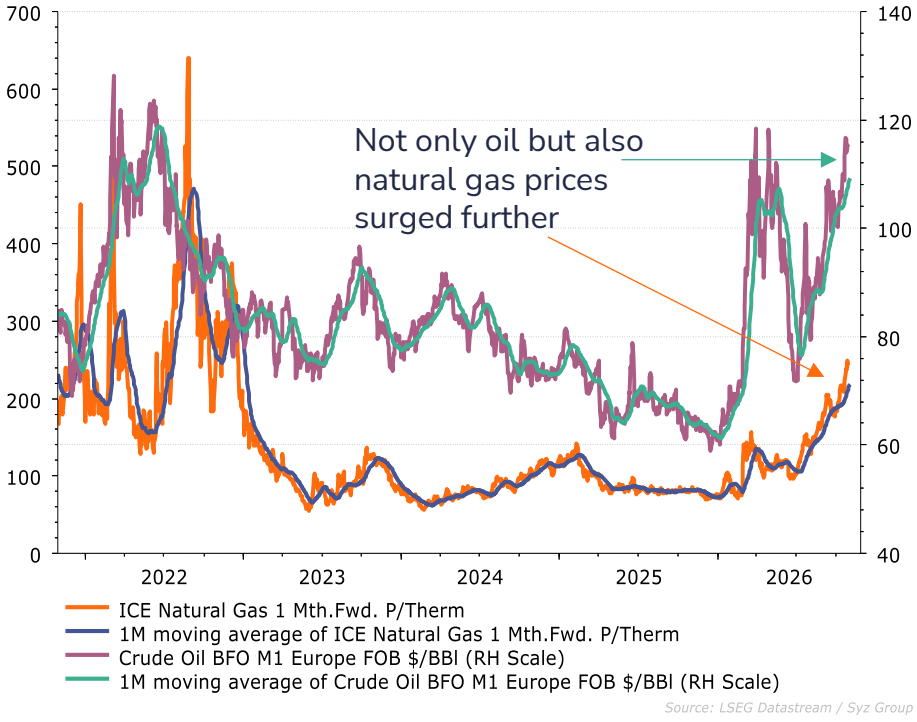


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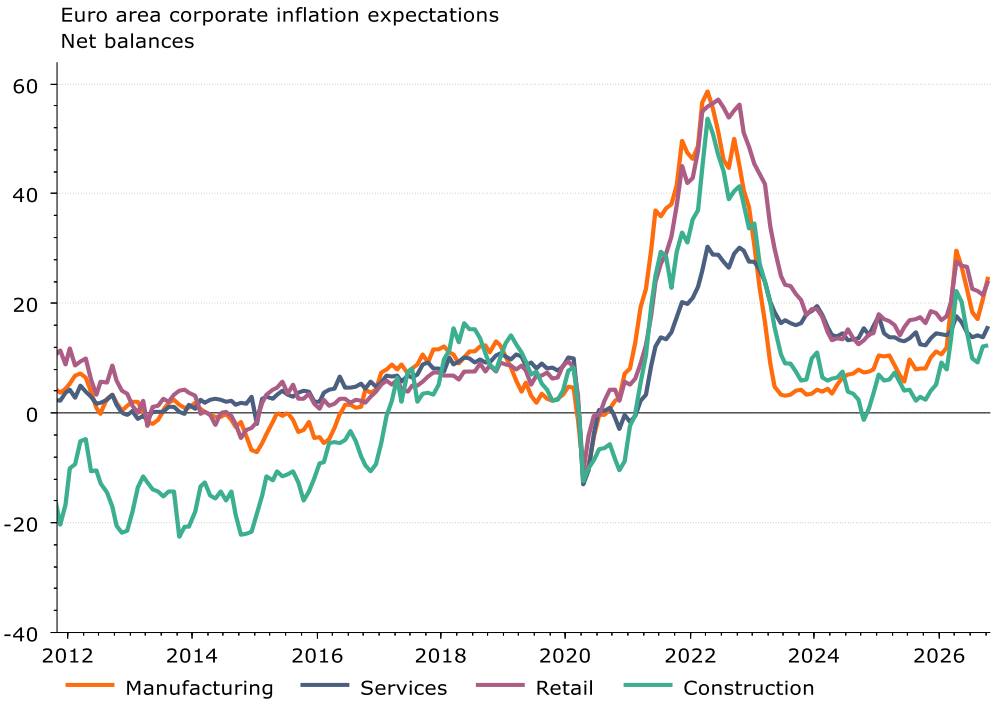
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EMU: The ECB paused to wait and see more data – the direction is still higher, but risks to growth rise as well as to inflation

- **The ECB left key rate at 2.5% and its data-dependent guidance unchanged at the October meeting**. Committee highlighted significantly higher energy prices, tighter financial conditions & broadly stable underlying inflation. **ECB debated immediate hike but opted to wait further data**.
- **Lagarde indicated that December's direction would become clear if the current picture persists.** However, further sovereign stress could prevent a hike.
- **We expect one 25bps hike in December and another one in H1 next year, given the elevated energy price outlook and the further rise in inflation expectations by businesses.**



Source: LSEG Datastream / Syz Group



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ECB: Does a new President really matter? (1/3)

- **In a press release, the ECB announced that President Lagarde would step down from her position on February 7, 2027.**
- There were rumors since months **that an earlier resignation could be due to the fact that the current French President Macron will still be in office when the EU has to find a new ECB President** – and not that a new French President can have a say, after the next elections scheduled in April 2027

- **The main questions for investors:**
  - **Who could become the next ECB president?**
  - **Would it really matter to have a new president from an investors point of view?**



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ECB: Does a new President really matter? (2/3)

Who could become the next ECB president?

- **A German? Rather unlikely**, as long as the current President of the EU commission is a German with Ursula Von der Leyen. The ECB never had a German presidency but Germany seemss to aim “only” to replace departing executive board member Schnabel
- **A French? Unlikely**, as Jean-Claude Trichet and Christine Lagarde, two of the four ECB presidents since the ECB was founded in 1989, were from France.
- **An Italian? Rather not** as Draghi was ECB president just before Lagarde
- **A Spaniard? Yes, it seems that a Spanish candidate would have a good chance,** as Spain has never had an ECB president – the current general manager of the BIS, **Pablo Hernández de Cos**, is a favorite for the position
- **A Dutchman? Yes, there is a quite large likelihood** that a person from the Netherlands could become the next ECB president, like former Dutch Central Bank president **Klaas Knot**.
- **Someone from another, smaller, EMU country? Also possible**, but for example current ECB ExCo member and Chief Economist Philip Lane (Irish), who’s official term ends in May 2027, already held the non-renewable mandate in the ECB’s ExCo







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ECB: Does a new President really matter? (3/3)

- Whoever wins the race to become the new ECB president – **how much could the new president actually change in terms of monetary policy and influence to financial markets?**
- **The ECB is arguably the most independent central bank in the world due to its highly diversified committee for setting key interest rates:**

➢ **There are a total of 21 voting rights**
  ➢ spread to **3 different groups**:
    1. **ECB executive board member (6)** with **permanent voting** rights
    2. Group of **5 largest EMU nations** (GER, FRA, ITA, SPA, NED) with total **4 voting rights**
    3. **Group of 16 smaller EMU countries** with **11 voting rates**

➢ **This means that 15 out of the 21 voting rights are rotating month by month**



Conclusion: The ECB president can not exert a lot of power over key rate and other monetary policy decisions.

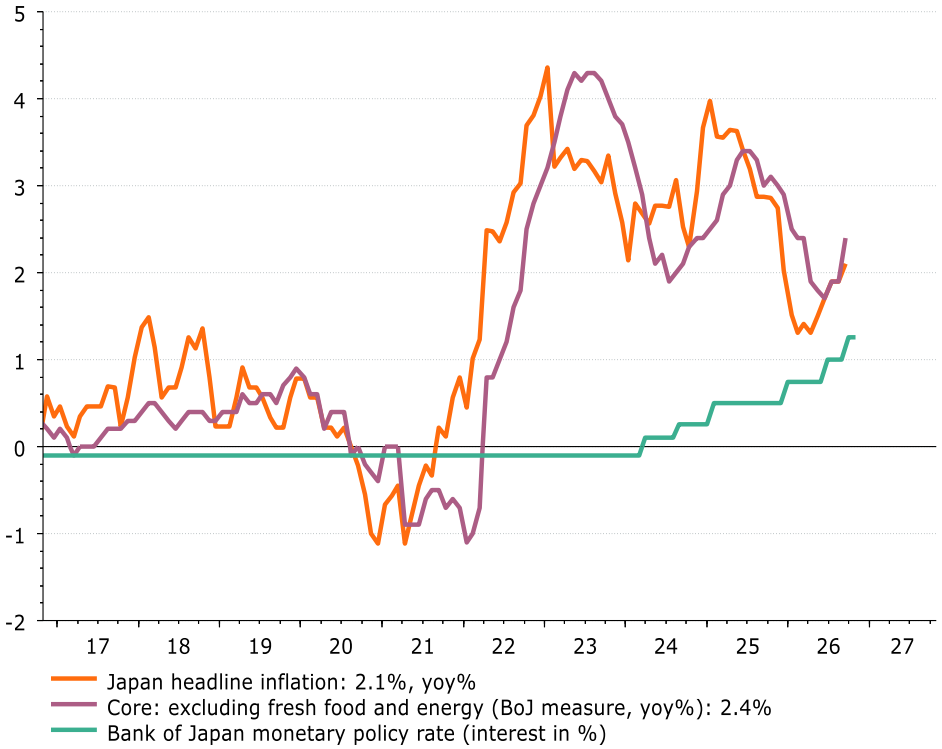
However, the presidency is important in terms of agenda setting and framing the communication to financial markets – remember Mario Draghis "Whatever it takes" speech

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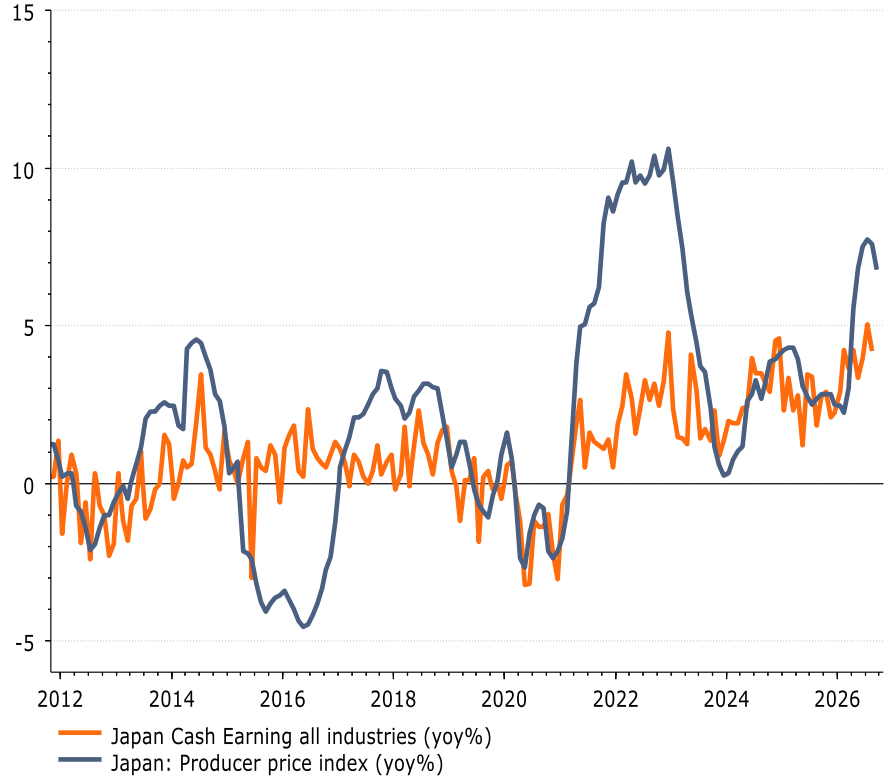
central-banks

BoJ: A hold rates with one dissenter for an immediate hike, but the majority's message seems also to point to higher key rates

- **BoJ decided to keep its policy rate at 1.25% and only 1 member of the committee dissented, in favor of an immediate hike.**
- **We read the BoJ rhetoric as pointing to a clear focus on containing inflation** and the wage and producer price pipeline speaks for itself
- **We expect the BoJ to conduct one more rate hike this year and another hike in H1 next year**, given the energy price and fiscal stimulus outlook.



Source: LSEG Datastream / Syz Group



Source: LSEG Datastream / Syz Group

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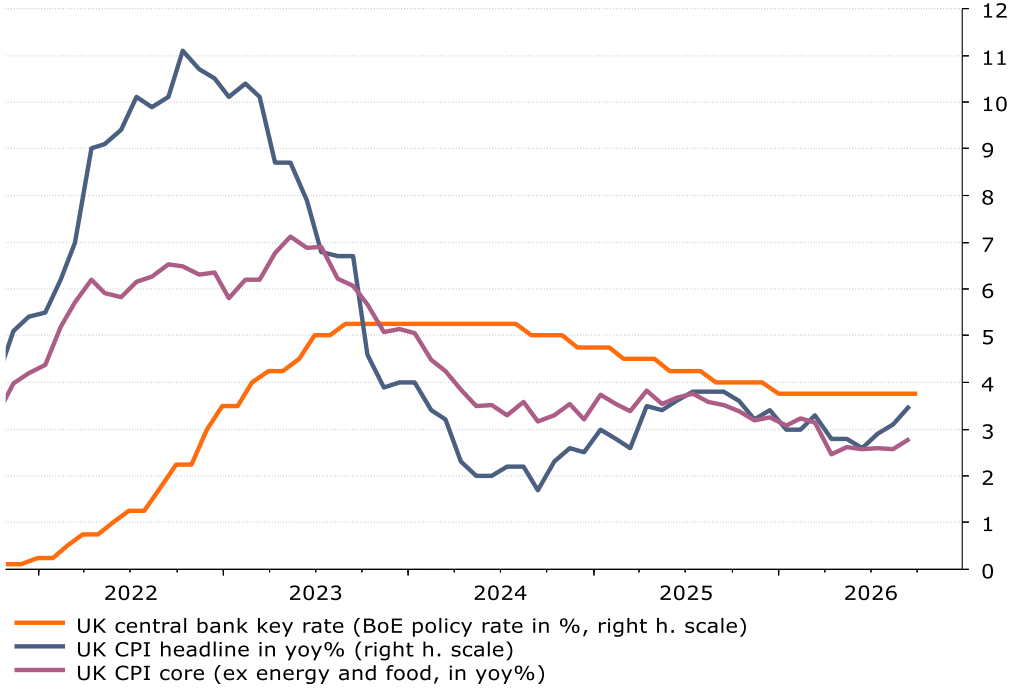
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UK: What will the Bank of England do next Thursday? We expect a rate hike without any further guidance

- As energy prices have surged since the last monetary policy meeting, activity data surprised positively, labor market still looks gradually improving and second round effects seem to form, **we expect the BoE to hike rates next Thursday at ist MPC meeting.**
- **We do not expect any further forward guidance** as the risks to inflation (higher) and to growth (lower) remain considerably. **However, Governor Baley will likely signal readiness to tighten further if necessary. Given the still elevated energy price outlook and likely more second round effects to come, we expect another rate hike in H1 2027.**



Source: LSEG Datastream / Syz Group



Source: LSEG Datastream / Syz Group

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cryptos

Bitcoin crashed down near $76,000 on Friday, after a high above $86,000 on Oct 5...

- Binance has been hacked, with estimated stolen assets reaching as high as $6.3 billion, making this the largest crypto hack in history. The exchange said it will cover all losses





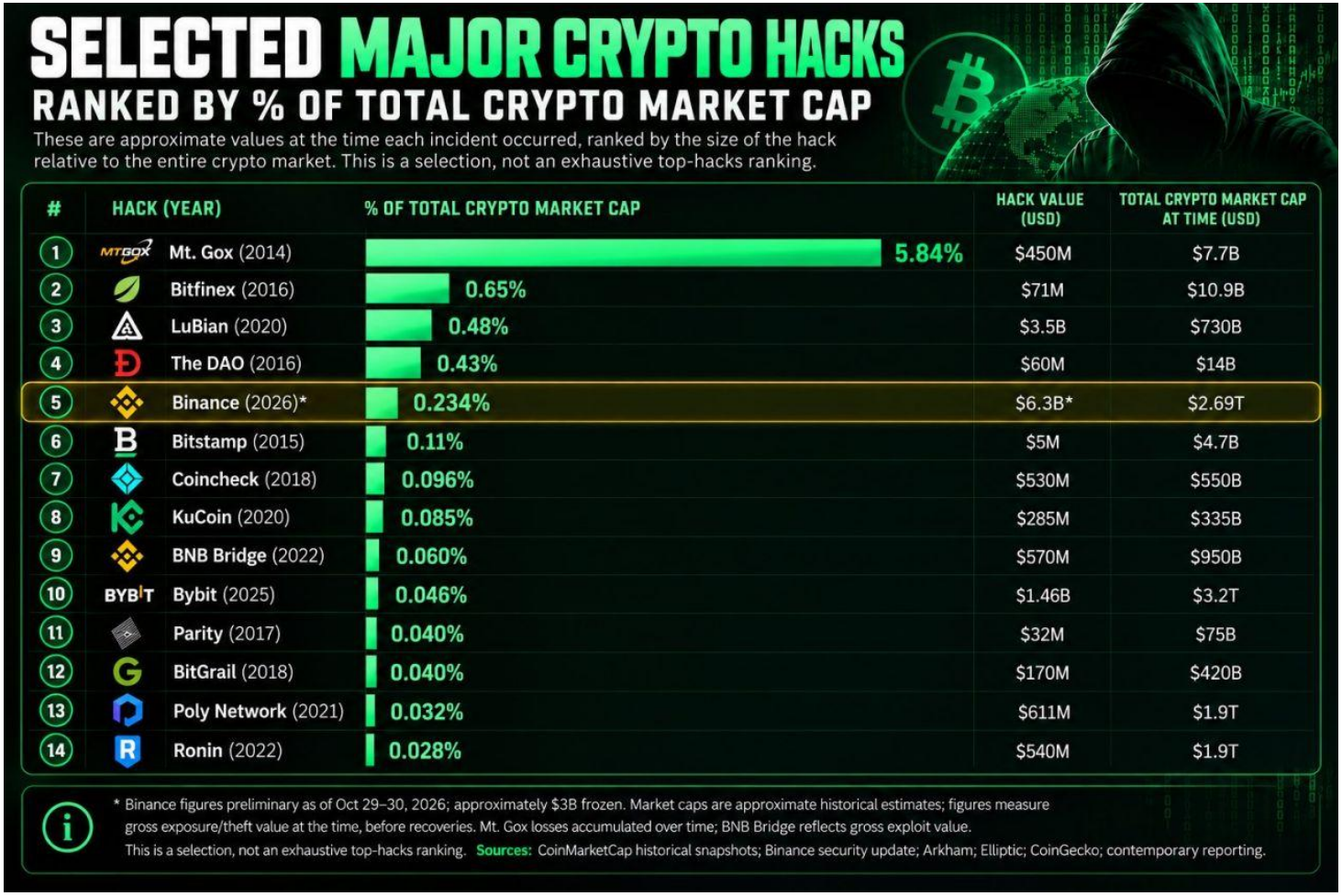
Source: www.zerohedge.com, Bloomberg

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The theft represents approximately 0.23% of total crypto market cap

- Using the attached chart's estimates, the theft represents approximately 0.23% of total crypto market capitalisation. The crypto market is considerably larger today, making this incident smaller in relative terms than several earlier breaches.



Source: bitcorn, @bitcorn_pg

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Bitcoin chart remains bullish

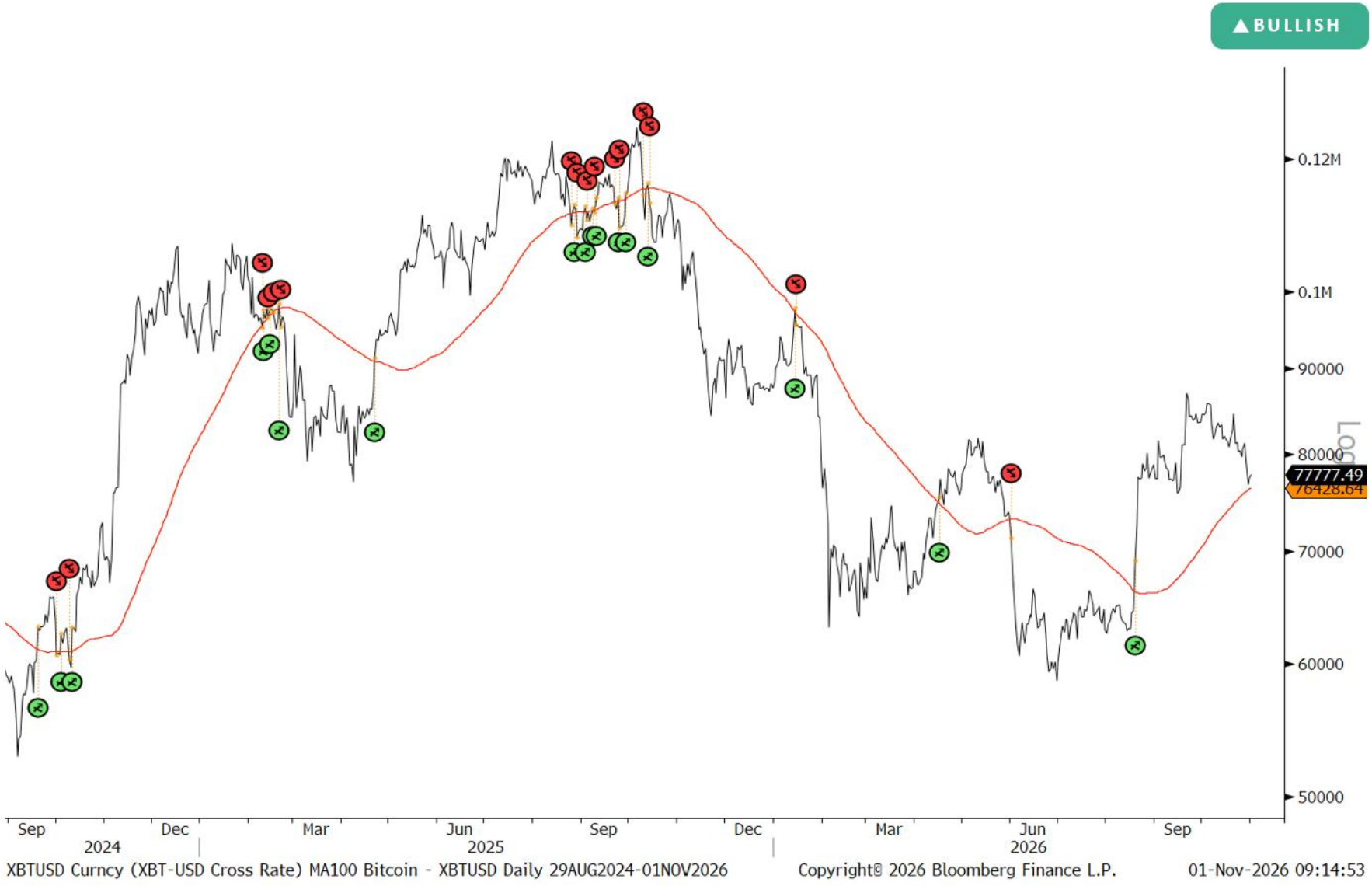


Source: Bloomberg

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Bitcoin “Trading rule strategy” remains bullish



Source: Bloomberg

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Hyperliquid ($HYPE) surged +14% on the week

- The owner of the New York Stock Exchange is planning a regulated US market for 24/7 perpetual futures built on Hyperliquid.
- $HYPE surged +16% as the news came in





Source: coingecko

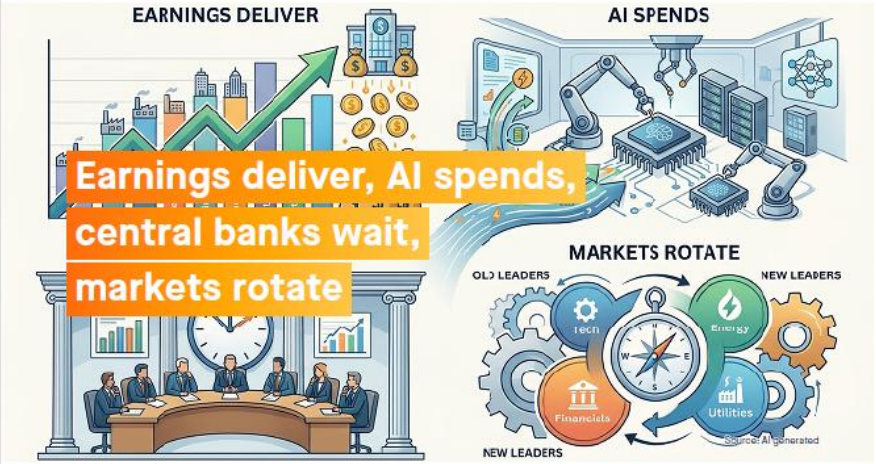
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The November 2026 Asset Allocation Insights is out

ASSET ALLOCATION INSIGHTS

Monthly Update | Issue 114 | November 2026



Key takeaways

- October was the month central banks paused. The Fed (28 October), the ECB (29 October) and the Bank of Japan (30 October) all left rates unchanged after their September hikes, but none of them closed the door completely. At the Fed meeting, Governor Cook and Cleveland Fed President Hammack dissented in favour of an immediate hike, and Chair Warsh made clear that inflation remains the Committee's main concern.
- Markets swung between two forces. The US 10-year yield touched a 24-year high of around 5.3% in early October before easing back to about 5%, as investors sought safety in Treasuries during a sell-off in AI-related stocks, triggered by Big Tech results that showed capital spending outrunning cash flow. Brent crude climbed back to its highest close since April, of around USD 117 on 23 October, as attacks on Saudi energy infrastructure and disruption in the Strait of Hormuz intensified. The S&P 500 set new records early in the month, while gold held close to USD 4,000.
- Looking ahead, we expect the Fed to hike in December and only once more in 2027, while markets price one and a half rate hikes next year. Q3 earnings were very strong, but early signs that energy prices are biting into consumption lead us to lower our Macro pillar to neutral and to raise the probability of our "growth freeze" scenario.
- We make no changes to our asset allocation preferences grid this month. Within the five pillars, we lower Macro Cycle from moderately positive to neutral and raise Market Factors from moderately positive to positive. We stay neutral equities, overweight cash, underweight fixed income, with a moderate underweight in 1–10 year government bonds, underweight all major currencies against the US dollar, overweight gold and commodities and neutral hedge funds.

Syz PRIVATE BANKING

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Florian Marini, CFA, CMT - *Head of Research*
Reto Cuani, PhD - *Chief Economist*
Christophe Pella, CFA - *Head of Fixed Income*
Malek Dahmani - *Head of Equities*
Gianluca Oderda, PhD, CFA, CQF - *Head of Discretionary Portfolio Management*
Gregory Diche, CEFA - *Head of Advisory*

ASSET ALLOCATION GRID - TACTICAL ASSET ALLOCATION (TAA) – OCTOBER 2026

	Underweight -	Neutral =	Overweight +
Asset Classes	Fixed Income	Equities Alternatives	Cash
Fixed Income	Govies 1-10 Govies 10+	Corporate IG (local) High Yield (local / global hdg) EM Debt	
Equity		United States Eurozone UK Switzerland Japan Emerging Markets China	
Alternatives		Hedge Funds	
Commodities			Gold Commodities
Forex (vs. USD)	EUR CHF GBP JPY EM Currencies		

Arrows show our latest TAA moves.

Source: Syz Research. No changes to the grid this month.

Asset classes views

Equities

We maintain a neutral equity exposure, balancing strong earnings and record forward margins against elevated real yields and widening credit stress.

Fundamentals remain constructive: Q3 US earnings growth is running at 29.5%, although surprises are smaller and guidance increasingly drives stocks. Consensus 2026 EPS growth stands at 34.4% in the US, 22.8% in Europe and 25.5% in Japan.

Valuations have improved: the S&P 500 forward P/E has compressed to 18.5x from 23x a year ago, while Europe, Japan and emerging markets trade near or below historical averages. Upside remains primarily earnings dependent.

Credit and funding conditions are the main risks. Corporate balance sheets remain resilient, with stress concentrated in lower-quality issuers. We monitor credit spreads and hyperscalers' ability to fund rising AI capex from operating cash flow.

Fixed Income

We maintain an overall underweight stance on fixed income, with a moderate underweight in 1–10-year government bonds and an underweight in longer maturities.

Government bonds: higher yields now offer some value, and bond markets rallied when risk assets corrected, reassuring investors about their safe-haven properties. We keep avoiding French government debt and remain cautious on countries with unfavourable public debt dynamics or where the central bank's commitment to containing inflation is in doubt. Bonds of sovereign issuers with solid public finances bring diversification to multi-asset portfolios.

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November Investment Committee (IC): A high-level summary

- Looking ahead, we expect the Fed to hike in December and only once more in 2027, while markets price one and a half rate hikes next year. Q3 earnings were very strong, but **early signs that energy prices are biting into consumption lead us to raise the probability of our "growth freeze" scenario.**

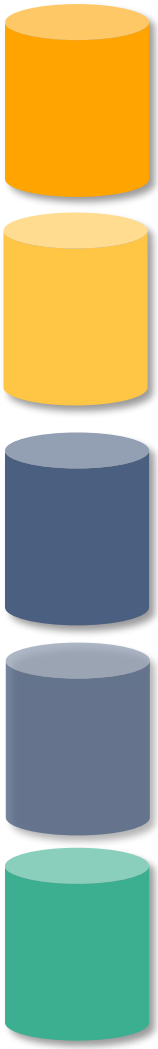
- **We make no changes to our asset allocation preferences grid this month**. Within the five pillars, **we lower Macro Cycle from moderately positive to neutral** and **raise Market Factors from moderately positive to positive**. We stay neutral equities, overweight cash, underweight fixed income, with a moderate underweight in 1–10 year government bonds, underweight all major currencies against the US dollar, overweight gold and commodities and neutral hedge funds

- **NB: Given the market volatility over the past few days, it is worth reminding clients that on 1st of July, we reduced equities from overweight to neutral and increased cash to overweight. This cash buffer gives us the flexibility to reinvest in risk assets should a market correction create attractive opportunities.**

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Banque Syz's five asset allocation pillars - Summary



→ MACRO PILLAR – NEUTRAL

The business cycle remains intact but macro data cooled somewhat, mostly outside the US. Early signs emerged that surging energy prices start to bite into consumption, also in the US, and that higher yields and key rates will slow down parts of the economy, so we reduced our macro pillar to a "neutral" stance.

→ LIQUIDITY PILLAR – NEUTRAL

Our liquidity assessment for risk assets remains at "neutral." Further central bank hikes are priced in and financial conditions indices have tightened moderately, but these developments seem to us a consequence of the stronger outlook for nominal GDP growth rather than an external liquidity shock.

→ EARNINGS GROWTH – POSITIVE

2026 earnings growth expectations continue to rise: +34.4% in the US, +22.8% in Europe and +25.5% in Japan. Upgrades extend into 2027 across most regions, with growth forecast at +15.8%, +8.7% and +14.6%, respectively.

→ VALUATIONS – NEUTRAL

Earnings have outpaced prices: the S&P 500 forward P/E has compressed to 18.5x from 23x a year ago (18.1x 2027E). Europe (14.7x), Japan (16.4x) and EM (10.4x) trade near or below historical averages, but the US earnings-yield cushion over bonds remains thin.

→ MARKET FACTORS – POSITIVE

US raw score increased back to 82%, with 9 out of 11 indicators in positive territory (only Rate of Change, and Put/Call Ratio remain in negative territory). European raw score remained at 60% after a volatile month, with 6 out of 10 indicators in positive territory (Rate of Change, Moving Average Convergence/Divergence, Put/Call Ratio, Volume remain negative). We improved the pillar to positive.

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Syz Symphony: update on indicators as of 30.10.2026

Indicators were stable in the US, with overall score unchanged at 82%. In Europe indicators improved, with overall score advancing from 70% to 90%.

In the United States indicators were unchanged.

In Europe technical indicators turned positive from negative, with both the Moving Average Convergence Divergence (MACD) indicator and the Relative Strength Index (RSI) moving into positive territory..

As a result, **the total equity allocation remains at 100%, with a now perfectly balanced allocation. (50% US equities; 50% EU equities)**.

Current allocation:

- 50% US equities
- 50% EU equities
- 0% Cash

30.10.2026		
Indicator	USA	Europe
Trend	NEUTRAL	NEUTRAL
Technicals	POSITIVE	POSITIVE
Market Breadth	POSITIVE	POSITIVE
Sentiment	POSITIVE	POSITIVE
Volume	POSITIVE	POSITIVE
Aggregate	POSITIVE	POSITIVE

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Source: Bank Syz, Bloomberg
Past performance does not guarantee or predict future performance.

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Macro scenarios / September IC: a bit more Growth Freeze and less Indian Summer

Houseview

Growth Freeze
Probability: 20%

"Freeze-Risks" to our baseline scenario (triggering low growth and low inflation):

- **US** lower & middle income classes freeze their consumption
- **US AI investment** cycle leads firms to layoff employers to justify investments
- **US AI capex** cycle breaks down as expectations cannot be met (disappointing returns)
- **Financial system instabilities** lead to a **credit crunch**
- **Fiscal debt** starts to backfire, "austerity" comes back in the USA or Europe
- **China's involution policy** chokes domestic growth and global capex cycle

Indian Summer for 2026
Scenario probability: 40%

- **Global** growth to recover from energy price shock and trade system ruptures, investment and fiscal spending stay supportive
- **US** economy keeps growing well thanks to balanced fiscal stimulus, releveraging & (AI) productivity gains
- **Eurozone** gets back to recovery after digestion of energy price shock
- **China and EM** lower trade uncertainty & a global capex cycle

Inflation:

- **Globally**, inflation will abate over time thanks to lower oil prices and the moderation of demand
- **US, Eurozone and UK** will experience above central bank target inflation, followed by **Japan**
- **China** and **Switzerland** will face weaker, below target inflation

Inflation Heatwave
Probability: 40%

"Heatwave-Risks" to our baseline scenario (triggering high inflation & mostly high growth):

- A **new strong geopolitical eruption** could lead to another **energy price inflation shock**
- **More fiscal stimulus**, **re-leveraging** of households and firms, **AI capex** pushes growth into a **boom** that lets **inflation surge (overheating)** – also due to a lack of productivity gains
- **US central bank becomes too "dovish"** and gets "behind the curve" and **needs to catch up finally**
- Stark **escalation of trade disputes** could derail supply chains and push goods prices up

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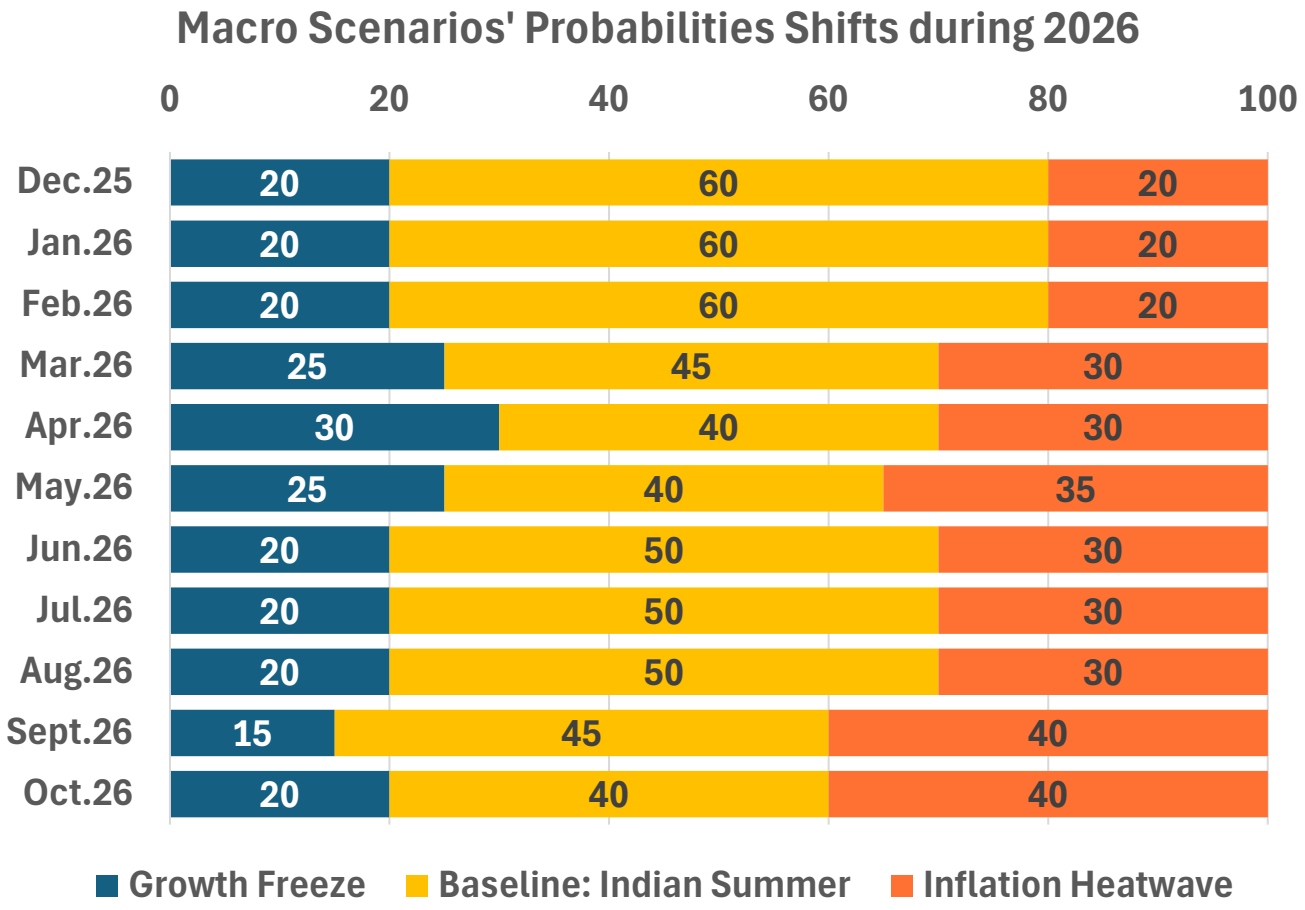
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Macro Scenarios: Tracking of scenario probabilities

Growth Freeze
Alternative scenario

Indian Summer for 2026
Baseline scenario

Inflation Heatwave
Alternative scenario



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We expect the economy to stay on a solid growth trend even if elevated energy prices & the central bank hikes will slow it down



Growth

- → The latest escalation in the Middle East let energy prices rise further, which will dampen global growth in Q4 while the rate hikes of major central banks, including the Fed, will slow it down in H1 2027
- → It remains unclear if we will see more or less tensions in the Middle East but high energy prices should dampen but not derail global growth at this point. We expect a moderation of demand to ease inflation pressures and keep 2nd round effects in check.
- → Supportive fiscal policies are set to abate in the US, but additional fiscal spending to cushion the negative energy impacts, and still strong capex spending, should help to reduce the negative impacts of high energy prices and higher rates.



Central Banks

- → The latest geopolitical developments interrupt the trend of easing price pressures. Underlying price indicators outside the energy bucket showed the first signs of bucking the previous downward trend during summer.
- → In combination with the fears of stronger 2nd round effects, as refined petroleum prices like diesel surged much more than crude oil prices and above earlier highs, let the Fed, the ECB and the BoJ rise its key rate in September. But latest signs of moderation in consumption let them pause in Oktober.
- → Even if we assume a moderation of energy prices towards 2027, we expect the Fed, the ECB, the BoJ and the BoE to hike 2 times until next summer and the SNB to conduct one additional rate hike. However, we do not expect an aggressive hiking cycle at this stage.



Politics

- → The re-escalation of the Middle East crisis let geopolitical uncertainty rise but we still expect the parties to have enough incentives to find a new agreement towards 2027 which should help to moderate energy prices.
- → Apart from the energy surge, expansive fiscal policy will abate in 2027 and not support growth as in 2026 in the US, but congress can still change that, while we still expect a positive stimulus in China & Europe. The current energy crisis let several governments implement additional stimulus to lower the negative impact of higher energy prices on the economy
- → ME crisis, US tariffs and retaliatory measures continue to hamper global trade momentum, but the negative impacts are so far below the H1/26 highs.

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Our current investment views

EQUITIES

- We maintain a neutral equity exposure, balancing strong earnings and record forward margins against elevated real yields and widening credit stress.
- Fundamentals remain constructive: Q3 US earnings growth is running at 29.5%, although surprises are smaller and guidance increasingly drives stocks. Consensus 2026 EPS growth stands at 34.4% in the US, 22.8% in Europe and 25.5% in Japan.
- Valuations have improved: the S&P 500 forward P/E has compressed to 18.5x from 23x a year ago, while Europe, Japan and EM trade near or below historical averages. Upside remains primarily earnings-dependent.
- Credit and funding conditions are the main risks. Corporate balance sheets remain resilient, with stress concentrated in lower-quality issuers. Monitor credit spreads and hyperscalers' ability to fund rising AI capex from operating cash flow.

FIXED INCOME:

- **Government bonds:** Higher yields now offer some value and bond markets have rallied when risky assets corrected, reassuring investors about their safe-haven properties. This leads us to a neutral outlook on government bonds.
- We keep avoiding exposure to French government debt and are cautious about countries with unfavorable public debt dynamics or where the central banks commitment to contain inflationary pressures is doubtful. The bonds of ssovereign issuers with solid public finances bring diversification to multi-asset portfolios.
- **Corporates:** Yields are attractive and our economic scenario remains constructive. However, tight spreads leave little margin of safety. We stay neutral on corporates, with a clear preference for shorter maturities, especially in high yield.
- **Emerging Markets**: EM fundamentals are generally robust. Since spreads are tight, we are selective and favor short- and medium-term maturities.

FOREX & COMMODITIES

- The mostly higher key rate hike expectations for the Fed, the positive US interest rate differentials and the "flight to safety" due to the Middle East conflict currently supports a positive USD view
- Hence, we keep all currencies into an underweight position (EUR, CHF, GBP, EM) vs. the US-Dollar.
- Over the longer-term, we still see the USD in a depreciation trend due to structural factors
- Although we see a weaker longer-term outlook for the energy complex, we prefer to maintain an overweight exposure as a hedge against renewed geopolitical escalations and energy price surges
- Over the longer-term, Gold remains one of our preferred exposures, as an inflation hedge and due to rising demand. Shorter-term, higher US Treasury yields have increased the opportunity cost of holding gold.

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The House view: Tactical Asset Allocation

5 Pillars		
Negative	Neutral	Positive
-	=	+
	Macro Cycle	
	Liquidity	
		Earnings Growth
	Valuations	
		Market Factors

- 5 Allocation pillars:
  - A slight downgrade of our Macro Cycle pillar to “Neutral” and a slight upgrade to our “Market Factors” pillar to “Positive”
- Asset allocation preferences:
  - No changes at this point

Tactical Asset Allocation - Preference Matrix			
	Underweight	Neutral	Overweight
	-	=	+
ASSET CLASSES			
			Cash
		Equities	
	Fixed Income		
		Alternatives	
FIXED INCOME			
	Govies 1y - 10y		
	Govies 10y+		
		Corporate IG (local)	
		High Yield (local / glob. hdg)	
		EM Debt	
EQUITY			
		United States	
		Eurozone	
		UK	
		Switzerland	
		Japan	
		Emerging Markets	
		China	
ALTERNATIVES			
		Hedge Funds	
COMMODITIES			
			Gold
			Commodities
FOREX (vs. USD)			
	EUR		
	CHF		
	GBP		
	JPY		
	EM Currencies		

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An earnings-driven bull market

Earnings, not multiples, carry the market – the pullback is a rotation, and credit, not rates, is now the constraint

FUNDAMENTAL SUPPORT



Investment cycle reaching beyond AI

Hyperscaler capex ~$800bn in 2026 and above $1tn in 2027. Suppliers report demand they cannot ship: ABB orders +40%, Comet +170%, Texas Instruments data centre +95%; global composite PMI 54.3.



Strong earnings, broader participation

Q3 S&P 500 EPS +29.5% y/y with 83% beating and 10 of 11 sectors growing; Stoxx 600 +22%. Forward EPS at a record ($411) and forward operating margins at all-time highs in every region.



Earnings outpacing prices, easing valuations

S&P 500 forward P/E down from 23x to 18.5x in 12 months as EPS outran price; Stoxx 600 ~14x. With the 10-year back below 5%, the US equity risk premium is positive again.

RISKS TO THE TREND



Energy and supply shocks

Brent ~$110 keeps headline CPI at 3.7% (core 2.6%): the Middle East taxes consumers and transport, chemicals and airline margins. Fed at 3.75–4.00% with ~0.8 hike priced for December.



Yields: easing, still high

US 10-year 4.99% (from a 5.22% peak), TIPS 2.64% (from 2.97%). Rates hurt the multiple, not EPS – the de-rating has done half the work; a renewed break above 5.25% would re-open it.

Uptrend intact, correction rotational: hold benchmark weight, buy weakness once HY spreads turn.

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Source: Bank Syz, Bloomberg
Past performance does not guarantee or predict future performance.

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What would change our equity stance?

The view is conditional – four signals would turn us defensive; one is flashing amber

WHAT WOULD MAKE US MORE DEFENSIVE



Financial conditions start to bite

Sustained widening in credit spreads and CDS that reaches consumption, investment and margins.

Amber: CCC spreads 11.3% and HY CDS above their rising 200-day averages for a third week; no spillover into IG or BBB yet.



Technical foundations weaken

Persistent deterioration in breadth and long-term momentum: index below a falling 200-day average, lower highs and lower lows.

Green: Market breadth remains constructive and, importantly, is not showing the kind of large negative divergences that typically accompany major market tops



Earnings outlook turns lower

Broad-based EPS downgrades, weaker guidance and margin pressure – revision breadth negative for more than one quarter.

Green: forward EPS $411 at a record, 83% of S&P 500 reporters beating; 2027 guidance is the test.



AI capex funding breaks

Hyperscaler capex cuts, IG tech/hyperscaler CDS widening to high-yield levels, or backlog conversion stalling – the single node behind the bubble, credit and leverage risks.

Green: While neoclouds CDS suffered, the financial conditions and capex aspirations for Hyperscaler & tech megacaps remains sound

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Source: Bank Syz, Bloomberg
Past performance does not guarantee or predict future performance.

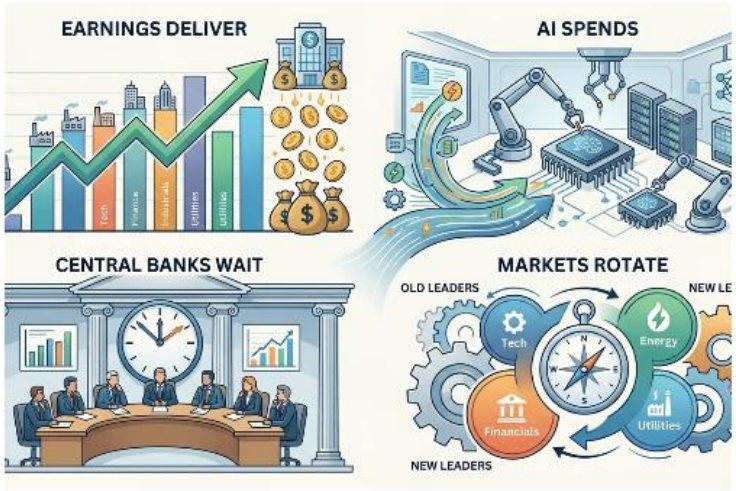
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Slow food for thought

Insights and research on global events shaping the markets



investing

Earnings deliver, AI spends, central banks wait, markets rotate



Focus

Search under seige?

Alphabet, OpenAI and the battle for the world’s most valuable ad auction

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Fast food for thought

Insights and research on global events shaping the markets



Food for Thought

Postponed but not abandoned: the Fed holds key rates steady but keeps focus on elevated inflation



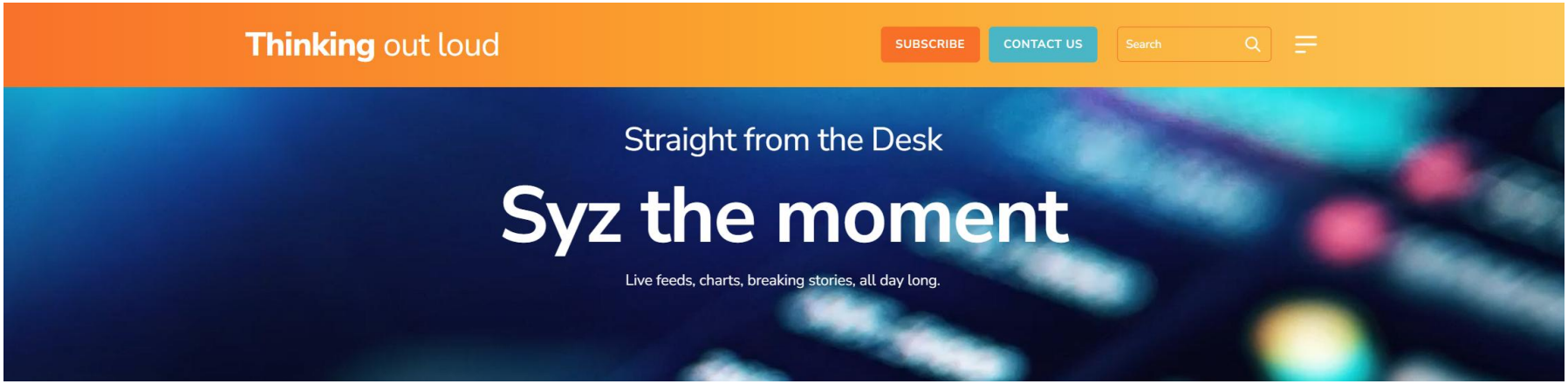
The week in seven charts

Can Big Tech afford its AI ambitions?

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29 Oct 2026

Fed Chair Warsh on AI and interest rates: "I was skeptical that interest rates would not have an effect on AI. Rates affect almost everything."

"We're seeing interest rates have an effect on the technology complex." He also noted that credit spreads have widened. Source: Wall St Engine

#CENTRAL BANKS #AI

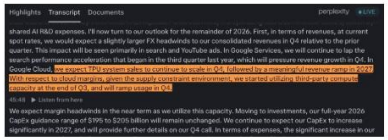


29 Oct 2026

“Given the supply constraint environment, we started utilizing third-party compute capacity at the end of Q3, and will ramp usage in Q4.”, Google CFO

“Expect margin headwinds in the near term as we utilize this capacity.” Expect our CapEx to increase significantly in 2027 Source: Wall St Engine, Bloomberg

#EARNINGS #GOOGLE



28 Oct 2026

France: too cheap to ignore?

French equities are deeply out of favour—and the valuation gap has reached historic proportions. After more than three years of underperformance, the CAC 40 is trading at its lowest valuation relative to the Eurozone on record, according to JPMorgan. Investors have been retreating from French assets, leaving sentiment firmly in the doldrums. For contrarians, the appeal is clear. The harder question is whether today’s discount offers a genuine opportunity—or simply reflects the risks ahead. Source: JPM, TME

#EQUITIES #EUROPE

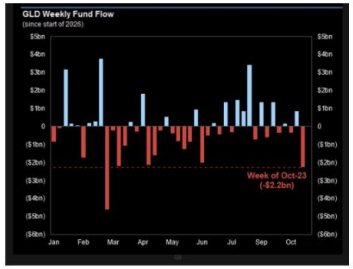


28 Oct 2026

Selling the gold lows?

$GLD $ETF just recorded its biggest weekly outflow since March. Investors are heading for the exits after the recent gold washout. The question is whether they’re selling into the lows. Source: TME, GS

#GOLD



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The week ahead: US midterm elections headline Tuesday (with the risk of renewed US-Israeli strikes on Iran after the vote); BoE delivers rate decisions, while US JOLTS, ADP, ISM services and Friday's NFP drive the macro calendar.

Type	Monday (November 2)	Tuesday (November 3)	Wednesday (November 4)	Thursday (November 5)	Friday (November 6)
Economic Data	**15:00 US Manufacturing PMIs**	**15:00 US JOLTS**	**10:00** EU CPI **13:15** US ADP **13:30 US Treasury QRA breakdown** **15:00 US Services PMIs** **15:30** US Crude Oil Inventories	**13:30** US Initial Jobless Claims	**13:30 US NFP** **15:00** US Michigan Inflation Expectations
Central Bank Meetings	–	**RBA rate decision**	–	**BoE rate decision**	–
Earnings	**Apple** (After close)	**AMD** (After close)	**Qualcomm** (After close)	–	–
Central Bank Speakers	Fed Goolsbee	–	–	ECB Lagarde Fed Barkin Fed Hammack	Fed Logan Fed Williams BoE Pill **BoJ Ueda** Fed Bowman
Market Events	**Start of the month flows**	–	–	–	–
Other Key Events	**Middle East →**	**France National Assembly vote on the revenue half of the 2027 budget** **US midterms**	–	–	–

All times UK

Source: Tradelo

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Q3 earnings season:



Source: Earnings Whispers

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Appendix

- Cross-asset technicals – by Florian Marini, Head of Research
- Earnings pulse week 3- by Florian Marini, Head of Research
- Special topic: UK budget by Reto Cueni – Chief Economist

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Cross-Asset Technical Review

Breadth Repairs for a Second Month – the Nasdaq Is the Hole in It

Equities

Participation Repairs, Led by Large Caps ▲ Bullish

The repair has extended for a second month. The S&P 500 (7,580.1) is slightly lower and still below its 6 October record, but members above their 50-day have risen again to 61.48% and those above their 200-day to 62%, from a 42% trough.

The advance–decline lines have stalled. The NYSE securities line (0.613M) is sitting exactly on a rising 200-day with its 50-day (0.616M) rolling over above it, and the stocks-only line is already below both. Small caps are the exception: that line is holding the retest of the 2021 ceiling it broke in August, now reinforced by its 200-day near 41,000.

The Nasdaq is the hole in the repair. Members above their 200-day have bottomed near 37% and recovered only to 39%, and new 52-week lows (around 10–11%) outnumber new highs (2.30%) by more than four to one. Europe is the mirror image, 6.00% at new highs against almost none at new lows.

Europe weakened at the index level, not beneath it. The CAC 40 (7,969.4) stays neutral ◆ with a negative tilt: its 200-day (8,203.4) has turned down and the 50-day has crossed below it, but the 7,500.00 support is intact and October's push through 8,577.1592 was rejected. The Stoxx 600 (646.8) held its 628.02 mid-band and the SPI is at a new high.

Asia stays the weak link. MSCI AC Asia Pacific (259.6) and ex-Japan (818.6) have closed below rising 200-day averages for the first time in this advance, and the mainland China averages have now rolled over. Only the Nikkei (63,290.1) and Taiwan (45,211.8) still hold theirs.

Conclusion: the verdict stays bullish ▲. Four weeks of improvement sit inside three months of deterioration, and the repair is large-cap led: 55% of the Russell 1000 is above its 200-day against 48% of the Russell 2000.

Interest Rates

United States ▲ Bullish

The yield breakout has stalled. The 30-year (5.31%) holds above the broken 5.1953% shelf and the 2-year (4.59%) above a rising 200-day average (4.08%), but the 10-year (4.93%) has fallen back below its 5.0187% cycle high after a run to 5.35%. Higher highs and higher lows across the curve are intact.

Every yield has lost its 50-day at once. All nine curves in the deck now trade below their 50-day averages and 5–13% off highs set in October. All nine 200-day averages are still rising, so this is a synchronised pullback rather than a trend break.

Real yields have eased with them. The US 10-year TIPS yield has come off its 2.98% October high but still holds its breakout above the 2.54% cycle high, and remains the pressure point for long-duration equities.

Bond volatility has stopped extending. The MOVE index (100.2) is marginally below last week's 103.3 but still sits some 29% above its own rising average (77.7). Equity volatility remains settled, with the VIX at 19.42.

United Kingdom, Germany & Switzerland ▲ Bullish
Gilt yields (5.28%) hold above their 5.183% shelf, Bund yields (3.32%) above the broken 3.026% peak and 2-year Bunds (3.04%) above 2.296%. Swiss 10-year yields (0.48%) remain below the 0.600% resistance that has twice turned the move back ▲ – the trend holds on a rising 0.416% average.

Currencies

The Dollar Breakout Holds

US Dollar Index (DXY) ▲ Bullish
The index (101.879) holds above the broken 101.800 key resistance and the 100.630 weekly line, with a rising 200-day (99.654) beneath it inside its long-term channel. Key support is 98.572.

EUR/USD ▼ Bearish
The pair (1.1160) extends below the broken 1.1325 key support with a falling 200-day (1.1560) above it, printing a new low at 1.1110. A recovery above 1.1325, then 1.1709, is needed before the picture improves.

Asian Currencies – USD ▼ Bearish
The JPMorgan Asian Dollar Index is back on the 102.74 support it broke, beneath a falling 200-day (103.89), with 105.43 still capping rebounds and a fresh lower low at 102.41.

Swiss Franc ◆ Neutral
USD/CHF (0.8250) holds above its 0.8207 breakout with a rising 200-day (0.7993) beneath it ▲; the 0.8316 trendline was pierced at 0.8385 and not held. EUR/CHF (0.9204) is downgraded to bearish ▼: the loss of 0.9271 is confirmed and price sits below a flat 200-day inside an intact falling channel. The franc is weak against the dollar, firm against the euro.

Sterling
GBP/USD (1.34) neutral ◆ on a flat 200-day in the middle of its 1.32–1.38 range. GBP/EUR (1.1999) bullish ▲, extending to a new high above its 1.1615 breakout.

FX Technical Highlights: AUD/USD and EUR/SEK bullish ▲, both on rising 200-day averages; ZAR/USD downgraded to neutral ◆; EUR/NOK bearish ▼ at a new low of 10.2724.

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Cross-Asset Technical Review

Gold Loses Its Floor and Joins Silver – Energy Is the Last Clean Uptrend

Commodities

Commodities – Energy Up, Gold Loses Its Floor ▲ Bullish

Energy: Crude oil ▲ Bullish
WTI (104.1) and Brent (117.6) hold far above rising 200-day averages (86.6 and 92.9) and above their broken 2022–2026 downtrend lines. Brent's 125.28 objective is within 7%, and energy remains the cleanest uptrend in any asset class.

Precious Metals ▼ Bearish
Gold (3,874.6) is downgraded to bearish ▼: the 3,942.44 floor flagged last week has broken on the close, the 200-day (4,491.1) has turned down and the 50-day (4,254.4) sits below it. At 13.7% under its average gold is through the oversold band and at its deepest discount since 2015, but the weekly stochastic has already failed back under 70. Silver (49.10) has lost 54.4796 and is 30% below its own average.

Base Metals ▲ Bullish
Copper holds the reclaimed 14,216.59 shelf with a rising 200-day (13,576) beneath it and 17,288.82 the measured objective. Platinum (1,435.2), palladium (978.6) and iron ore (675.0) are extending their breakdowns – all bearish ▼. Aluminium is pinned on 3,054.02 with its average flattening: neutral ◆, negative below that line.

Cryptos

Cryptocurrencies ▲ Bullish

The 200-day has turned up across most of the complex. Large caps (14,590.3), small caps (2,641.4), ether, solana (88.86) and Binance Coin (655.30) have all inflected higher after a brutal 2026, and small caps have just printed a 50/200 crossover.

But every name is back below its first resistance. Bitcoin (77,777.5) holds above a rising 200-day (73,172.5) and remains bullish ▲, but has not regained 82,700. Large caps are back under 16,130.60, ether under 2,463.28, and Binance Coin has closed back below 733.1129 after trading above it through October.

One downgrade. The Bloomberg Galaxy index (2,007.9) has lost the 2,162.09 level it reclaimed – the invalidation named last week – with the only 200-day in the complex still falling: neutral ◆. XRP (1.2504) stays neutral ◆ beneath a flat average, its 50-day (1.3905) rolling over.

Bitcoin Trading Rule Strategy: ▲ Bullish – long, but only 1.8% above the 76,428.64 signal line.

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Changes This Week

Gold

~~◆ Neutral~~ → ▼ Bearish

The 3,942.44 floor flagged last week has broken on the close (3,874.6). The 200-day (4,491.1) has rolled over with the 50-day beneath it, and price is 13.7% below the average.

EUR/CHF

~~◆ Neutral~~ → ▼ Bearish

The loss of 0.9271 is confirmed at 0.9204, beneath a 200-day that has gone flat and tipped over, with the 50-day (0.9357) rolling over and the multi-year falling channel intact.

ZAR/USD

~~▲ Bullish~~ → ◆ Neutral

Price (0.059847) has slipped below both averages, the 200-day (0.061015) has stalled and a lower high is in place at 0.062871. The 0.058042 key support decides it.

Bloomberg Galaxy

~~▲ Bullish~~ → ◆ Neutral

The index (2,007.9) has lost the 2,162.09 level it reclaimed, the invalidation named last week, and carries the only 200-day in the crypto complex still falling.

Nasdaq Internals

On Watch

The Composite sits near a record while new 52-week lows, around 10–11%, outnumber new highs (2.30%) by more than four to one. Members above their 200-day have bottomed near 37% and recovered only to 39%.

Swiss SPI

▲ New High

The index (20,847.0) is at a new high, above a rising 50-day (19,959.2) and 200-day (19,265.9).

SPIEX

▲ New High

In new high ground on the 6,739.9741 breakout, not yet confirmed on the close.

MSCI Europe Mid Cap

▲ New High

The index (1,759.1) is at a new high, above a rising 50-day (1,713.3) and 200-day (1,662.8).

WHAT WE ARE WATCHING

The CAC 40's 7,500.00 support, with a falling 200-day above it – a close below turns it negative. Aluminium on 3,054.02, with the 50-day beneath a flattening 200-day. The NYSE advance–decline line at 0.613M, where the drawn level and the rising 200-day coincide. Bitcoin's 76,428.64 signal line, 1.8% below spot.

MOMENTUM AND SECTOR PARTICIPATION

Nine momentum changes on slide 5: US and European consumer staples and US health care turn positive on a relative basis, European health care and US utilities positive outright, while US communication services turns negative and Asia ex-Japan industrials and health care roll over. Aluminium turns negative. On sector participation (slide 120), small caps improve to 71% of sectors in uptrend from 67% and Europe to 65% from 60%, while the S&P 500 (63%) and mid caps (54%) are unchanged. Every index-level trend flag is still positive.

Changes are measured against the previous published edition (25 October 2026). The Swiss Franc block on the review table carries the franc's own verdict rather than the crosses'.

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Momentum – Equities, Forex, Commodities

	US	Europe	Japan	Asia AC ex-Japan	Switzerland
EQUITIES	+	+	+	+	+

SECTORS	US		Europe		Japan		Asia AC ex-Japan	
	Abs.	**Rel.**	**Abs.**	**Rel.**	**Abs.**	**Rel.**	**Abs.**	**Rel.**
Consumer Discretionary	-	-	-	-	+	-	-	-
Consumer Staples	+	+	+	+	+	-	-	-
Energy	+	+	+	+	+	+	-	-
Financials	+	-	+	+	+	+	+	-
Health Care	+	+	+	-	+	-	-	-
Industrials	+	-	+	-	+	-	-	-
Information Technology	+	+	+	+	+	+	+	+
Materials	+	-	+	+	+	-	-	-
Communication Services	-	-	+	-	+	-	-	-
Utilities	+	-	+	+	+	-	-	-
Real Estate	+	-	-		-	-	-	

FACTORS	US		Europe		Japan		Asia AC ex-Japan		Switzerland	
	Abs.	**Rel.**	**Abs.**	**Rel.**	**Abs.**	**Rel.**	**Abs.**	**Rel.**	**Abs.**	**Rel.**
Mid Caps	+	-	+	+	+	-	+	+	+	-
Small Caps	+	-	+	-	+	-	+	-	+	-
Growth	+	-	+	-	+	-	+	-		
Value	+	+	+	+	+	-	+	+		

FOREX	
EUR-CHF X-RATE	-
USD-CHF X-RATE	+
GBP-CHF X-RATE	+
EUR-USD X-RATE	-
EUR-GBP X-RATE	-
USD-GBP X-RATE	+

COMMODITIES	
BCOM Total Return	+
Gold Spot $/Oz	-
Silver Spot $/Oz	-
Copper LME	+
Aluminum LME	-
Crude Oil (Brent)	+

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Bull Market Top Checklist

Thirteen late-cycle markers, grouped by timing role — 2000 and 2007 vs. today. Updated 30 October 2026 (30 October chart refresh).

	SIGNAL	2000	2007	TODAY	READ
A	**Vulnerability** How much excess is built in. Raises the cost of a turn; says little about its timing.				
1	**Heavy inflows into equity funds**	✓	✓	✓	Elevated equity-ETF inflows. Partly structural (mutual fund → ETF migration), so weaker signal than in 2000/2007.
2	**IPO and M&A activity**	✓	✓	●	IPOs on: YTD volume rivals 2021, concentrated in AI/tech mega-listings (SpaceX $86bn, June). M&A off: headline value inflated by mega-deals, no broad rise in transaction count; strategic buyers, not sponsors.
3	**Euphoric market sentiment**	✓	✓	✗	Absent: sentiment indicators in bear territory – AAII bull–bear spread negative, NDR short-term sentiment pessimistic; fund managers de-risked since summer (GS: positioning declined). Wall of worry, not euphoria.
4	**Restrictive policy / curve inversion**	✓	✓	●	Fed 3.75–4.00%; ~0.7 more hike priced by December (from 0.8); DB still expects +50bp (Dec and Mar), ECB hike likely in December. Curve positive (2s10s +33bp, 2s30s +69bp) – no inversion. On watch.
5	**Valuation & concentration extremes**	✓	✗	●	S&P 500 18.7x forward on EPS $413 (23x a year ago); Stoxx 600 14.1x; Japan ~16x, EM ~10x. Concentration elevated but below the 2000 extreme (25x, ~25% top-10). Demanding, not euphoric.
B	**Turn** Leading signals with timing value. Act when breadth (row 6) is confirmed by credit (rows 10–11) or earnings (row 7).				
6	**Deteriorating market breadth**	✓	✓	✗	Market breadth remains constructive and, importantly, is not showing the kind of large negative divergences that typically accompany major market tops.
7	**Weakening earnings revisions**	●	✓	✗	Robust: Q3 S&P 500 EPS +31% y/y, revenues +12.7%, 81% beat; Stoxx 600 +22%. Forward EPS $413, a new high. WATCH: surprise only +2.1% vs 7.5% average – guidance now moves stocks.
8	**Shift to defensive leadership**	✓	✓	✗	Not yet: no rotation into Staples or Utilities. Q3 leadership sits with suppliers holding pricing power (TI, ABB orders +40%) while consumer brands give price back – an AI-capex, not a defensive, market.
9	**Rising real interest rates**	✓	✓	●	Easing: 10y TIPS ~2.55% (from 2.64%; ~2.97% peak), 10y 4.92% (from 4.99%). Real yields falling for five weeks but still near cycle highs – partial.
10	**Widening credit spreads / deteriorating CDS**	✓	✓	✓	Present, first easing: CCC OAS 11.0% (from 11.3%) vs MA200 7.7%; CDX HY 354bp (MA200 321), Xover 320bp (MA200 273), CDX IG 62bp – all still above rising MA200s. No IG/BBB spillover.
11	**Tightening lending standards (SLOOS)**	✓	✓	✗	July-26 SLOOS: C&I standards unchanged and easier than post-2005 midpoint; CRE eased most since early 2022; only residential and cards tighter. October SLOOS due early November.
C	**Confirmation** Coincident or lagging. Confirms a top already in place; does not anticipate it.				
12	**Blow-off top**	✓	✓	✗	No parabolic phase: S&P 500 7,720 (+1.3% w/w), ~0.6% below its record; P/E 18.7x vs ~22x peak – EPS outran price. Weakness rotational, not distributive.
13	**Trend change: 200-dma turning down, lower highs and lower lows**	✓	✓	✗	No: S&P 500 7,720, 5.7% above a rising 200-dma (7,306); Stoxx 600 647 (+1.8% w/w) above its 200-dma. Uptrend intact – the October pullback was rotational, no lower low.

Legend ✓ signal present ● partial / on watch / lagged ✗ absent | signal changed | comment updated

Sources: Syz Research; Bloomberg (30 Oct 2026); Syz Research Forum (27 Oct 2026); Cross-Asset Technical Review; J.P. Morgan; Deutsche Bank (20 Oct 2026); Lowry (26 Oct 2026); Federal Reserve July 2026 SLOOS; ICE BofA US HY & CCC OAS; original nine-point checklist as received. Historical checks describe the broader topping process, not warnings all visible before the exact peak.

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Week three: strong growth, smaller beats

KEY MESSAGE

Growth is exceptional, the beats are small, and the market is more focused on 2027 than on the quarter. 50% of companies have reported; 81% beat EPS estimates against a 78% five-year average, but the aggregate surprise is only +2.1% against a 7.5% historical average. Blended Q3 EPS growth runs at +31.0% on revenue +12.7%, with 7 of 11 sectors growing double digits, IT the largest contributor followed by Industrials. **Guidance breadth is the strongest signal of the season:** 56% of S&P 500 companies raised EPS guidance (42% average) and only 16% cut (20%).

Thursday night set the tone for the last stretch: Amazon beat on profit but guided Q4 below consensus and burned USD 33.5bn (–7% pre-market), Intel beat and guided Q4 EPS 43% below consensus (–22% after hours), Eli Lilly beat by 32% and raised (+6.6%).

The scorecard:

- **US:** 51% reported, 81% EPS beat rate, EPS +31.0% y/y, revenue +12.7%, +2.1% surprise; 66% beat on revenue. Forward P/E has compressed to 18.7x (19.8x five-year average) as earnings outrun prices. Q4 is expected at +29.2%.
- **Europe:** Stoxx 600 Q3 EPS +21.9% expected (+8.4% ex-energy) with 55% beating (54% average); Energy leads but 8 of the other 10 sectors deliver double-digit growth, and Europe out-delivers the US in 6 of 11 sectors (Tech +42%, Discretionary +28%, Financials +16%). Median company EPS growth of about 13% now exceeds the US (10%). Forward P/E 13.9x vs. 14.2x average.

Beats keep coming, unchanged outlooks get sold. The price followed the guide and the cash line: Alphabet –12.6% on negative free cash flow, Caterpillar –9.5% and Lloyds –4.9% on beats with unchanged targets, Amazon –7% on a soft Q4 guide; raised forward guidance was rewarded (Lilly +6.6%, STMicro +1.9%, SIG +9.6%). With multiples compressing, **the upside from here comes from EPS, not from a re-rating.**

81%
of S&P 500 companies beat EPS estimates (78% five-year average)

+2.1%
aggregate EPS surprise vs. a 7.5% historical average

+31.0%
blended Q3 EPS growth, on revenue +12.7%

56%
of S&P 500 companies raised EPS guidance (42% average)

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Source: Syz Research, LSEG I/B/E/S; FactSet; JPM Equity Strategy, Q3 Earnings Season Tracker; Bloomberg.

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Management voices of the week

AI demand and the cost of capacity

"Based on the demand we see, the strength of our products, and the efficiency we are driving across the stack, I've never been more confident in the long-term returns for our investments."

— Satya Nadella, CEO, Microsoft

"There has never been a trillion dollar revenue business, and we may have two of them in the next 5-10 years."

— Andy Jassy, CEO, Amazon

"The strong growth in AI Mode queries had an impact because of the lower monetization we were seeing in AI Mode."

— Philipp Schindler, Chief Business Officer, Google

Banks: politics and regulation

"We are vigilant, given the current political environment … Our reliance on France is limited as we are very internationally exposed."

— Jean-Laurent Bonnafé, CEO, BNP Paribas

"Being a bank that has a DNA of Swissness, that is rooted in Switzerland, is a big advantage, but it is not the reason why our clients are banking with us."

— Sergio Ermotti, CEO, UBS

Demand: where AI squeezes and where volume carries

"I'm disappointed that we were not able to meet strong customer demand in this quarter. We faced … manufacturing supply shortage, the unprecedented memory crunch, and the resulting softness in PC demand."

— Lip-Bu Tan, CEO, Intel

"Revenue growth was driven by broad global consumer demand for Mounjaro and Zepbound…"

— David A. Ricks, CEO, Eli Lilly

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Source: Syz Research, LSEG I/B/E/S; FactSet; JPM Equity Strategy, Q3 Earnings Season Tracker; Bloomberg.

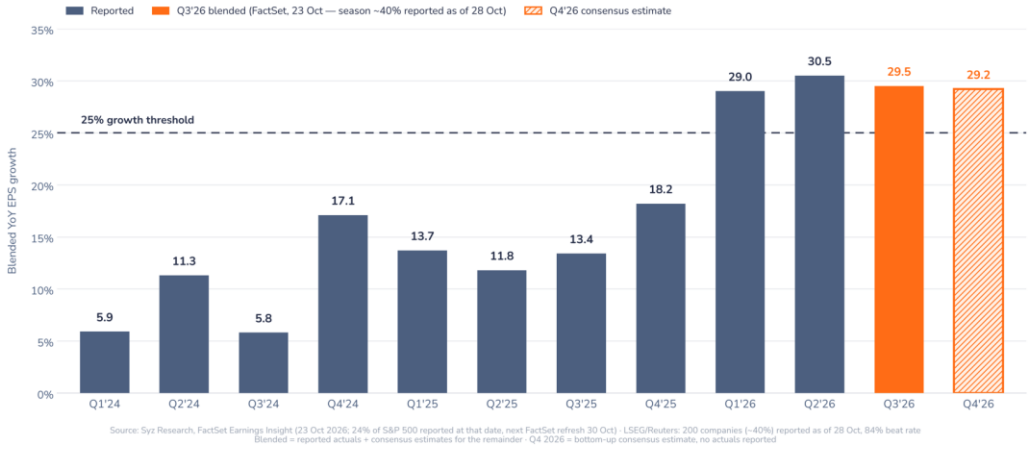
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Earnings season scorecard: growth and sectors

Exceptional growth, elevated expectations. S&P 500 Q3 EPS growth of about 30% is the third quarter in a row above the 25% threshold, after +29.0% in Q1 and +30.5% in Q2, and Q4 consensus sits at +29.2%. The aggregate surprise of +2.1% against a 7.5% average says the growth was expected: **earnings must deliver to justify valuations rather than beat them.**

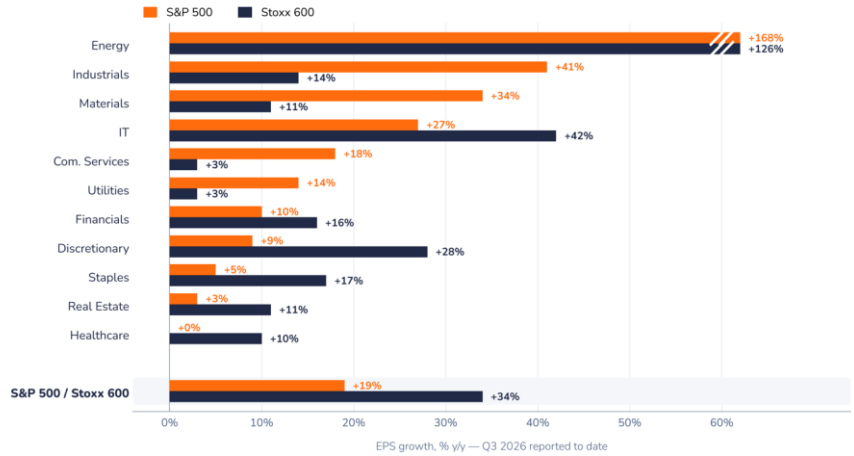
Broad-based on both sides of the Atlantic. Energy distorts both indices (+168% US, +126% Europe), but the breadth beneath is wide: 7 of 11 US sectors grow double digits, and Europe out-delivers the US in 6 of 11 sectors, led by Tech (+42%), Discretionary (+28%) and Staples (+17%); the US leads in Industrials (+41%), Materials (+34%) and Communication Services (+18%).

S&P 500 blended EPS growth, y/y: Q3 is the third quarter in a row above 25%



Q3 2026 EPS growth by sector: Europe out-delivering the US in 6 of 11 sectors

S&P 500 vs Stoxx 600 — % y/y EPS growth of companies reported so far, by GICS sector · sorted by S&P 500 · Energy bars truncated at 60%



Earnings must deliver to justify valuations rather than beat them.

Source: Syz Research, LSEG I/B/E/S; FactSet; JPM Equity Strategy, Q3 Earnings Season Tracker; Bloomberg.

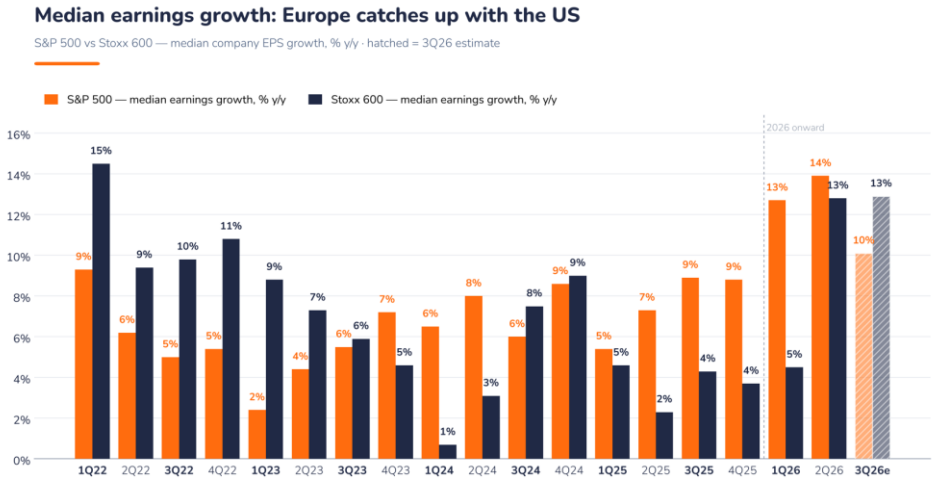
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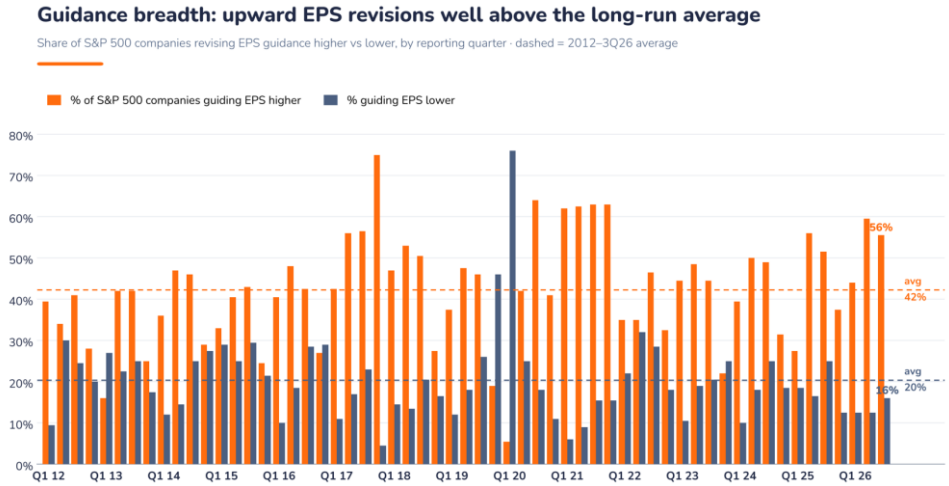
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Earnings season scorecard: breadth and guidance

The median company confirms the aggregate. Median EPS growth strips out the index heavyweights: US companies delivered 9% in Q3 2025 and Europe 4%; for Q3 2026 the estimate is 13% in Europe against 10% in the US, **the first time since 2023 that the median European company grows faster.** The recovery is broadening, not narrowing.

Guidance breadth is the best of the cycle. 56% of S&P 500 companies raised EPS guidance this quarter against a 42% average since 2012, and only 16% lowered it (20% average). The revision balance is among the best of the past decade outside the 2017–18 tax reform and the 2021 reopening, which supports the 2026 consensus even as the market sells individual unchanged outlooks.





The recovery is broadening, not narrowing: guidance breadth is the best of the cycle.

Source: Syz Research, LSEG I/B/E/S; FactSet; JPM Equity Strategy, Q3 Earnings Season Tracker; Bloomberg.

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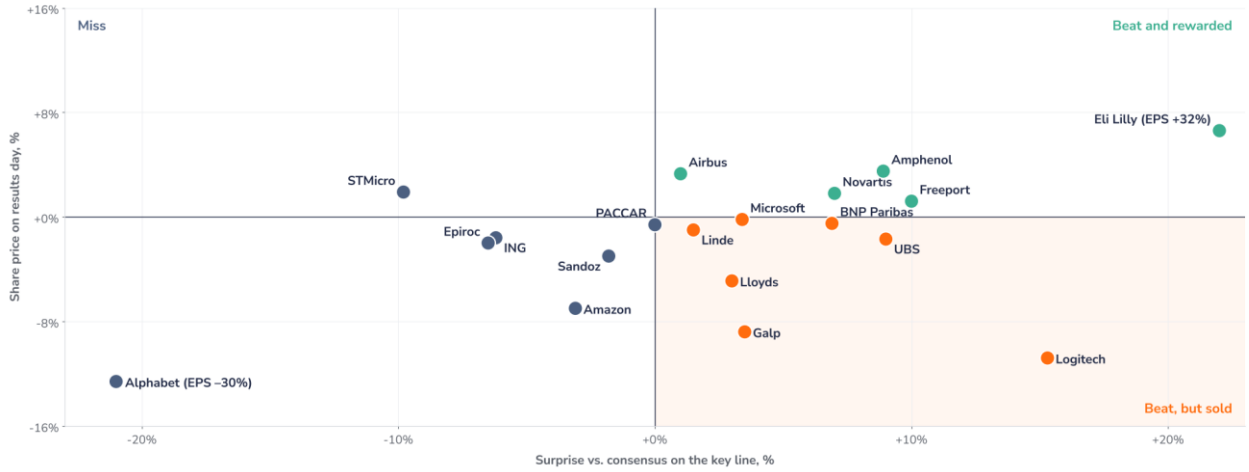
The guide and the cash line set the price

Nineteen Focus List reporters, twelve beats, six misses, one in line. The surprise explained little.

Alphabet grew revenue 25% and fell 12.6% (a record USD 500bn of market value) as its margin slipped to 31.8% and free cash flow turned negative; **Amazon** beat the top of its operating income guide by 6% and fell 7% pre-market on a Q4 guide below consensus and a USD 33.5bn cash outflow; **Lloyds** beat by 3% and fell 4.9% on an unchanged 2026 guide and a new bank surcharge; **Logitech** beat EPS by 15% and fell 10.8% on a margin guide. **The exceptions were paid for forward lines:** Eli Lilly +6.6% on a USD 5.5bn revenue raise, STMicro +1.9% despite a 10% EPS miss on a book-to-bill above 2, Airbus +3.3% on a held guide.

Focus List: the surprise explains little, the guide and the margin explain the move

This week's nineteen Focus List reporters: key profit or sales line vs. consensus and share price on results day



Key line: EPS, or net/underlying profit for banks, RCA EBITDA for Galp, sales for Sandoz, EBIT for Airbus · Alphabet and Eli Lilly plotted at the axis edges · Amazon: 30 Oct pre-market · others: results-day close as in the Syz notes.
Source: Syz Research earnings updates (26–30 October 2026), Bloomberg, company releases.

Beats paid

Eli Lilly +6.6%, Amphenol +3.5%, Airbus +3.3%, Novartis +1.8%, Freeport +1.2%.

Beats and raises sold

Microsoft (–0.2%), Linde (–1.0% on a Q4 guide below the Q3 pace), BNP (flat on French risk), UBS (–1.7% on capital rules), Lloyds (–4.9%), Logitech (–10.8%), Galp (–8.8% on the failed Moeve deal), Sandoz (–3.0%).

Misses

Alphabet (EPS –30%, mostly the SpaceX stake), Amazon (EPS –3%, operating income beat), ING (–6% on one-offs, payout +27% vs. expectations), Epiroc (orders +16% vs. 26% expected), STMicro (EPS –10%, rewarded for orders).

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Source: Syz Research, LSEG I/B/E/S; FactSet; JPM Equity Strategy, Q3 Earnings Season Tracker; Bloomberg.

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Focus List scorecard: this week's nineteen reporters

Our read: the bar has moved from the quarter to 2027 margins and cash. We add where upgrades still run ahead of the price (Eli Lilly, Amphenol, STMicro, SK hynix's read-across to TSMC, ASML and VAT), treat Amazon at 24x after the drop as a buy-on-weakness with AWS at +39% and a USD 578bn backlog, hold the European banks through their political and regulatory tests (BNP, UBS, ING, Lloyds), and wait for a cleaner signal at Alphabet (cash flow), Logitech (costs) and Epiroc (orders).

Company	Key line vs. consensus	Guidance	Reaction	Fwd P/E vs. avg.	Inv. case
Microsoft	Rev. +1.8%, EPS +3.4%	Azure 49–50% vs. ~45%	–0.2%	25.2x / 20.1x	Strengthened
Alphabet	EPS –29.6% (SpaceX)	FY capex guide held	–12.6%	17.7x / 19.6x	Weakened
Amazon	EPS –3.1%, op. inc. beat	Q4 op. inc. below cons.	–7.0%*	24.3x / 26.3x	Unchanged
Amphenol	Sales +7.4%, EPS +8.9%	Q4 +6–8% above cons.	+3.5%	25.0x / 22.7x	Strengthened
Eli Lilly	Rev. +8.0%, EPS +31.7%	FY rev. +USD 5.5bn	+6.6%	26.2x / 26.3x	Strengthened
Linde	Sales +2.7%, EPS +1.5%	FY EPS +0.4% (FX)	–1.0%	26.4x / 26.3x	Unchanged
Freeport	Adj. EPS +10.0%	2026 Cu sales –2%	+1.2%	16.3x / 18.5x	Unchanged
PACCAR	EPS in line, sales –1.3%	Q4 deliveries 41–43k	–0.6%	17.6x / 15.1x	Unchanged
UBS	Underlying PBT +9%	Targets held, buyback early	–1.7%	11.2x / 11.5x	Unchanged
BNP Paribas	Net income +6.9%	2026–28 targets held	–0.5%	6.7x / 8.2x	Unchanged
ING	Net profit –6.2%	Liability margin to ~110bp	–1.6%	10.1x / 8.5x	Unchanged
Lloyds	Underlying profit +3%	2026 guide reiterated	–4.9%	8.4x / 8.9x	Unchanged
Airbus	EBIT +1.0%, rev. –5.0%	FY guide held	+3.3%	23.5x / 17.4x	Unchanged
STMicro	Rev. +0.7%, EPS –9.8%	Q4 GM 39% (+90bp)	+1.9%	19.9x / 19.2x	Strengthened
Epiroc	Rev. –3.0%, EPS –6.5%	No numeric guide	–2.0%	24.8x / 24.8x	Unchanged
Galp	RCA EBITDA +3.5%	FY EBITDA guide +25%	–8.8%	8.4x / 11.6x	Unchanged
Novartis	Core EPS +7%	2026 core profit raised	+1.8%	17.4x / 13.2x	Strengthened
Sandoz	Sales –1.8%	Margin 23–23.5% (raised)	–3.0%	21.6x / 15.5x	Unchanged
Logitech	EPS +15.3%	Q3 GM 41–42% (cut)	–10.8%	17.5x / 20.8x	Weakened

* Amazon: 30 October pre-market. Source: Syz Research, LSEG I/B/E/S; FactSet; JPM Equity Strategy, Q3 Earnings Season Tracker; Bloomberg.

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AI: demand proven, funding questioned

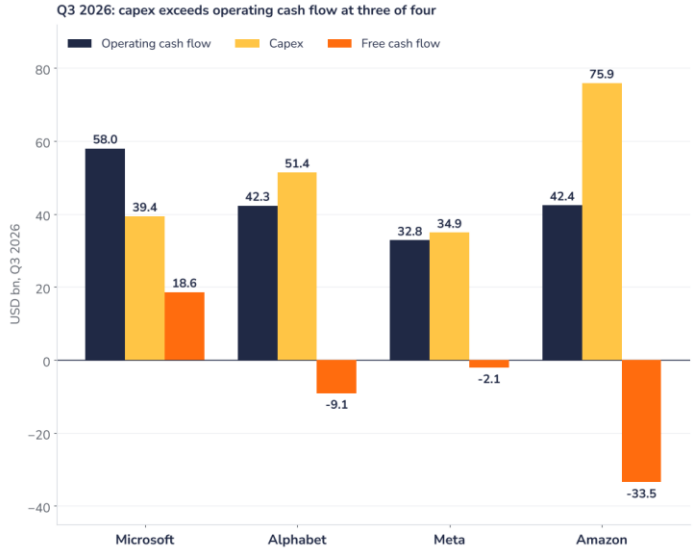
"Less 'spend at any cost', more 'earn on every dollar'." — Syz CIO Office, AI Earnings Season thematic note

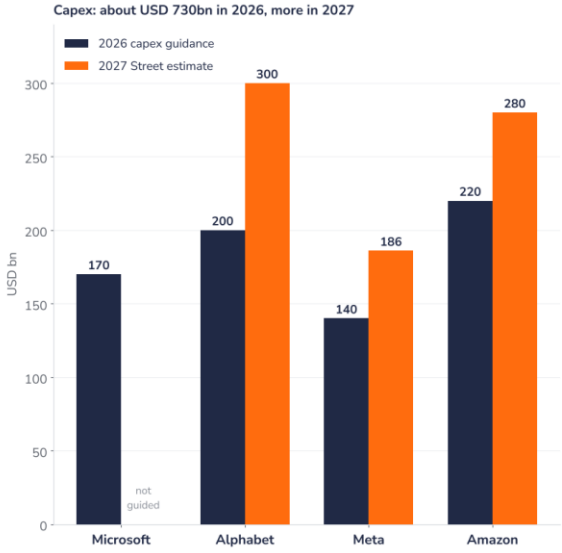
The cycle is not breaking; it is entering a more capital-intensive and more selective phase.

- **Demand is not the problem.** Azure +48%, Google Cloud +103%, AWS +39%; contracted backlog above USD 1.9tn (Microsoft RPO USD 677bn, Oracle 664bn, Google Cloud 561bn); 2027 HBM sold out; Anthropic's S-1 shows lab revenue of USD 16.3bn in H1 2026 (FY25: 4.6bn) with compute costs down to 48% of revenue.
- **Cash is the problem.** About USD 200bn of capex in one quarter; combined free cash flow of the four about USD –26bn against +60bn a year ago; 2026 capex about USD 730bn, nearly double 2025, and 2027 up again (Alphabet "significantly", Amazon "meaningfully more"; Morgan Stanley: USD 1.6tn).

Demand proven, funding questioned: the build-out is no longer self-funded

Left: operating cash flow, capex and free cash flow, Q3 2026 (Microsoft: fiscal Q1 FY27; capex in cash) · Right: 2026 capex guidance midpoint vs. pre-results 2027 Street estimates





Combined Q3 free cash flow of the four: about USD –26bn vs. about +60bn a year ago · Alphabet/Amazon OCF and Amazon quarterly FCF derived by Syz.
Source: Syz CIO Office, AI Earnings Season: Demand Proven, Funding Questioned (30 October 2026); company filings and guidance; CNBC; Admiral Markets.

Source: Syz CIO Office, AI Earnings Season: Demand Proven, Funding Questioned (30 October 2026); company filings and guidance; CNBC, Admiral Markets.

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AI: the build-out is now externally financed

- About USD 223bn of hyperscaler IG issuance by early September (Goldman: about 35% of 2027 capex debt-funded), equity (Alphabet's USD 80bn programme, Meta's Class C, Intel's USD 23bn), leases and partner capital; USD 266bn of Anthropic compute commitments sit with Google, Amazon and Microsoft without matching contracted revenue.
- **The weak link is consumer-facing:** Alphabet's Search grew 12% against a 17–19% band with query growth at a five-year high, so revenue per query is falling, while ChatGPT Ads hit a USD 1bn run rate in under 200 days. Not existential (Search earns 60x that in a quarter), but the engine funding the build-out slows as capex rises.
- **The scoring rule is written:** monetisation and funding clarity are paid (Microsoft flat, Oracle +11%, SK hynix +11%), cash burn without acceleration is punished (Alphabet –12.6%, Amazon –7%, Meta –7%, Intel –22%).

USD 223bn
hyperscaler IG issuance by early September

~35%
of 2027 capex debt-funded (Goldman)

USD –26bn
combined Q3 free cash flow of the four, vs. +60bn a year ago

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The message is not that the AI cycle is breaking but that it is entering a more capital-intensive and more selective phase. Revenue growth and backlogs support the investment case, while the shift from self-funded to externally funded capex makes **credit markets, rather than earnings alone, the arbiter** of how far and how fast the build-out can go; this is why AI capex funding is one of the four signals that would change our equity stance.

Source: Syz Research, LSEG I/B/E/S; FactSet; JPM Equity Strategy, Q3 Earnings Season Tracker; Bloomberg.

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European banks: trading carries, politics and regulation cap the multiple

The equities boom reported by the US banks two weeks ago reached Europe: **BNP** grew equities and prime revenues 50% to a record and beat net income by 6.9%; **SocGen** grew equities 46%; **UBS** lifted Global Markets 17% and beat underlying pre-tax profit by about 9%. **None was paid.** BNP trades on 6.7x as French 10-year yields passed 5%, UBS fell 1.7% as Bern's capital rules cap buybacks, ING fell 1.6% on a noisy 6% miss despite a payout 27% above expectations, and Lloyds fell 4.9% on a 3% beat: the 2026 guide was reiterated without an upgrade, 2027 income growth was guided slower, and the 28 October Budget doubles the bank surcharge to 6% for 15 months. HSBC (–6%) completes the picture: **rate-sensitive franchises no longer get credit for higher rates.**

European banks: beats were not paid, misses were

Q3 2026 surprise on the key profit line vs. consensus and share price move on results day, %



*UBS: underlying pre-tax profit excluding a USD 697m settlement gain; reported net profit was 0.6% below consensus · Moves: results-day close (BNP: late morning 28 Oct).
Source: Syz Research earnings updates (28–29 October 2026), Bloomberg News, company releases.

OUR READ

European bank earnings are being discounted for sovereign, fiscal and regulatory risk, not for the quarter. **BNP** (6.7x, 18% below its average) and **ING** (10.1x, 16% ROTE, upgraded margin guide) offer the best risk/reward; **Lloyds** at 8.4x already prices the surcharge after a 14% fall from its August peak; we hold **UBS** through the December parliamentary debate rather than add ahead of it.

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Source: Syz Research earnings updates (28–29 October 2026), Bloomberg News, company releases.

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Cyclicals: backlogs carry, new orders and China slow, pricing holds

Order momentum is cooling where backlogs are long

+16%

Epiroc equipment orders vs. about 26% expected

- Airbus missed on revenue and cash but held its guide, which now needs about 323 Q4 deliveries and EUR 5.8bn of Q4 free cash flow.
- PACCAR customers hold 2027 orders until EPA penalties are set.
- Freeport trimmed copper volumes while price did the work.

Pricing is the common thread of the beats

6 of 9 pts

of Linde's Americas growth came from price

- Linde grew electronics 15% on AI fabs, yet the shares slipped 1% on a Q4 guide below the Q3 pace.

China is a structural drag outside tech

EUR –5.9bn

Volkswagen loss, with its Chinese JVs loss-making

- Mercedes cut its car margin outlook to 2–3%.
- Toyota and AB InBev posted China declines.

We stay with backlog-rich, pricing-led names (Amphenol, Safran, ABB, Linde) over China-exposed autos and consumer.

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Source: Syz Research, LSEG I/B/E/S; FactSet; JPM Equity Strategy, Q3 Earnings Season Tracker; Bloomberg.

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Week ahead: the season turns quieter after the hyperscalers

With Amazon, Microsoft and Alphabet reported, **the AI capex question is now a 2027 question.** Next week brings four Focus List reporters, all US, and the start of the Japanese season; LSEG's refreshed Stoxx 600 scorecard (30 October) and FactSet's 30 October update will show how much this week's banks, autos and energy moved the European and US aggregates.

What we will watch: Apple's iPhone 17 cycle and Greater China; Arista's AI networking backlog as a read-across from Amphenol's record orders and Amazon's sold-out 2027 capacity; Vertex's pipeline spend; McKesson's GLP-1 volumes after Lilly's +53% volume growth. **Beyond the list:** Nvidia's supply chain in Japan and Taiwan, and the first European Q3 revisions after the surcharge and auto cuts.

NEXT WEEK ON THE FOCUS LIST

Mon 2 Nov	Tue 3 Nov	Wed 4 Nov	Thu 5 Nov	Fri 6 Nov
No Focus List reporter	**Apple***	**Arista**	**McKesson**	*No Focus List reporter*
	Vertex			

AI and hardware read-across * Apple to be confirmed

Source: Syz Equity Focus List; company calendars (dates as scheduled, subject to change; Apple to be confirmed).

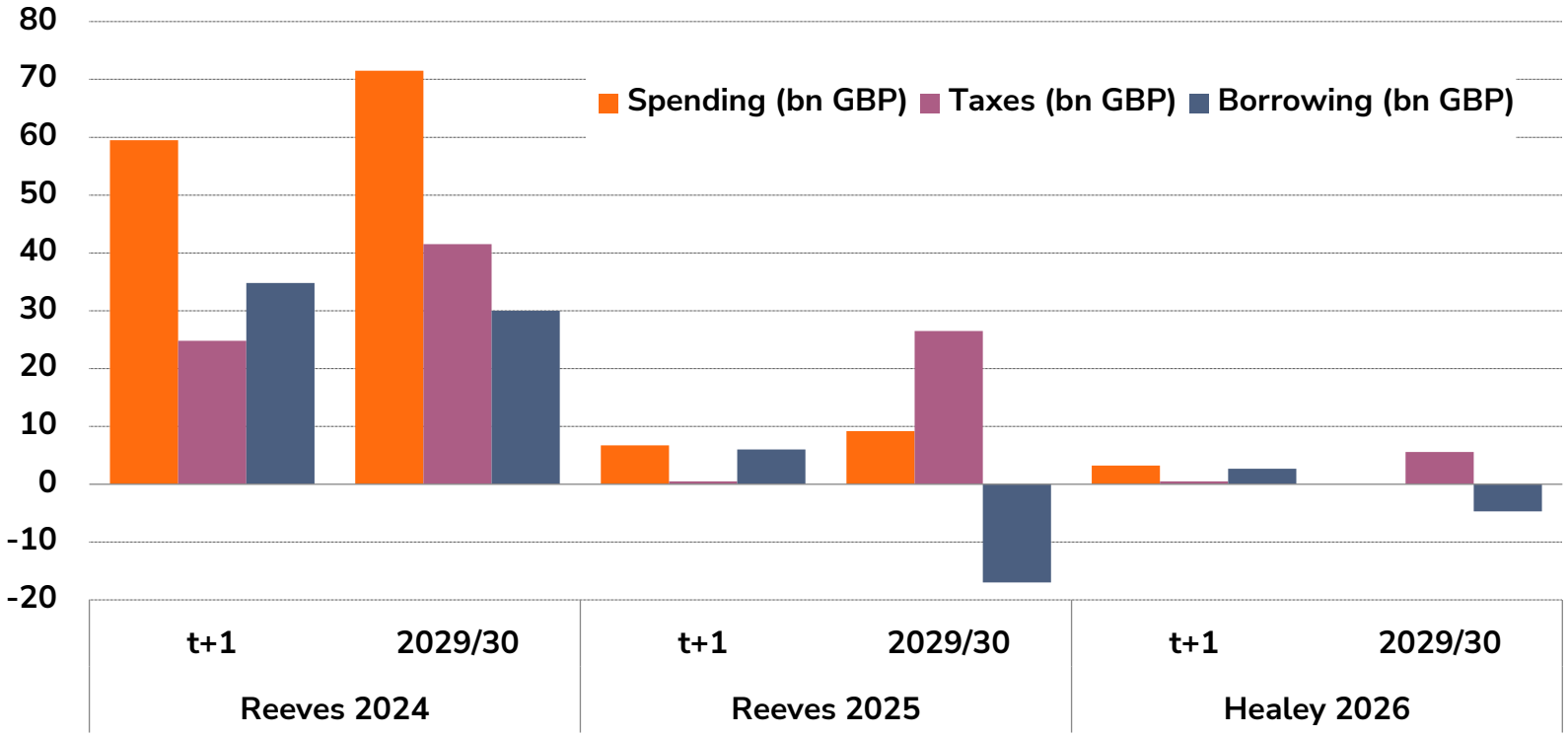
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special-topic # macro

UK – budget (1/4): The new budget is only a marginal tweak

- **The Chancellor announced a modest package of tax increases to raise £6bn per year** by the target year once fully phased in.
- **A GBP 100 council tax rebate for the poorest 20 million households** (costing £2.6bn) was the biggest measure in the budget – a **potential boost to household income +0.5% (Q1)**



Source: UK OBR, SYZ Group

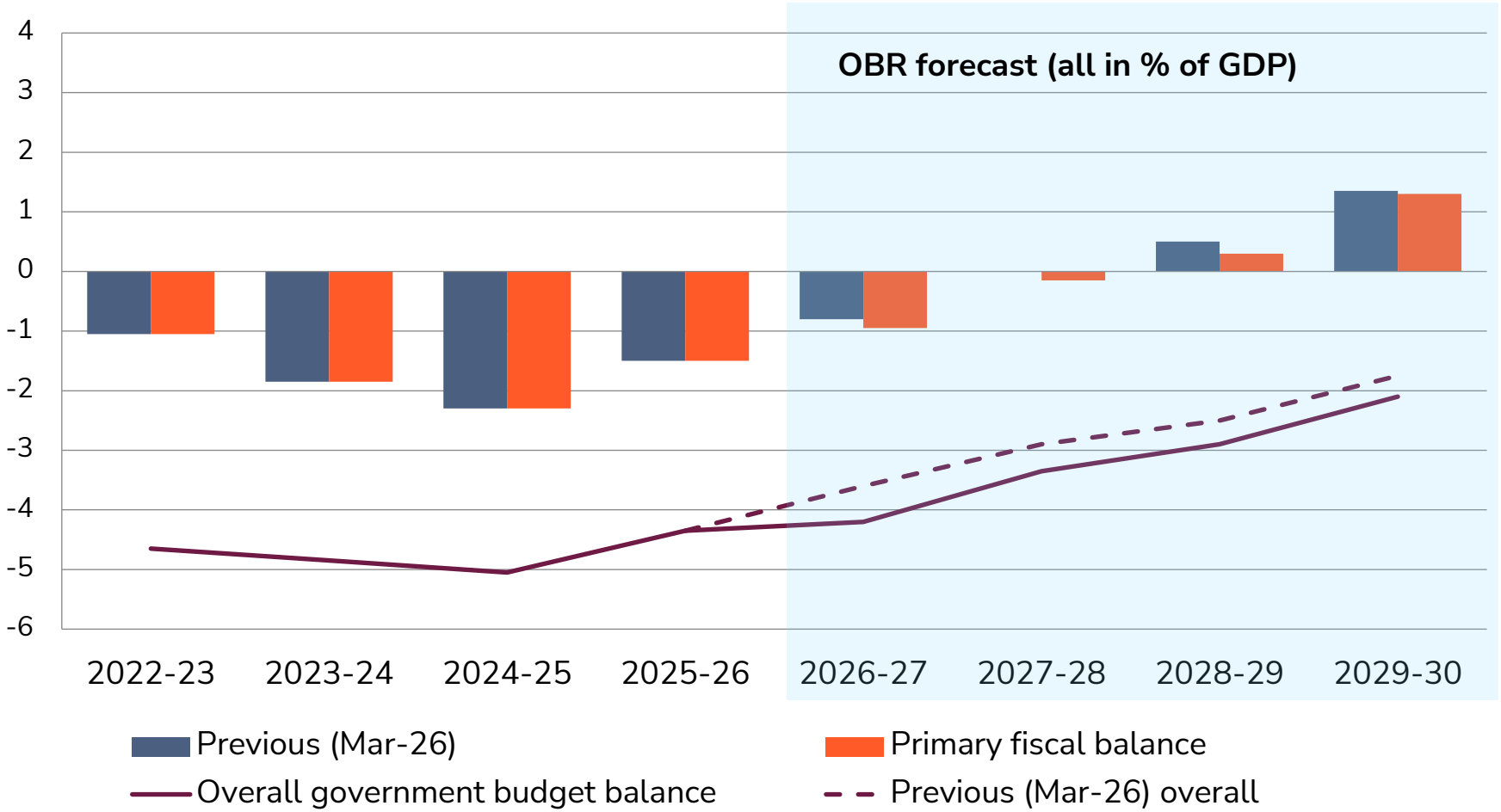
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special-topic # macro

UK – budget (2/4): There is not much change but somewhat less fiscal consolidation

- **The overall government budget balance looks slightly weaker until 2030** but not significantly worse
- However, **the current tax burden is on course to climb to new post-war highs**



Source: UK OBR, SYZ Group

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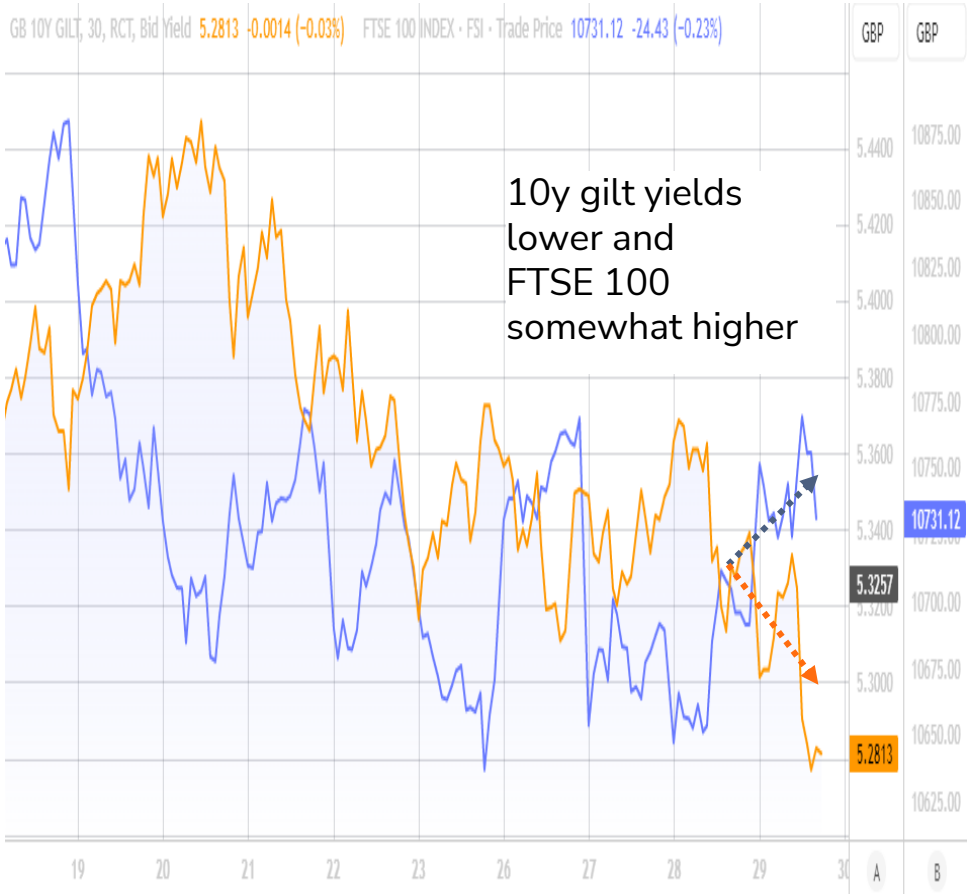
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special-topic # macro

UK – budget (3/4): Markets reacted rather positively to the Budget, but this was by no means an all-clear moment

- **The Autumn Budget is unlikely to mark a lasting turning point for markets**, despite the positive initial reaction to the OBR and DMO projections.





Source: LSEG, SYZ Group

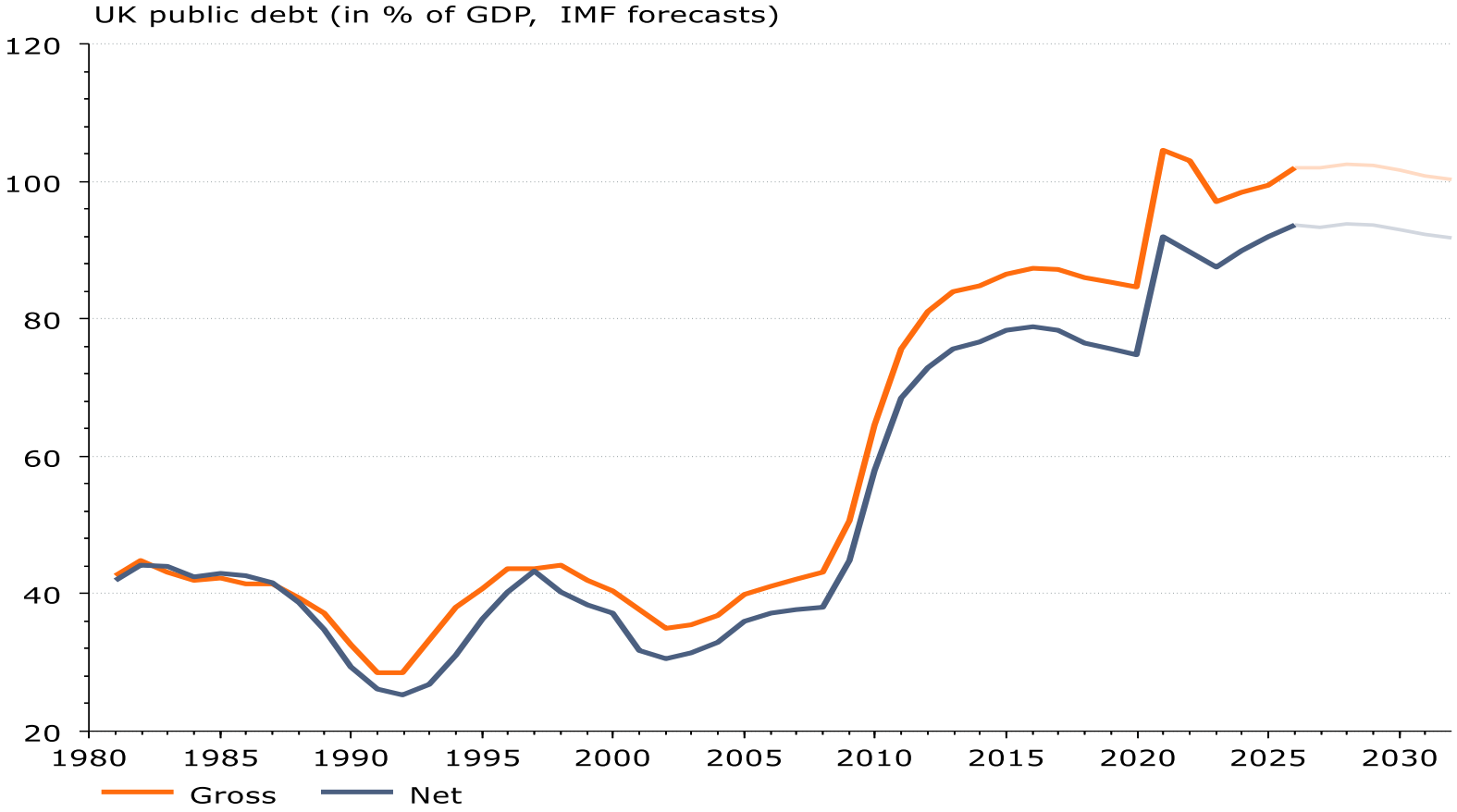
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special-topic # macro

UK – budget (4/4): The fiscal outlook remains unchanged, while the PM's latest proposals point to higher spending ahead...

- **The long-term trajectory did not change** and **more policy and spending decisions will have to be taken**
- **How will PM Burnham finance his ambitions for a National Care Service, higher defence spending and greater public control of utility companies?** And what more is still to come? **→ The risk for snap elections seems to have risen further, exactly because the budget was so dull.**



Source: LSEG, SYZ Group

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